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INDEPENDENT AUDITOR'S REPORT

To the Members of Mankind Pharma Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the accompanying consolidated financial statements of Mankind Pharma Limited (hereinafter referred to as “the Holding Company”), its subsidiaries (the Holding Company and its subsidiaries together referred to as “the Group”), its associates and joint ventures comprising of the consolidated Balance sheet as at March 31, 2021, the consolidated Statement of Profit and Loss, including other comprehensive income, the consolidated Cash Flow Statement and the consolidated Statement of Changes in Equity for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as “the consolidated financial statements”).

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditors on separate financial statements and on the other financial information of the subsidiaries, associates and joint ventures, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013, as amended (“the Act”) in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group, its associates and joint ventures as at March 31, 2021, their consolidated profit including other comprehensive income, their consolidated cash flows and the consolidated statement of changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the consolidated financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the ‘Auditor’s Responsibilities for the Audit of the Consolidated Financial Statements’ section of our report. We are independent of the Group, associates and joint ventures in accordance with the ‘Code of Ethics’ issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

Other Information

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board Report, but does not include the consolidated financial statements and our auditor's report thereon.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management for the Consolidated Financial Statements

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in terms of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated cash flows of the and consolidated statement of changes in equity of the Group including its associates and joint ventures in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. The respective Board of Directors of the companies included in the Group and of its associates and joint ventures are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and of its associates and joint ventures and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Board of Directors of the Holding Company, as aforesaid.

In preparing the consolidated financial statements, the respective Board of Directors of the Companies included in the Group and of its associates and joint ventures are responsible for assessing the ability of the Group and of its associates and joint ventures to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those respective Board of Directors of the companies included in the Group and of its associates and joint ventures are also responsible for overseeing the financial reporting process of the Group and of its associates and joint ventures.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates and joint ventures to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates and joint ventures to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group and its associates and joint ventures of which we are the independent auditors and whose financial information we have audited, to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated

financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

- (a) We did not audit the financial statements and other financial information, in respect of 14 subsidiaries, whose financial statements include total assets of Rs 117,043.92 Lakhs as at March 31, 2021, and total revenues of Rs 20,150.86 Lakhs and total net profit/ (loss) of Rs. (1,531.20) Lakhs and total comprehensive income / (loss) of Rs. (1,664.66) lakhs and net cash outflows of Rs 1,203.19 Lakhs for the year ended on that date. These financial statement and other financial information have been audited by other auditors, whose financial statements, other financial information and auditor's reports have been furnished to us by the management. The consolidated financial statements also include the Group's share of net profit of Rs. 1,169.85 Lakhs for the year ended March 31, 2021, as considered in the consolidated financial statements, in respect of 6 associates and 3 joint venture, whose financial statements, other financial information have been audited by other auditors and whose reports have been furnished to us by the Management. Our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, joint ventures and associates, and our report in terms of sub-sections (3) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, joint ventures and associates, is based solely on the reports of such other auditors.

Certain of these subsidiaries are located outside India whose financial statements and other financial information have been prepared in accordance with accounting principles generally accepted in their respective countries and which have been audited by other auditors under generally accepted auditing standards applicable in their respective countries. The Holding Company's management has converted the financial statements of such subsidiaries located outside India from accounting principles generally accepted in their respective countries to accounting principles generally accepted in India. We have audited these conversion adjustments made by the Holding Company's management. Our opinion in so far as it relates to the balances and affairs of such subsidiaries located outside India is based on the report of other auditors and the conversion adjustments prepared by the management of the Holding Company and audited by us.

- (b) The accompanying consolidated financial statements include unaudited financial statements and other unaudited financial information in respect of 2 subsidiary whose financial statements and other financial information reflect total assets of Rs 974.50 lakhs as at March 31, 2021, and total revenues of Rs 1,511.59 Lakhs and total net profit/ (loss) of Rs. (61.78) Lakhs and total comprehensive income / (loss) of Rs. (60.62) lakhs and net cash inflows of Rs 325.71 lakhs for the year ended on that date. These unaudited financial statements and other unaudited financial information have been furnished to us by the management. Our opinion, in so far as it relates amounts and disclosures included in respect of these subsidiaries and our report in terms of sub-sections (3) of Section 143 of the Act in so far as it relates to the aforesaid subsidiaries, is based solely on such unaudited financial statements and other unaudited financial information. In our opinion and according to the information and explanations given to us by the Management, these financial statements and other financial information are not material to the Group.
- (c) The financial statements of two subsidiary companies, whose financial statements reflect total assets of Rs. 67,404.51 Lakhs as at March 31, 2021, total revenues of Rs. 95,438.92 Lakhs and total net profit/ (loss) of Rs. 7,832.08 Lakhs and total comprehensive income / (loss) of Rs. 8,189.16 lakhs and net cash outflows amounting to Rs. 119.99 Lakhs for the year ended on that date, as considered in the consolidated financial statements have been audited by one of the joint auditors of the Holding Company along with the other auditor as joint auditors.

Our opinion on the consolidated financial statements above and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

Report on Other Legal and Regulatory Requirements

As required by Section 143(3) of the Act, based on our audit and on the consideration of report of the other auditors on separate financial statements and the other financial information of subsidiaries, associates and joint ventures, as noted in the 'other matter' paragraph we report, to the extent applicable, that:

- (a) We/the other auditors whose report we have relied upon have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements;
- (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidation of the financial statements have been kept so far as it appears from our examination of those books and reports of the other auditors;
- (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Consolidated Cash Flow Statement and Consolidated Statement of Changes in Equity dealt with by this Report are in agreement with the books of account maintained for the purpose of preparation of the consolidated financial statements;

- (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
- (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2021 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors who are appointed under Section 139 of the Act, of its subsidiary companies, associate companies and joint ventures, none of the directors of the Group's companies, its associates and joint ventures incorporated in India is disqualified as on March 31, 2021 from being appointed as a director in terms of Section 164 (2) of the Act;
- (f) With respect to the adequacy of the internal financial controls with reference to consolidated financial statements of the Holding Company and its subsidiary companies, associate companies and joint ventures incorporated in India, and the operating effectiveness of such controls, refer to our separate Report in "Annexure 1" to this report;
- (g) In our opinion and based on the consideration of reports of other statutory auditors of the subsidiaries, associates joint ventures incorporated in India, the managerial remuneration for the year ended March 31, 2021 has been paid / provided by the Holding Company, its subsidiaries, associates and joint ventures incorporated in India to their directors in accordance with the provisions of section 197 read with Schedule V to the Act;

- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the report of the other auditors on separate financial statements as also the other financial information of the subsidiaries, associates and joint ventures, as noted in the 'Other Matter' paragraph:
- i. The consolidated financial statements disclose the impact of pending litigations on its consolidated financial position of the Group, its associates and joint ventures in its consolidated financial statements – Refer Note 36 to the consolidated financial statements;
 - ii. The Group, its associates and joint ventures did not have any material foreseeable losses in long-term contracts including derivative contracts during the year ended March 31, 2021;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Holding Company, its subsidiaries, associates and joint ventures incorporated in India during the year ended March 31, 2021.

For **S.R. Batliboi & CO. LLP**
Chartered Accountants
ICAI Firm Registration Number:
301003E/E300005

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Date: 2021.08.25 23:27:39 +05'30'

per Vishal Sharma
Partner
Membership Number: 096766
UDIN:21096766AAAANE9188
Place of Signature: Gurugram
Date: August 25, 2021

For **Goel Gaurav & Co.**
Chartered Accountants
ICAI Firm Registration Number :
022467C

GAURAV GOEL Digitally signed by GAURAV GOEL
Date: 2021.08.25 23:39:11 +05'30'

Gaurav Goel
Proprietor
Membership Number: 528323
UDIN: 21528323AAAADW7540
Place of Signature: Gurugram
Date: August 25, 2021

ANNEXURE-1 TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE CONSOLIDATED FINANCIAL STATEMENTS OF MANKIND PHARMA LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the consolidated financial statements of Mankind Pharma Limited as of and for the year ended March 31, 2021, we have audited the internal financial controls over financial reporting of Mankind Pharma Limited (hereinafter referred to as the "Holding Company") and its subsidiary companies, its associate companies and joint ventures , which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding Company, its subsidiary companies, its associate companies and joint ventures, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the company's internal financial controls over financial reporting with reference to these consolidated financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, both, issued by Institute of Chartered Accountants of India, and deemed to be prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to these consolidated financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls over financial reporting with reference to these consolidated financial statements and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting with reference to these consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The

procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matters paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls over financial reporting with reference to these consolidated financial statements.

Meaning of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated financial statements

A company's internal financial control over financial reporting with reference to these consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting with reference to these consolidated financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting With Reference to these Consolidated financial statements

Because of the inherent limitations of internal financial controls over financial reporting with reference to these consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these consolidated financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Holding Company, its subsidiary companies, its associate companies and joint ventures, which are companies incorporated in India, have, maintained in all material respects, adequate internal financial controls over financial reporting with reference to these consolidated financial statements and such internal financial controls over financial reporting with reference to these consolidated financial statements were operating effectively as at March 31, 2021, based on the internal control over financial reporting criteria established by the Holding Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

Other Matters

Our report under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls over financial reporting with reference to these consolidated financial statements of the Holding Company, insofar as it relates to:

- A) 11 subsidiary companies, 2 associate companies, which are companies incorporated in India, is based on the corresponding reports of the auditors of such subsidiary and associate incorporated in India.
- B) Two subsidiary companies, is based solely on the corresponding reports of one of the joint auditors of the Parent along with the other auditor as joint auditors.

Our opinion is not modified in respect of the above matters.

For **S.R. Batliboi & CO. LLP**
Chartered Accountants
ICAI Firm Registration Number:
301003E/E300005

VISHAL SHARMA Digitally signed by VISHAL SHARMA
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per Vishal Sharma
Partner
Membership Number: 096766
UDIN:21096766AAAANE9188
Place of Signature: Gurugram
Date: August 25, 2021

For **Goel Gaurav & Co.**
Chartered Accountants
ICAI Firm Registration Number :
022467C

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Date: 2021.08.25 23:40:10 +05'30'

Gaurav Goel
Proprietor
Membership Number: 528323
UDIN: 21528323AAAADW7540
Place of Signature: Gurugram
Date: August 25, 2021

Mankind Pharma Limited
Consolidated Balance Sheet as at March 31, 2021
All amounts are in INR lacs unless otherwise stated

Particulars	Notes	As at March 31, 2021	As at March 31, 2020
ASSETS			
Non-current assets			
Property, plant and equipment	4	1,62,007.07	1,55,134.41
Capital work-in-progress	4	37,161.62	31,325.86
Investment properties	5	550.35	555.82
Goodwill	6	2,044.22	2,044.22
Other Intangible assets	6	1,842.86	2,225.21
Intangible assets under development	6	33.36	369.46
Investment in associates and joint ventures	7	16,578.68	16,437.98
Financial assets			
(i) Investments	8	4,001.25	1.25
(ii) Loans	17	7.43	9.93
(iii) Other financial assets	10	2,242.87	3,092.99
Income tax assets (net)	11	5,560.56	5,451.16
Deferred tax assets (net)	23	4,901.10	4,793.89
Other non-current assets	12	9,667.66	3,664.62
Total non-current assets		2,46,599.03	2,25,106.80
Current assets			
Inventories	13	1,18,353.77	89,913.45
Financial assets			
(i) Investments	9	1,30,617.41	66,503.25
(ii) Trade receivables	14	33,061.13	53,109.20
(iii) Cash and cash equivalents	15	16,718.20	22,607.53
(iv) Bank balances other than (iii) above	16	53,355.98	19,380.20
(v) Loans	17	1,841.14	3,449.79
(vi) Others	10	999.12	448.69
Other current assets	12	35,446.53	26,538.10
		3,90,393.28	2,81,950.21
Assets held for sale	18	270.20	271.05
Total current assets		3,90,663.48	2,82,221.26
Total assets		6,37,262.51	5,07,328.06
EQUITY AND LIABILITIES			
Equity			
Equity share capital	19	4,005.88	4,005.88
Other equity	20	4,68,194.50	3,44,525.14
Equity attributable to owners of the holding company		4,72,200.38	3,48,531.02
Non controlling interest	50	14,088.74	18,626.11
Total Equity		4,86,289.12	3,67,157.13
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Borrowings	21	5,741.99	5,819.27
(ii) Others	26	551.05	382.82
Provisions	22	7,224.43	6,300.49
Deferred tax liabilities (net)	23	1,303.19	816.65
Other non-current liabilities	24	788.69	1,778.73
Total non-current liabilities		15,609.35	15,097.96
Current liabilities			
Financial liabilities			
(i) Borrowings	21	15,860.39	4,428.02
(ii) Trade payables	25		
(a) total outstanding dues of micro and small enterprises		10,270.20	8,102.21
(b) total outstanding dues other than micro and small enterprises		56,425.74	66,408.80
(iii) Other financial liabilities	26	18,358.69	12,058.57
Provisions	22	23,421.85	21,567.04
Income tax liabilities (net)	11	1,108.47	6,562.24
Other current liabilities	24	9,918.70	5,946.09
Total current liabilities		1,35,364.04	1,25,072.97
Total liabilities		1,50,973.39	1,40,170.93
Total equity and liabilities		6,37,262.51	5,07,328.06
Summary of significant accounting policies		2-3	
Commitments and contingencies		36	
Other notes on accounts		37-57	

The accompanying notes are forming an integral part of these consolidated financial statements.

As per our report of even date

For S.R. Batliboi & Co. LLP
Chartered Accountants
Firm Reg. no. 301003E/E300005
VISHAL SHARMA
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Date: 2021.08.25
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per Vishal Sharma
Partner
Membership No. 096766

For Goel Gaurav & Co.
Chartered Accountants
Firm Reg. no. 022467C
GAURAV GOEL
Digitally signed by GAURAV GOEL
Date: 2021.08.25
19:07:26 +05'30'
Gaurav Goel
Proprietor
Membership No. 528323
Place: Gurugram
Date: 25 August 2021

For and on behalf of the Board of Directors

RAMESH JUNEJA
Digitally signed by RAMESH JUNEJA
Date: 2021.08.25
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Ramesh Juneja
Chairman and Whole Time Director
DIN - 00283399

Pradeep Chugh
Digitally signed by Pradeep Chugh
Date: 2021.08.25
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Pradeep Chugh
Company Secretary
Membership No. ACS 18711
Place: New Delhi
Date: 25 August 2021

SHEETAL ARORA
Digitally signed by SHEETAL ARORA
Date: 2021.08.25
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Sheetal Arora
Chief Executive Officer and Whole Time Director
DIN - 00704292

ASHUTOSH DHAWAN
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Date: 2021.08.25
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Ashutosh Dhawan
Chief Financial Officer

Mankind Pharma Limited
Consolidated Statement of Profit and Loss for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

Particulars	Notes	Year ended March 31, 2021	Year ended March 31, 2020
I Income			
Revenue from operations	27	6,22,389.82	5,87,186.85
Other income	28	16,148.21	10,378.44
Total income (I)		6,38,538.03	5,97,565.29
II Expenses			
Cost of raw materials and components consumed	29	1,37,317.83	1,29,732.17
Purchases of stock-in-trade	29	65,482.45	59,120.53
Changes in inventories	30	(24,739.42)	(1,045.59)
Employee benefits expense	31	1,41,578.31	1,33,552.66
Finance costs	32	2,014.74	2,197.18
Depreciation and amortization expense	33	11,897.03	9,905.84
Impairment of non-current assets	34 (a)	-	9,057.99
Impairment losses on financial assets	34 (b)	1,771.06	-
Other expenses	34	1,35,222.56	1,12,424.52
Total expenses (II)		4,70,544.56	4,54,945.30
III Share of net profit/(loss) of associates and joint ventures	47	1,167.71	1,153.52
IV Profit before tax (I-II+III)		1,69,161.18	1,43,773.51
V Tax Expense:			
Current tax	35	39,473.95	40,839.95
Deferred tax	35	241.83	(3,267.52)
Adjustment of tax relating to earlier periods	35	142.61	587.06
Total tax expense (V)		39,858.39	38,159.49
VI Profit for the year (IV-V)		1,29,302.79	1,05,614.02
VII Other comprehensive income			
(i) Item that will not be reclassified to profit or loss			
- Remeasurement gain / (loss) of the defined benefit plan (refer note 38)		212.34	(1,284.52)
- Share of other comprehensive income of associates and joint ventures		2.14	2.60
(ii) Income tax relating to item that will not be reclassified to profit or loss (refer note 35.2)		(27.83)	434.67
(iii) Item that will be reclassified to profit or loss			
- Exchange differences in translating the financial statements of foreign operations		(135.55)	442.23
(iv) Income tax relating to item that will be reclassified to profit or loss		-	-
Total other comprehensive income / (loss) (i+ii+iii+iv)		51.10	(405.02)
VIII Total comprehensive income for the year (VI+VII)		1,29,353.89	1,05,209.00
Profit for the year attributable to:			
- Owners of the Company		1,26,542.05	1,03,041.69
- Non-controlling interests		2,760.74	2,572.33
Other comprehensive income / (loss) for the year attributable to:			
- Owners of the Company		61.45	(389.08)
- Non-controlling interests		(10.35)	(15.94)
Total comprehensive income for the year attributable to:			
- Owners of the Company		1,26,603.50	1,02,652.61
- Non-controlling interests		2,750.39	2,556.39
Earnings per equity share attributable to owners of the Company (EPS)			
(Face value of INR 1 each) (see note 44):			
Basic EPS (in INR)		31.59	25.72
Diluted EPS (in INR)		31.59	25.72

Summary of significant accounting policies 2-3
 Commitments and contingencies 36
 Other notes on accounts 37-57

The accompanying notes are forming an integral part of these consolidated financial statements.

As per our report of even date

For S.R. Batliboi & Co. LLP
 Chartered Accountants
 Firm Reg. no. 301003E/E300005
VISHAL SHARMA
 Digitally signed by VISHAL SHARMA
 Date: 2021.08.25 21:00:47 +05'30'
per Vishal Sharma
 Partner

Membership No. 096766

For Goel Gaurav & Co.
 Chartered Accountants
 Firm Reg. no. 022467C
GAURAV GOEL
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 Date: 2021.08.25 19:08:29 +05'30'
Gaurav Goel
 Proprietor
 Membership No. 528323

Place: Gurugram
 Date: 25 August 2021

For and on behalf of the Board of Directors

RAMESH JUNEJA
 Digitally signed by RAMESH JUNEJA
 Date: 2021.08.25 17:56:26 +05'30'
Ramesh Juneja
 Chairman and Whole Time Director

DIN - 00283399

Pradeep Chugh
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 Date: 2021.08.25 18:01:51 +05'30'

Pradeep Chugh
 Company Secretary
 Membership No. ACS 18711

Place: New Delhi
 Date: 25 August 2021

SHEETAL ARORA
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 Date: 2021.08.25 17:59:03 +05'30'
Sheetal Arora
 Chief Executive Officer and Whole Time Director

DIN - 00704292

ASHUTOSH DHAWAN
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 Date: 2021.08.25 18:04:43 +05'30'

Ashutosh Dhawan
 Chief Financial Officer

Mankind Pharma Limited
Consolidated Cash Flow Statement for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	Year ended March 31, 2021	Year ended March 31, 2020
A. Cash flow from Operating activities		
Profit before tax for the year	1,69,161.18	1,43,773.51
<i>Adjustments to reconcile profit before tax to net cash flows:</i>		
Share of (profit)/loss of associates and joint ventures (net)	(1,167.71)	(1,153.52)
Depreciation and amortisation expense	11,897.03	9,905.84
Net loss/(gain) on current investments measured at FVTPL	(6,286.49)	(3,505.86)
Dividend income from financial assets measured at FVTPL	(42.43)	(428.21)
Dividend income from investment measured at FVTPL	(0.04)	(0.04)
Government grant income	(4,476.82)	(3,456.40)
Unrealized foreign exchange (gain) / loss (net)	(50.24)	102.50
Exchange difference on translation of financial statements foreign operations	135.55	(442.23)
Loss/(gain) on disposal of property, plant and equipment (net)	304.45	(193.78)
Loss/(gain) on sale of investment property (net)	-	(901.58)
Trade and other receivable balances written off	55.35	61.22
Liabilities written back	(771.24)	-
Allowance for expected credit loss	20.06	74.26
Allowance for doubtful loans	149.25	517.52
Impairment of non-current assets	-	9,057.99
Impairment losses on financial assets	1,771.06	-
Finance income	(3,830.24)	(1,289.51)
Finance costs	1,644.59	1,412.26
Interest on delay deposit of income tax	337.44	759.54
Interest on lease liability	32.71	25.38
Goodwill written off	-	0.34
Operating profit before working capital changes	1,68,883.46	1,54,319.23
<i>Working capital adjustments:</i>		
(Increase)/ Decrease in trade receivables	19,887.35	(30,883.07)
(Increase)/ Decrease in inventories	(28,440.32)	(7,814.92)
(Increase)/ Decrease in financial asset - loans	-	-
(Increase)/ Decrease in financial asset - others	299.69	(480.62)
(Increase)/ Decrease in other asset	(9,430.83)	(13,039.23)
Increase/ (Decrease) provisions	2,993.23	11,789.46
Increase/ (Decrease) in trade payable	(7,815.07)	18,314.11
Increase/ (Decrease) in other financial liability	8,543.64	2,890.44
Increase/ (Decrease) in other liability	7,459.39	5,216.15
Cash generated from operations	1,62,380.54	1,40,311.55
Income tax paid	(45,407.50)	(33,091.15)
Net cash inflow from operating activities (A)	1,16,973.04	1,07,220.40
B. Cash flow from Investing activities		
Proceeds from sale of property, plant and equipment	74.25	1,124.24
Purchase of property, plant and equipment and investment property	(30,842.84)	(22,796.98)
Proceeds from sale / (Purchase of investment) in mutual funds	(61,827.67)	(8,670.23)
Dividend received	42.47	428.25
Loan to related parties (net)	(128.05)	(313.85)
Loan to other parties (net)	(31.86)	23.35
Bank deposit not considered as cash and cash equivalents (net)	(33,975.78)	(16,918.09)
Investment in associates and joint ventures (net)	1,027.01	529.72
Payment/ proceeds from investment properties (net)	-	1,388.69
Interest received (finance income)	3,830.24	1,289.51
Net cash inflow/(outflow) from investing activities (B)	(1,21,832.23)	(43,915.39)
C. Cash flow from Financing activities		
Finance cost	(1,677.30)	(2,197.18)
Proceeds from Current borrowings	12,678.23	1,387.92
Proceeds from Non-Current borrowings	45,215.81	6,104.22
Repayment of Current borrowings	(1,245.86)	(21,106.31)
Repayment of Non-Current borrowings	(45,887.00)	(352.03)
Payment of principal portion of lease liabilities	(145.32)	(106.88)
Dividend and tax paid thereon to equity holders of parent company (refer note 43)	-	(36,426.60)
Net cash inflow/(outflow) from financing activities (C)	8,938.56	(52,696.86)
Net increase in cash and cash equivalents (A+B+C)	4,079.37	10,608.15
Net foreign exchange difference	37.52	360.35
Add: Pursuant to acquisition/ disposal of control in subsidiaries	(10,006.22)	-
Cash and cash equivalents at the beginning of the year	22,607.53	11,639.03
Cash and cash equivalents at year end	16,718.20	22,607.53

Mankind Pharma Limited
Consolidated Cash Flow Statement for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	Year ended March 31, 2021	Year ended March 31, 2020
Components of cash and cash equivalents (refer note 15)		
Balances with banks		
- on current Account	15,308.43	18,850.51
- on deposit account	1,390.39	1,812.29
Cash on hand	19.38	25.58
Cheques on hand	-	1,919.15
	16,718.20	22,607.53

The above cash flow statement has been prepared under Indirect method as set out in Ind AS-7 "Statement of cash flows".

Summary of significant accounting policies	2-3
Commitments and contingencies	36
Other notes on accounts	37-57

The accompanying notes are forming an integral part of these consolidated financial statements.

As per our report of even date

For S.R. Batliboi & Co. LLP

Chartered Accountants
Firm Reg. no. 301003E/E300005

VISHAL SHARMA
Digitally signed by
VISHAL SHARMA
Date: 2021.08.25
21:04:02 +05'30'

per Vishal Sharma
Partner
Membership No. 096766

For Goel Gaurav & Co.

Chartered Accountants
Firm Reg. no. 022467C

GAURAV GOEL
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GAURAV GOEL
Date: 2021.08.25
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Gaurav Goel
Proprietor
Membership No. 528323

Place: Gurugram
Date: 25 August 2021

For and on behalf of the Board of Directors

RAMESH JUNEJA
Digitally signed by
RAMESH JUNEJA
Date: 2021.08.25
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Ramesh Juneja
Chairman and Whole Time Director
DIN - 00283399

Pradeep Chugh
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by Pradeep
Chugh
Date: 2021.08.25
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Pradeep Chugh
Company Secretary
Membership No. ACS 18711

Place: New Delhi
Date: 25 August 2021

SHEETAL ARORA
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Date: 2021.08.25
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Sheetal Arora
Chief Executive Officer and Whole Time Director
DIN - 00704292

ASHUTOSH DHAWAN
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DHAWAN
Date: 2021.08.25
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Ashutosh Dhawan
Chief Financial Officer

Mankind Pharma Limited
Consolidated Statement of Changes in Equity for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

a. Equity share capital

Particulars	Note	Amount
Equity shares of INR 1 each issued, subscribed and fully paid		
As at 01 April 2019		4,005.88
Changes in equity share capital during the year		-
As at March 31, 2020	19	4,005.88
Changes in equity share capital during the year		-
As at March 31, 2021	19	4,005.88

b. Other equity

Particulars	Attributable to the equity holders of the parent					Non-controlling interests	Total equity
	General reserve	Security premium	Capital reserve	Retained earnings	Other reserves Foreign currency translation reserve	Total	
Balance as at 01 April 2019	23,774.24	4,211.74	(90,898.16)	3,40,762.13	449.18	2,78,299.13	2,94,161.39
Profit for the year	-	-	-	1,03,041.69	-	1,03,041.69	1,05,614.02
Other comprehensive income for the year, net of income tax	-	-	-	(831.31)	442.23	(389.08)	(405.02)
Total comprehensive income for the year	-	-	-	1,02,210.38	442.23	1,02,652.61	1,05,209.00
Transactions with owners in their capacity as owners:							
Add/Less : Addition/(Withdrawal) during the year	-	-	-	-	-	(9.54)	(9.54)
Less : Dividend on equity shares	-	-	-	(30,244.43)	-	(30,244.43)	(30,244.43)
Less : Dividend distribution tax	-	-	-	(6,182.17)	-	(6,182.17)	(6,182.17)
Add : Non-controlling interests on inception of new subsidiaries during the year (refer note 50)	-	-	-	-	-	217.00	217.00
Balance as at March 31, 2020	23,774.24	4,211.74	(90,898.16)	4,06,545.91	891.41	18,626.11	3,63,151.25
Profit for the year	-	-	-	1,26,542.05	-	1,26,542.05	1,29,302.79
Other comprehensive income for the year, net of income tax	-	-	-	197.00	(135.55)	61.45	51.10
Total comprehensive income for the year	-	-	-	1,26,739.05	(135.55)	1,26,603.50	1,29,353.89
Transactions with owners in their capacity as owners:							
Add/Less : Addition/(Withdrawal) during the year	-	-	-	(2,934.14)	-	(2,934.14)	(215.68)
Less : Non-controlling interests on acquisition of remaining interest in two subsidiaries from INCI	-	-	-	-	-	(7,072.08)	(10,006.22)
Balance as at March 31, 2021	23,774.24	4,211.74	(90,898.16)	5,30,350.82	755.86	14,088.74	4,87,283.24
Total Equity (a + b)							4,86,289.12

2-3
36
37-57

The accompanying notes are forming an integral part of these consolidated financial statements.

As per our report of even date

For S.R. Batliboi & Co. LLP
Chartered Accountants
Firm Reg. no. 301003E/E300005
VISHAL SHARMA
Digitally signed by VISHAL SHARMA
Date: 2021.08.25 21:07:07 +05'30'

per Vishal Sharma
Partner
Membership No. 096766

For Goel Gaurav & Co.
Chartered Accountants
Firm Reg. no. 022467C
GAURAV GOEL
Digitally signed by GAURAV GOEL
Date: 2021.08.25 19:10:39 +05'30'

Gaurav Goel
Proprietor
Membership No. 528323

Place: Gurugram
Date: 25 August 2021

For and on behalf of the Board of Directors
RAMESH JUNEJA
Digitally signed by RAMESH JUNEJA
Date: 2021.08.25 17:57:07 +05'30'

Ramesh Juneja
Chairman and Whole Time Director
DIN - 00283399

Pradeep Chugh
Digitally signed by Pradeep Chugh
Date: 2021.08.25 18:02:43 +05'30'

Pradeep Chugh
Company Secretary
Membership No. ACS 18711
Place: New Delhi
Date: 25 August 2021

SHEETAL ARORA
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Date: 2021.08.25 17:59:54 +05'30'

Sheetal Arora
Chief Executive Officer and Whole Time Director
DIN - 00704292

ASHUTOSH DHAWAN
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Date: 2021.08.25 18:05:32 +05'30'

Ashutosh Dhawan
Chief Financial Officer

1 CORPORATE INFORMATION

Mankind Pharma Limited ("Mankind" or "the Holding Company" or "the Parent Company") is a public limited company domiciled in India and has its registered office at 208, Okhla Phase III, Delhi.

The Holding Company and its subsidiaries, associates and joint ventures (collectively referred as "Group") are principally engaged in the manufacturing and trading of pharmaceutical and health care products and some of entities in leasing and hospitality business.

These consolidated financial statements were approved for issue in accordance with a resolution of the directors on 25th August 2021.

2 Basis of preparation

2.01 Basis of preparation of Consolidated Financial Statements

These Consolidated financial statements of the Group have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended from time to time) and presentation requirements of Division II of Schedule III to the Companies Act, 2013, (Ind AS compliant Schedule III). These Consolidated financial statements are presented in INR and all values are rounded to the nearest lacs (INR 00,000), except when otherwise indicated.

The financial statements have been prepared on a historical cost convention, except for the following assets and liabilities:

- i) Certain financial assets and liabilities that is measured at fair value
- ii) Assets held for sale-measured at fair value less cost to sell
- iii) Defined benefit plans-plan assets measured at fair value

New and amended standards adopted by the Group

The Group has applied the following amendments to Ind AS for the first time for their annual reporting period commencing April 01, 2020:

- Definition of Material – amendments to Ind AS 1 and Ind AS 8
- Definition of a Business – amendments to Ind AS 103
- COVID-19 related concessions – amendments to Ind AS 116

The amendments did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

2.02 Current versus non-current classification

The Group presents assets and liabilities in the balance sheet based on current/non-current classification. An asset is treated as current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle
- Held primarily for purpose of trading
- Expected to be realized within twelve months after the reporting period, or
- cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for purpose of trading
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

All other liabilities are classified as non current.

Deferred tax assets and deferred tax liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realization in cash and cash equivalents. the Group has identified twelve months as its operating cycle.

2.03 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries, associates and joint ventures as at 31 March 2021. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- ▶ Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- ▶ Exposure, or rights, to variable returns from its involvement with the investee, and
- ▶ The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights result in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- ▶ The contractual arrangement with the other vote holders of the investee
- ▶ Rights arising from other contractual arrangements
- ▶ The Group's voting rights and potential voting rights
- ▶ The size of the group's holding of voting rights relative to the size and dispersion of the holdings of the other voting rights holders

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member's financial statements in preparing the consolidated financial statements to ensure conformity with the Group's accounting policies.

The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the parent company, i.e., year ended on 31 March, 2021.

2.04 Consolidation Procedure :

(A) Subsidiaries:

- a) Combine like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries. For this purpose, income and expenses of the subsidiary are based on the amounts of the assets and liabilities recognised in the consolidated financial statements at the acquisition date.
- b) Offset (eliminate) the carrying amount of the parent's investment in each subsidiary and the parent's portion of equity of each subsidiary. Business combinations policy explains how to account for any related goodwill.
- c) Eliminate in full intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between entities of the group (profits or losses resulting from intragroup transactions that are recognised in assets, such as inventory and fixed assets, are eliminated in full). Intragroup losses may indicate an impairment that requires recognition in the consolidated financial statements. Ind AS - 12 "Income Taxes" applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

When the proportion of the equity held by non-controlling interests changes, the Group adjust the carrying amounts of the controlling and non-controlling interests to reflect the changes in their relative interests in the subsidiary. The Group recognises directly in equity any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received, and attribute it to the owners of the parent.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- (i) Derecognises the assets (including goodwill) and liabilities of the subsidiary
- (ii) Derecognises the carrying amount of any non-controlling interests
- (iii) Derecognises the cumulative translation differences recorded in equity
- (iv) Recognises the fair value of the consideration received
- (v) Recognises the fair value of any investment retained
- (vi) Recognises any surplus or deficit in profit or loss
- (vii) Reclassifies the parent's share of components previously recognised in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities

(B) Investment in associates and joint ventures

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control. The considerations made in determining whether significant influence or joint control are similar to those necessary to determine control over the subsidiaries.

The Group's investments in its associate and joint venture are accounted for using the equity method. Under the equity method, the investment in an associate or a joint venture is initially recognised at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the associate or joint venture since the acquisition date. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and is not tested for impairment individually.

The statement of profit and loss reflects the Group's share of the results of operations of the associate or joint venture. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognised directly in the equity of the associate or joint venture, the Group recognises its share of any changes, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the associate or joint venture are eliminated to the extent of the interest in the associate or joint venture.

If Group's share of losses of an associate or a joint venture equals or exceeds its interest in the associate or joint venture (which includes any long term interest that, in substance, form part of the Group's net investment in the associate or joint venture), the Group discontinues recognising its share of further losses. Additional losses are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate or joint venture. If the associate or joint venture subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equals the share of losses not recognised.

The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit and loss.

The financial statements of the associate or joint venture are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognise an impairment loss on its investment in its associate or joint venture. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate or joint venture is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying value, and then recognises the loss as 'Share of profit of an associate and a joint venture' in the statement of profit or loss.

Upon loss of significant influence over the associate or joint control over the joint venture, the Group measures and recognises any retained investment at its fair value. Any difference between the carrying amount of the associate or joint venture upon loss of significant influence or joint control and the fair value of the retained investment less cost to sell is recognised in profit or loss.

The Group discontinue the use of equity method from the date the investment is classified as held for sale in accordance with Ind AS 105 - Non-current Assets Held for Sale and Discontinued Operations and measures the interest in associate and joint venture held for sale at the lower of its carrying amount and fair value less cost to sell.

3 Significant accounting policies

3.01 Business combination and goodwill

Business combinations other than those under common control transactions are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at acquisition date fair value and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. In respect to the business combination for acquisition of subsidiary, the Group has opted to measure the non-controlling interests in the acquiree at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

At the acquisition date, the identifiable assets acquired and the liabilities assumed are recognised at their acquisition date fair values. For this purpose, the liabilities assumed include contingent liabilities representing present obligation and they are measured at their acquisition fair values irrespective of the fact that outflow of resources embodying economic benefits is not probable. However, the following assets and liabilities acquired in a business combination are measured at the basis indicated as mentioned hereinafter

- (i) Deferred tax assets or liabilities, and the assets or liabilities related to employee benefit arrangements are recognised and measured in accordance with Ind AS 12 "Income Tax" and Ind AS 19 "Employee Benefits" respectively.
- (ii) Potential tax effects of temporary differences and carry forwards of an acquiree that exist at the acquisition date or arise as a result of the acquisition are accounted in accordance with Ind AS 12.
- (iii) Liabilities or equity instruments related to share based payment arrangements of the acquiree or share – based payments arrangements of the Group entered into to replace share-based payment arrangements of the acquiree are measured in accordance with Ind AS 102 "Share-based Payments" at the acquisition date.
- (iv) Assets (or disposal groups) that are classified as held for sale in accordance with Ind AS 105 "Non-current Assets Held for Sale" and Discontinued Operations are measured in accordance with that standard.
- (v) Reacquired rights are measured at a value determined on the basis of the remaining contractual term of the related contract. Such valuation does not consider potential renewal of the reacquired right.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date. This includes the separation of embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held equity interest is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss or OCI, as appropriate.

3.02 Business Combinations - common control transactions

Business Combinations involving entities or businesses in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and where that control is not transitory is accounted using the pooling of interests method as enumerated below:

- (i) The assets and liabilities of the combining entities are reflected at their carrying amounts.
- (iii) No adjustments are made to reflect fair values, or recognise any new assets or liabilities. Adjustments are only made to harmonise accounting policies
- (iv) The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, where the business combination had occurred after that date, the prior period information is restated only from that date.
- (v) The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with corresponding balance appearing in the financial statements of the transferee or is adjusted against capital reserve.
- (vi) The identity of the reserves shall be preserved and shall appear in the financial statements of the transferee in the same form in which they appeared in the financial statements of the transferor.
- (vii) The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserves.

3.03 Property, plant and equipment

Property, Plant and equipment are stated at cost, less accumulated depreciation and accumulated impairment losses, if any. Capital work in progress is stated at cost, net of accumulated impairment loss, if any. The cost comprises of purchase price, taxes, duties, freight and other incidental expenses directly attributable and related to acquisition and installation of the concerned assets and are further adjusted by the amount of input tax credit availed wherever applicable.

Such cost includes the cost of replacing part of the plant and equipment and borrowing costs for long-term construction projects if the recognition criteria are met. When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred. The present value of the expected cost for the decommissioning of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met.

Subsequent costs are included in asset's carrying amount or recognised as separate assets, as appropriate, only when it is probable that future economic benefit associated with the item will flow to the Group and the cost of item can be measured reliably.

An item of property, plant and equipment and any significant part initially recognized is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income statement when the asset is derecognised.

Capital work- in- progress includes cost of property, plant and equipment under installation / under development as at the balance sheet date.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively, if appropriate.

Depreciation on property, plant and equipment is calculated on prorata basis on straight-line method using the useful lives of the assets estimated by management. The useful life is as follows:

Assets	Useful life (in years)
Building	30 and 60
Plant and Equipment	10 - 15
Furniture and Fixtures	10
Vehicles	8 and 10
Office Equipment	5
Mobile Phones	2
Computers	3
Servers and Networks	6

The useful lives have been determined based on technical evaluation done by the management's expert. In certain plant and machineries and mobile phones, useful lives are lower than those specified by schedule II to the Companies Act 2013 and are depreciated over the estimated useful lives of 10 years and 2 years respectively, in order to reflect the actual usage of assets. The residual values are not more than 5% of the original cost of the assets. The asset's residual values and useful lives are reviewed, and adjusted if appropriate.

Lease hold improvements are depreciated on straight line basis over shorter of the asset's useful life and their initial agreement period.

Leasehold land is amortized on a straight line basis over the unexpired period of their respective lease.

3.04 Investment Properties

Property that is held for long term rental yields or for capital appreciation or for both, and that is not occupied by the Group, is classified as investment property. Investment property is measured initially at its cost, including related transaction cost and where applicable borrowing costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and accumulated impairment loss, if any.

Subsequent expenditure is capitalized to assets carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Group and the cost of the item can be measured reliably. When significant parts of investment property are required to be replaced at intervals, the Group depreciates them separately based on their respective useful lives. All other repair and maintenance cost are expensed when incurred.

Though the Group measures investment property using cost based measurement, the fair value of investment property is disclosed in the notes. Fair values are determined based on an annual evaluation performed by an external independent valuer applying a valuation model as per Ind AS 113 "Fair value measurement".

Investment properties are derecognised either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognised in profit or loss in the period of derecognition.

Investment properties are depreciated using straight line method over their estimated useful life.

Transfer of property from investment property to the property, plant and equipment is made when the property is no longer held for long term rental yields or for capital appreciation or both at carrying amount of the property transferred.

3.05 Intangible assets

Separately acquired intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. Cost of intangible assets acquired in business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less accumulated amortization and accumulated impairment losses, if any. Internally generated intangibles, excluding capitalized development cost, are not capitalized and the related expenditure is reflected in statement of Profit and Loss in the period in which the expenditure is incurred. Cost comprises the purchase price and any attributable cost of bringing the asset to its working condition for its intended use.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortized over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the statement of profit and loss in the expense category consistent with the function of the intangible assets.

Intangible assets with indefinite useful lives are not amortized, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

Gains or losses arising from disposal of the intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the statement of profit and loss when the assets are disposed off.

Intangible assets with finite useful life are amortized on a straight line basis over their estimated useful life as under

Assets	Useful life
Computer Software	3 years
Other intangibles	27 months

Research and development cost

Research costs are expensed as incurred. Development expenditure incurred on an individual project is recognized as an intangible asset when the Group can demonstrate all the following:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale;
- Its intention to complete the asset;
- Its ability to use or sale the asset;
- How the asset will generate future economic benefits;

- v) The availability of adequate resources to complete the development and to use or sale the asset; and
- vi) The ability to measure reliably the expenditure attributable to the intangible asset during development.

Following the initial recognition of the development expenditure as an asset, the cost model is applied requiring the asset to be carried at cost less any accumulated amortization and accumulated impairment losses. Amortization of the asset begins when development is complete and the asset is available for use. It is amortized on straight line basis over the estimated useful life. During the period of development, the asset is tested for impairment annually.

3.06 Impairment of non- financial assets

The Group assesses, at each reporting date, whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. When the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

The Group bases its impairment calculation on detailed budgets and forecast calculations, which are prepared separately for each of the Group's CGUs to which the individual assets are allocated. These budgets and forecast calculations generally cover a period of five to eight years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the 8th year. To estimate cash flow projections beyond periods covered by the most recent budgets/forecasts, the Group extrapolates cash flow projections in the budget using a steady or declining growth rate for subsequent years, unless an increasing rate can be justified. In any case, this growth rate does not exceed the long-term average growth rate for the products, industries, or country or countries in which the Group operates, or for the market in which the asset is used.

Impairment losses of continuing operations, including impairment on inventories, are recognised in the statement of profit and loss, except for properties previously revalued with the revaluation surplus taken to OCI. For such properties, the impairment is recognised in OCI up to the amount of any previous revaluation surplus.

For assets excluding goodwill and intangible assets having indefinite life, an assessment is made at each reporting date to determine whether there is an indication that previously recognised impairment losses no longer exist or have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the statement of profit and loss unless the asset is carried at a revalued amount, in which case, the reversal is treated as a revaluation increase.

Goodwill is tested for impairment annually as at March 31 and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognised. Impairment losses relating to goodwill cannot be reversed in future periods. Intangible assets with indefinite useful lives are tested for impairment annually as at March 31 at the CGU level, as appropriate, and when circumstances indicate that the carrying value may be impaired.

3.07 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

(i) Financial Assets

The Group classifies its financial assets in the following measurement categories:

- Those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss)
- Those measured at amortized cost

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Group's business model for managing them

Initial recognition and measurement

With the exception of trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient, the Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs.

Trade receivables that do not contain a significant financing component or for which the Group has applied the practical expedient and are measured at the transaction price determined under Ind AS 115. Refer to the accounting policies in section 'Revenue from contracts with customers'.

In order for a financial asset to be classified and measured at amortised cost or fair value through OCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at fair value through profit or loss, irrespective of the business model.

The Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at fair value through OCI are held within a business model with the objective of both holding to collect contractual cash flows and selling.

Subsequent measurement

For purposes of subsequent measurement financial assets are classified in following categories:

- Financial assets at amortised cost (debt instruments)
- Financial assets at fair value through other comprehensive income (FVTOCI) with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at fair value through OCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at fair value through profit or loss

Financial assets at amortised cost (debt instruments)

A 'financial asset' is measured at the amortised cost if both the following conditions are met:

- a) Business Model Test :** The objective is to hold the financial asset to collect the contractual cash flows (rather than to sell the instrument prior to its contractual maturity to realize its fair value changes) and;
- b) Cash flow characteristics test:** The contractual terms of the financial asset give rise on specific dates to cash flows that are solely payments of principal and interest on principal amount outstanding.

This category is most relevant to the Group. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of EIR. EIR is the rate that exactly discounts the estimated future cash receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset. When calculating the effective interest rate, the Group estimates the expected cash flows by considering all the contractual terms of the financial instrument but does not consider the expected credit losses. The EIR amortization is included in other income in profit or loss. The losses arising from impairment are recognized in the profit or loss. This category generally applies to trade and other receivables.

Financial assets at fair value through OCI (FVTOCI) (debt instruments)

A 'financial asset' is classified as at the FVTOCI if both of the following criteria are met:

- a) Business Model Test :** The objective of financial instrument is achieved by both collecting contractual cash flows and selling the financial assets; and
- b) Cash flow characteristics test:** The contractual terms of the Debt instrument give rise on specific dates to cash flows that are solely payments of principal and interest on principal amount outstanding.

Debt instrument included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI), except for the recognition of interest income, impairment gains or losses and foreign exchange gains or losses which are recognized in statement of profit and loss and computed in the same manner as for financial assets measured at amortised cost. The remaining fair value changes are recognised in OCI. Upon derecognition, the cumulative fair value changes recognised in OCI is reclassified from the equity to profit or loss.

Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are carried in the balance sheet at fair value with net changes in fair value recognised in the statement of profit and loss. This category includes derivative instruments and listed equity investments which the Group had not irrevocably elected to classify at fair value through OCI. Dividends on listed equity investments are recognised in the statement of profit and loss when the right of payment has been established.

Financial assets designated at fair value through OCI (equity instruments)

Upon initial recognition, the Group can elect to classify irrevocably its equity investments as equity instruments designated at fair value through OCI when they meet the definition of equity under Ind AS 32 Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis. Equity instruments which are held for trading and contingent consideration recognised by an acquirer in a business combination to which Ind AS103 applies are classified as at FVTPL.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognised as other income in the statement of profit and loss when the right of payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at fair value through OCI are not subject to impairment assessment.

Embedded Derivatives

A derivative embedded in a hybrid contract, with a financial liability or non-financial host, is separated from the host and accounted for as a separate derivative if: the economic characteristics and risks are not closely related to the host; a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative; and the hybrid contract is not measured at fair value through profit or loss. Embedded derivatives are measured at fair value with changes in fair value recognised in profit or loss. Reassessment only occurs if there is either a change in the terms of the contract that significantly modifies the cash flows that would otherwise be required or a reclassification of a financial asset out of the fair value through profit or loss category.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a Group of similar financial assets) is primarily derecognised (i.e. removed from the Group's statement of financial position) when:

- The rights to receive cash flows from the asset have expired, or
- the Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a "pass through" arrangement and either;
 - (a) the Group has transferred substantially all the risks and rewards of the asset, or
 - (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the group could be required to repay.

Impairment of financial assets

In accordance with IND AS 109, the Group applies expected credit losses(ECL) model for measurement and recognition of impairment loss on the following financial asset and credit risk exposure

- Financial assets measured at amortized cost;
- Financial assets measured at fair value through other comprehensive income(FVTOCI);

ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

The Group follows "simplified approach" for recognition of impairment loss allowance on:

- Trade receivables or contract revenue receivables;
- All lease receivables resulting from the transactions within the scope of Ind AS 116 -Leases

Under the simplified approach, the Group does not track changes in credit risk. Rather , it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition. The Group uses a provision matrix to determine impairment loss allowance on the portfolio of trade receivables. The provision matrix is based on its historically observed default rates over the expected life of trade receivable and is adjusted for forward looking estimates. At every reporting date, the historical observed default rates are updated and changes in the forward looking estimates are analysed.

ECL impairment loss allowance (or reversal) recognized during the period is recognized as income/ expense in the statement of profit and loss. This amount is reflected under the head 'other expenses' in the statement of profit and loss. The balance sheet presentation for various financial instruments is described below:

(a) Financial assets measured as at amortised cost: ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria, the group does not reduce impairment allowance from the gross carrying amount.

(b) Loan commitments and financial guarantee contracts: ECL is presented as a provision in the balance sheet, i.e. as a liability.

(c) Debt instruments measured at FVTOCI: For debt instruments measured at FVTOCI, the expected credit losses do not reduce the carrying amount in the balance sheet, which remains at fair value. Instead, an amount equal to the allowance that would arise if the asset was measured at amortised cost is recognised in other comprehensive income as the accumulated impairment amount.

(ii) Financial liabilities:

Initial recognition and measurement

Financial liabilities are classified at initial recognition as financial liabilities at fair value through profit or loss, loans and borrowings, and payables, net of directly attributable transaction costs. All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs. The Group financial liabilities include loans and borrowings, trade payables, trade deposits, retention money, liabilities towards services, sales incentive and other payables.

Subsequent measurement

For purposes of subsequent measurement, financial liabilities are classified in two categories:

- (i) Financial liabilities at fair value through profit or loss
- (ii) Financial liabilities at amortised cost (loans and borrowings)

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationship as defined by Ind AS 109. The separated embedded derivate are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognized in the statement of profit and loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated as such at the initial date of recognition, and only if the criteria in IND AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognized in OCI. These gains/ loss are not subsequently transferred to profit and loss. However, the Group may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognized in the statement of profit or loss. the Group has not designated any financial liability as at fair value through profit and loss.

Financial liabilities at amortised cost (Loans and borrowings)

After initial recognition, interest-bearing borrowings are subsequently measured at amortized cost using the Effective interest rate method. Gains and losses are recognized in profit or loss when the liabilities are derecognised as well as through the Effective interest rate amortization process. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the Effective interest rate. The Effective interest rate amortization is included as finance costs in the statement of profit and loss.

Trade Payables

These amounts represents liabilities for goods and services provided to the Group prior to the end of financial year which are unpaid. The amounts are unsecured and are usually paid within 30 to 120 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognized initially at fair value and subsequently measured at amortized cost using Effective interest rate method.

Financial guarantee contracts

Financial guarantee contracts apart from which are considered as insurance contracts, issued by the Group are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognized initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of IND AS 109 and the amount recognized less cumulative amortization.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the statement of profit and loss.

Offsetting of financial instruments

Financials assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

Reclassification of financial assets/ financial liabilities

The Group determines classification of financial assets and liabilities on initial recognition. After initial recognition, no reclassification is made for financial assets which are equity instruments and financial liabilities. For financial assets which are debt instruments, a reclassification is made only if there is a change in the business model for managing those assets. Changes to the business model are expected to be infrequent. The Group's senior management determines change in the business model as a result of external or internal changes which are significant to the Group's operations. Such changes are evident to external parties. A change in the business model occurs when the Group either begins or ceases to perform an activity that is significant to its operations. If the Group reclassifies financial assets, it applies the reclassification prospectively from the reclassification date which is the first day of the immediately next reporting period following the change in business model. The Group does not restate any previously recognised gains, losses (including impairment gains or losses) or interest.

3.08 Derivative financial instruments and hedge accounting

Initial recognition and subsequent measurement

Derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

The purchase contracts that meet the definition of a derivative under Ind AS 109 are recognised in the statement of profit and loss. Commodity contracts that are entered into and continue to be held for the purpose of the receipt or delivery of a non-financial item in accordance with the Group's expected purchase, sale or usage requirements are held at cost.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to profit or loss, except for the effective portion of cash flow hedges, which is recognised in OCI and later reclassified to profit or loss when the hedge item affects profit or loss or treated as basis adjustment if a hedged forecast transaction subsequently results in the recognition of a non-financial asset or non-financial liability.

For the purpose of hedge accounting, hedges are classified as:

- (i) Fair value hedges when hedging the exposure to changes in the fair value of a recognised asset or liability or an unrecognised firm commitment
- (ii) Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognised firm commitment
- (iii) Hedges of a net investment in a foreign operation

Hedges that meet the strict criteria for hedge accounting are accounted for, as described below:

(i) Fair value hedges

The change in the fair value of a hedging instrument is recognised in the statement of profit and loss as finance costs. The change in the fair value of the hedged item attributable to the risk hedged is recorded as part of the carrying value of the hedged item and is also recognised in the statement of profit and loss as finance costs.

For fair value hedges relating to items carried at amortised cost, any adjustment to carrying value is amortised through profit or loss over the remaining term of the hedge using the EIR method. EIR amortization may begin as soon as an adjustment exists and no later than when the hedged item ceases to be adjusted for changes in its fair value attributable to the risk being hedged.

If the hedged item is derecognised, the unamortised fair value is recognised immediately in profit or loss. When an unrecognised firm commitment is designated as a hedged item, the subsequent cumulative change in the fair value of the firm commitment attributable to the hedged risk is recognised as an asset or liability with a corresponding gain or loss recognised in profit and loss.

(ii) Cash flow hedges

The effective portion of the gain or loss on the hedging instrument is recognised in OCI in the cash flow hedge reserve, while any ineffective portion is recognised immediately in the statement of profit and loss.

The ineffective portion relating to foreign currency contracts is recognised in finance costs and the ineffective portion relating to commodity contracts is recognised in other income or expenses.

Amounts recognised as OCI are transferred to profit or loss when the hedged transaction affects profit or loss, such as when the hedged financial income or financial expense is recognised or when a forecast sale occurs. When the hedged item is the cost of a non-financial asset or non-financial liability, the amounts recognised as OCI are transferred to the initial carrying amount of the non-financial asset or liability.

If the hedging instrument expires or is sold, terminated or exercised without replacement or rollover (as part of the hedging strategy), or if its designation as a hedge is revoked, or when the hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss previously recognised in OCI remains separately in equity until the forecast transaction occurs or the foreign currency firm commitment is met.

3.09 Inventories

a)

Basis of valuation:

Inventories are valued at lower of cost and net realizable value after providing cost of obsolescence, if any. However, materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be incorporated are expected to be sold at or above cost. The comparison of cost and net realizable value is made on an item-by-item basis.

b) Method of Valuation:

- i) Cost of raw materials has been determined by using moving weighted average cost method and comprises all costs of purchase, duties, taxes (other than those subsequently recoverable from tax authorities) and all other costs incurred in bringing the inventories to their present location and condition.
- ii) Cost of finished goods and work-in-progress includes direct labour and an appropriate share of fixed and variable production overheads and excise duty as applicable. Fixed production overheads are allocated on the basis of normal capacity of production facilities. Cost is determined on moving weighted average basis.
- iii) Cost of traded goods has been determined by using moving weighted average cost method and comprises all costs of purchase, duties, taxes (other than those subsequently recoverable from tax authorities) and all other costs incurred in bringing the inventories to their present location and condition.
- iv) Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.
- v) Development rights represent actual amount paid under agreement towards purchase of land/development rights for acquiring irrevocable and exclusive licenses/development rights in identified land or constructed properties valued at cost and net realizable value, whichever is lower.

3.10 Non-current assets held for sale and discontinued operations

The Group classifies non-current assets as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Such non-current assets classified as held for sale are measured at the lower of their carrying amount and fair value less costs to sell. Any expected loss is recognized immediately in the statement of profit and loss.

The criteria for held for sale classification is regarded as met only when the assets is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets, its sale is highly probable; and it will genuinely be sold. The Group treats sale of the asset to be highly probable when:

- i) The appropriate level of management is committed to a plan to sell the asset
- ii) An active programme to locate a buyer and complete the plan has been initiated (if applicable)
- iii) The asset is being actively marketed for sale at a price that is reasonable in relation to its current fair value,
- iv) The sale is expected to qualify for recognition as a completed sale within one year from the date of classification, and
- v) Actions required to complete the plan indicate that it is unlikely that significant changes to the plan will be made or that the plan

The criteria for held for sale classification is regarded as met only when the sale is highly probable and the asset is available for immediate sale in its present condition and the assets must have actively marketed for sale at a price that is reasonable in relation to its current fair value. Actions required to complete the sale should indicate that it is unlikely that significant changes to the plan to sale these assets will be made. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification.

Property, plant and equipment and intangible assets once classified as held for sale are not depreciated or amortized. Assets and liabilities classified as held for sale are presented separately as current items in the balance sheet.

A disposal group qualifies as discontinued operation if it is a component of an entity that either has been disposed of, or is classified as held for sale, and:

- i) Represents a separate major line of business or geographical area of operations,
- ii) Is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations or
- iii) Is a subsidiary acquired exclusively with a view to resale

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the statement of profit and loss.

3.11 Taxes

The income tax expense or credit for the period is the tax payable on the current period's taxable income based on the applicable income tax rate adjusted by changes in deferred tax assets and liabilities attributable to temporary differences and to unused tax losses. Tax expense for the year comprises of current tax and deferred tax.

a) Current income tax

Current income tax, assets and liabilities are measured at the amount expected to be paid to or recovered from the taxation authorities in accordance with the Income Tax Act, 1961 and the Income Computation and Disclosure Standards (ICDS) enacted in India by using tax rates and the tax laws that are enacted at the reporting date.

Current income tax relating to item recognized outside the statement of profit and loss is recognized outside profit or loss (either in other comprehensive income or equity). Current tax items are recognized in correlation to the underlying transactions either in OCI or directly in equity.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

b) Deferred Tax

Deferred tax is provided using the liability method on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill. Deferred income tax is also not accounted for if it arises from initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- i) When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- ii) In respect of taxable temporary differences associated with investments in associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised, except:

- i) When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.
- ii) In respect of deductible temporary differences associated with investments in associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognized outside the statement of profit and loss is recognized outside the statement of profit and loss (either in other comprehensive income or in equity). Deferred tax items are recognized in correlation to the underlying transaction either in OCI or direct in equity.

Tax benefits acquired as part of a business combination, but not satisfying the criteria for separate recognition at that date, are recognised subsequently if new information about facts and circumstances change. Acquired deferred tax benefits recognised within the measurement period reduce goodwill related to that acquisition if they result from new information obtained about facts and circumstances existing at the acquisition date. If the carrying amount of goodwill is zero, any remaining deferred tax benefits are recognised in OCI/ capital reserve depending on the principle explained for bargain purchase gains. All other acquired tax benefits realized are recognised in profit or loss.

Minimum alternate tax (MAT) paid in a year is charged to the statement of profit and loss as current tax for the year. The deferred tax asset is recognised for MAT credit available only to the extent that it is probable that the concerned Group will pay normal income tax during the specified period, i.e., the period for which MAT credit is allowed to be carried forward. In the year in which the Group recognizes MAT credit as an asset, it is created by way of credit to the statement of profit and loss and shown as part of reduction from deferred tax liability. The Group reviews the "MAT credit entitlement" asset at each reporting date and writes down the asset to the extent that it is no longer probable that it will pay normal tax during the specified period.

In the situations where any unit of the Group is entitled to a tax holiday under the Income-tax Act, 1961 enacted in India, no deferred tax (asset or liability) is recognized in respect of temporary differences which reverse during the tax holiday period, to the extent the unit's gross total income is subject to the deduction during the tax holiday period. Deferred tax in respect of temporary differences which reverse after the tax holiday period is recognized in the year in which the temporary differences originate. However, the Group restricts recognition of deferred tax assets to the extent it is probable that sufficient future taxable income will be available against which such deferred tax assets can be realized. For recognition of deferred taxes, the temporary differences which originate first are considered to reverse first.

3.12 Revenue from contract with customers

The Group manufactures/ trades and sells a range of pharmaceutical and healthcare products. Revenue from contracts with customers involving sale of these products is recognized at a point in time when control of the product has been transferred, and there are no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products are shipped to specific location and control has been transferred to the customers. The Group has objective evidence that all criterion for acceptance has been satisfied.

(a) Sale of goods

Revenue from sale of goods is recognised at the point in time when control of the goods is transferred to the customer, generally on delivery of the goods and there are no unfulfilled obligations.

The Group considers, whether there are other promises in the contract in which there are separate performance obligations, to which a portion of the transaction price needs to be allocated. In determining the transaction price for the sale of goods, the Group allocates a portion of the transaction price to goods based on its relative standalone prices and also considers the following:-

(i) Variable consideration

The Group recognizes revenue from the sale of goods measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates. If the consideration in a contract includes a variable amount, the Group estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

(ii) Sales Return

The Group accounts for sales returns accrual by recording an allowance for sales returns concurrent with the recognition of revenue at the time of a product sale. This allowance is based on the Group's estimate of expected sales returns. With respect to established products, the Group considers its historical experience of sales returns, levels of inventory in the distribution channel, estimated shelf life, product discontinuances, price changes of competitive products, and the introduction of competitive new products, to the extent each of these factors impact the Group's business and markets. With respect to new products introduced by the Group, such products have historically been either extensions of an existing line of product where the Group has historical experience or in therapeutic categories where established products exist and are sold either by the Group or the Group's competitors.

(iii) Significant Financing Components

In respect of short-term advances from its customers, using the practical expedient in Ind AS 115, the Group does not adjust the promised amount of consideration for the effects of a significant financing component if it expects, at contract inception, that the period between the transfer of the promised good or service to the customer and when the customer pays for that good or service will be within normal operating cycle.

(iv) Schemes

The Group operates several sales incentive programmes wherein the customers are eligible for several benefits on achievement of underlying conditions as prescribed in the scheme programme such as credit notes, reimbursement, investments etc. Revenue from contract with customer is presented deducting cost of all these schemes.

(b) Sale of services

Revenues from services are recognised as and when services are rendered and on the basis of contractual terms with the parties. The performance obligation in respect of professional services is satisfied over a period of time and acceptance of the customer. In respect of these services, payment is generally due upon completion of services. Further, obligation of the Group is to provide shared services to its group companies and accordingly recognises revenue over the period of the contract based on the services rendered.

c) 'Revenue from real estate projects

Revenue from constructed properties for all projects is recognized in accordance with the Ind AS 115 "Revenue from contracts with customers" percentage of completion method and on the percentage of actual project costs incurred thereon to total estimated project cost, provided the conditions specified in Guidance Note are satisfied.

d) Sale of development rights

Sale of development rights is recognized in the financial year in which the agreements of sale are executed and there exists no uncertainty in the ultimate collection of consideration from buyers.

e) Other Operating Revenues

(i) Rental Income

Rental income arising from operating leases on investment properties is accounted for on a straight - line basis over the lease terms and is included in other income in the statement of profit or loss due to its non-operating nature.

(ii) Interest Income

For all debt instruments measured either at amortised cost or at fair value through other comprehensive income, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortised cost of a financial liability. When calculating the effective interest rate, the Group estimates the expected cash flows by considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) but does not consider the expected credit losses. Interest income is included in other income in the statement of profit and loss.

(iii) Export benefit

Revenue from export benefits arising from Duty entitlement pass book (DEPB scheme), duty drawback scheme, merchandise export incentive scheme are recognised on export of goods in accordance with their respective underlying scheme at fair value of consideration received or receivable.

(c) Contract balances

A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognised for the earned consideration that is conditional. A receivables represents the Group's right to an amount of consideration that is unconditional.

A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognised when the payment is made or the payment is due (whichever is earlier). Contract liabilities are recognised as revenue when the Group performs under the contract.

A trade receivable is recognised if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section (Financial instruments – initial recognition and subsequent measurement).

3.13 Retirement and other employee benefits

(i) Short-term obligations

Liabilities for wages and salaries, including non monetary benefits that are expected to be settled wholly within twelve months after the end of the period in which the employees render the related service are recognized in respect of employee service upto the end of the reporting period and are measured at the amount expected to be paid when the liabilities are settled. The liabilities are presented as current employee benefit obligations in the balance sheet.

(ii) Other long-term employee benefit obligations

a) Gratuity

The Group has a defined benefit plan (the "Gratuity Plan"). The Gratuity Plan provides a lump sum payment to employees who have completed four years and two forty days or more of service at retirement, disability or termination of employment, being an amount based on the respective employee's last drawn salary and the number of years of employment with the Group.

The Gratuity Plan, which is defined benefit plan, is either funded or managed by Trust with its investments. The liabilities with respect to Gratuity Plan are determined by actuarial valuation on projected unit credit method on the balance sheet date, based upon which the Group contributes to the Gratuity Scheme. The difference, if any, between the actuarial valuation of the gratuity of employees at the year end and the balance of funds is provided for as assets/ (liability) in the books. Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Group recognizes the following changes in the net defined benefit obligation under Employee benefit expense in statement of profit or loss:

a) Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements

b) Net interest expense or income

Remeasurements, comprising of actuarial gains and losses, the effect of the asset ceiling, excluding amounts included in net interest on the net defined benefit liability and the return on plan assets (excluding amounts included in net interest on the net defined benefit liability), are recognized immediately in the Balance Sheet with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods.

b) **Provident fund**

Retirement benefit in the form of provident fund is a defined contribution scheme. The Group has no obligation, other than the contribution payable to the provident fund. The Group recognizes contribution payable through provident fund scheme as an expense, when an employee renders the related services. If the contribution payable to scheme for service received before the balance sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognized as liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the balance sheet date, then excesses recognized as an asset to the extent that the prepayment will lead to, for example, a reduction in future payment or a cash refund.

c) **Other employee benefits**

Compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related service are recognised as a liability at the present value of the defined benefit obligation as at the balance sheet date on the basis of actuarial valuation.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the period in which they occur, directly in other comprehensive income and are never reclassified to statement of profit and loss. Changes in the present value of the defined benefit obligation resulting from plan amendments or curtailments are recognised immediately in the statement of profit and loss as past service cost.

3.14 Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group's lease asset classes primarily comprise of lease for land and building. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

i) Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the building (i.e. 30 and 60 years).

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The right-of-use assets are also subject to impairment. Refer to the accounting policies in section 'Impairment of non-financial assets'.

ii) Lease Liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

(iii) Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Group as a lessor

Leases for which the Group is a lessor is classified as finance or operating lease. Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease terms. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

3.15 Government Grants

Government Grants are recognized at their fair value when there is reasonable assurance that the grant will be received and all the attached conditions will be complied with.

When the grant relates to an expense item, it is recognized as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed. Government grant related to the non-monetary asset are recognised at nominal value and presented by deducting the same from carrying amount of related asset and the grant is then recognised in profit or loss over the useful life of the depreciable asset by way of a reduced depreciation charge.

3.16 Segment reporting :

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Board of directors monitors the operating results of all product segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on profit and loss and is measured consistently with profit and loss in the financial statements.

3.17 Earnings Per Share

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period. The weighted average number of equity shares outstanding during the period is adjusted for events such as bonus issue, bonus element in a rights issue, share split, and reverse share split (consolidation of shares) that have changed the number of equity shares outstanding, without a corresponding change in resources.

For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period are adjusted for the effect of all potentially dilutive equity shares.

3.18 Borrowing Costs

Borrowing cost includes interest and other costs incurred in connection with the borrowing of funds and charged to Statement of Profit & Loss on the basis of effective interest rate (EIR) method. Borrowing cost also includes exchange differences to the extent regarded as an adjustment to the borrowing cost.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective asset. All other borrowing costs are recognized as expense in the period in which they occur.

3.19 Exceptional Items

Exceptional items are transactions which due to their size or incidence are separately disclosed to enable a full understanding of the Group's financial performance. Items which may be considered exceptional are significant restructuring charges, gains or losses on disposal of investments in associates and joint venture and impairment losses/ write down in value of investment in subsidiaries, associates and joint venture and significant disposal of fixed assets etc.

3.20 Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, that are readily convertible to a known amount of cash and subject to an insignificant risk of changes in value.

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, deposit held at call with financial institutions, other short - term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the balance sheet.

3.21 Foreign currency translation

(i) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The Group's financial statements are presented in Indian rupee (INR) which is also the Group's functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rate prevailing at the date of the transaction. Foreign exchange gains and losses resulting from the settlement of such transaction and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rate are generally recognised in the statement of profit and loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

(iii) Exchange differences

Exchange differences arising on settlement or translation of monetary items are recognized as income or expense in the period in which they arise with the exception of exchange differences on gain or loss arising on translation of non-monetary items measured at fair value which is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognized in OCI or profit or loss are also recognized in OCI or profit or loss, respectively).

Group Companies

On consolidation, the results and financial position of foreign operations that have a functional currency different from the presentation currency (INR) are translated to the presentation currency (INR) in the following manner:

- a)** Assets and liabilities are translated at the rate of exchange prevailing at the reporting date
- b)** Their statements of profit and loss are translated at exchange rates prevailing at the dates of the transactions. For practical reasons, the group uses an average rate to translate income and expense items, if the average rate approximates the exchange rates at the dates of the transactions
- c)** All resulting exchange differences arising on translation of financial statement of foreign operations for consolidation are recognised in other comprehensive income.
- d)** On disposal of a foreign operation, the component of OCI relating to that particular foreign operation is recognised in profit or loss.
- e)** Any Goodwill arising on the acquisition/business combination of a foreign operation and any fair value adjustments to the carrying amounts of assets and liabilities arising on the acquisition are treated as assets and liabilities of the foreign operation and translated at the spot rate of exchange at the reporting date.
- f)** Gain or loss on a subsequent disposal of any foreign operation excludes translation differences that arose before the date of transition but includes only translation differences arising after the transition date.

3.22 Provisions and Contingent Liabilities

Provisions

A provision is recognized when the Group has a present obligation (legal or constructive) as a result of past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

Sales Return

Provisions for sales returns is determined based on the historical percentage of sales return for the same types of goods for which the provision is currently being determined. The same percentage to the sales is applied for the current accounting period to derive the provision for sales return to be accrued. It is very unlikely that actual sales return will exactly match the historical percentage, so such estimates are reviewed annually for any material changes in assumptions and likelihood of occurrence.

Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Group or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases, where there is a liability that cannot be recognized because it cannot be measured reliably. the Group does not recognize a contingent liability but discloses its existence in the financial statements unless the probability of outflow of resources is remote.

Provisions, contingent liabilities, contingent assets and commitments are reviewed at each balance sheet date.

3.23 Dividend Distributions

The Group recognizes a liability to make the payment of dividend to owners of equity, when the distribution is authorised and the distribution is no longer at the discretion of the Group. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders. A corresponding amount is recognised directly in equity.

3.24 Fair value measurement

The Group measures financial instruments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- (i) In the principal market for asset or liability, or
- (ii) In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non- financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1- Quoted(unadjusted) market prices in active markets for identical assets or liabilities

Level 2- Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3- Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

3.25 Significant accounting judgments, estimates and assumptions

The preparation of the Consolidated financial statements requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these judgements, assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, which have the most significant effect on the amounts recognized in the financial statements.

a) Leases

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Group has several lease contracts that include extension and termination options. The Group applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation to the leased asset).

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group based its assumptions and estimates on parameters available when the Consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

a) Taxes

Uncertainties exist with respect to the interpretation of tax regulations, changes in tax laws, and the amount and timing of future taxable income. Given the wide range of business relationships differences arising between the actual results and the assumptions made, or future changes to such assumptions, could necessitate future adjustments to tax income and expense already recorded. The Group establishes provisions, based on reasonable estimates. The amount of such provisions is based on various factors, such as experience of previous tax audits and differing interpretations of tax regulations by the taxable entity and the responsible tax authority.

b) Gratuity benefit

The cost of defined benefit plans (i.e. Gratuity benefit) is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. In determining the appropriate discount rate, management considers the interest rates of long term government bonds with extrapolated maturity corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables for India. Future salary increases and pension increases are based on expected future inflation rates for India. Further details about the assumptions used, including a sensitivity analysis, are given in Note 39.

c) Fair value measurement of financial instrument

When the fair value of financial assets and financial liabilities recorded in the balance sheet cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques including the Discounted Cash Flow (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgment is required in establishing fair values. Judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

d) Impairment of financial assets

The impairment provisions of financial assets are based on assumptions about risk of default and expected loss rates. the Group uses judgment in making these assumptions and selecting the inputs to the impairment calculation, based on Group's past history ,existing market conditions as well as forward looking estimates at the end of each reporting period.

e) Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An assets recoverable amount is the higher of an asset's CGU'S fair value less cost of disposal and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use , the estimated future cash flows are estimated based on past rend and discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are taken into account. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, or other fair value indicators.

f) Provision for sales return

Provisions for sales returns is determined based on the historical percentage of sales return for the same types of goods for which the provision is currently being determined. The same percentage to the sales is applied for the current accounting period to derive the provision for sales return to be accrued. It is very unlikely that actual sales return will exactly match the historical percentage, so such estimates are reviewed annually for any material changes in assumptions and likelihood of occurrence.

g) Provision for expected credit losses (ECL) of trade receivables and contract assets

The Group uses a provision matrix to calculate ECLs for trade receivables and contract assets. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns (i.e., by geography, product type, customer type and rating, and coverage by letters of credit and other forms of credit insurance). The provision matrix is initially based on the Group's historical observed default rates. The Group will calibrate the matrix to adjust the historical credit loss experience with forward-looking information. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Group's trade receivables and contract assets is disclosed in Note 22.

h) Property, Plant and Equipment

Property, Plant and Equipment represent significant portion of the asset base of the Company. The charge in respect of periodic depreciation is derived after determining an estimate of assets expected useful life and expected value at the end of its useful life. The useful life and residual value of Group's assets are determined by Management at the time asset is acquired and reviewed periodically including at the end of each year. The useful life is based on historical experience with similar assets, in anticipation of future events, which may have impact on their life such as change in technology.

3.26 Standards issued but not effective

There are no standards that are issued but not yet effective on March 31, 2021.

Mankind Pharma Limited

Planning Finance Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021

All amounts are in INR lacs unless otherwise stated

4 Property, plant and equipment

Carrying amounts of:

Own Assets:		
Freehold land	24,142.45	24,175.24
Leasehold land	-	-
Leasehold improvements	323.08	364.06
Building	50,269.96	49,739.92
Plant and equipments	70,727.70	65,350.11
Furniture and fixtures	6,188.40	5,873.12
Vehicles	2,181.22	2,263.11
Office equipment	1,509.44	836.06
Computers	1,228.65	1,280.01
Right-of-use assets:		
Leasehold land	4,855.55	4,890.25
Building	580.62	362.53

Capital work in progress

Gross carrying value:													
Balance as at 01 April 2019													32,680.29
Additions	23,874.55	5,101.87											29,365.97
Disposals/ adjustments	306.11	-	345.34	45,990.64	71,204.29	9,029.93	2,490.78	1,825.20	2,033.62	-	-	446.43	14,513.85
Transition impact on account of adoption of	-	-	152.18	9,555.48	16,255.46	1,054.03	990.82	166.79	438.67	-	-	(821.23)	(15,868.28)
Reclassified on account of adoption of Ind AS	-	-	0.21	-	(523.32)	(22.90)	(262.90)	(11.82)	(0.50)	-	-	31.90	-
Transfer to Investment property (refer note 5)	-	(5,101.87)	-	-	-	-	-	-	-	31.90	-	-	-
Transfer to assets held for sale	(4.57)	-	-	-	-	-	-	-	-	4,919.79	-	-	(182.08)
	(0.85)	-	-	-	-	-	-	-	-	(4.57)	-	-	(0.85)
Balance as at March 31, 2020	24,175.24	-	497.73	55,546.12	86,936.43	10,061.06	3,218.70	1,980.17	2,471.79	4,951.69	446.43	1,90,285.36	31,325.86
Additions	53.68	-	103.26	2,310.93	12,046.63	1,065.64	319.37	1,420.72	423.95	30.06	-	18,122.69	16,757.10
Disposals/ adjustments	(86.47)	-	-	(355.84)	(1,083.98)	(22.11)	(167.82)	(8.48)	(199.69)	-	-	(1,924.39)	(10,921.34)
Balance as at March 31, 2021	24,142.45	-	600.99	57,501.21	97,899.08	11,104.59	3,370.25	3,392.41	2,696.05	4,981.75	794.88	2,06,483.66	37,161.62
Accumulated depreciation:													
Balance as at 01 April 2019		182.08	24.61	4,322.99	16,411.48	3,346.85	836.82	774.00	784.02	-	-	26,682.85	-
Depreciation expense	-	-	108.95	1,483.21	5,377.31	842.17	327.47	379.49	408.17	61.44	83.90	(421.93)	-
Disposals/ adjustments	-	-	0.11	-	(202.47)	(1.08)	(208.70)	(9.38)	(0.41)	-	-	(182.08)	-
Reclassified on account of adoption of Ind AS	(182.08)	-	-	-	-	-	-	-	-	-	-	-	-
Balance as at March 31, 2020	-	-	133.67	5,806.20	21,586.32	4,187.94	955.59	1,144.11	1,191.78	61.44	83.90	35,150.95	-
Depreciation expense	-	-	144.24	1,620.99	6,235.29	737.20	369.41	746.12	434.24	64.76	130.36	10,482.61	-
Disposals/ adjustments	-	-	-	(195.94)	(650.23)	(8.95)	(135.97)	(7.26)	(158.62)	-	-	(1,156.97)	-
Balance as at March 31, 2021	-	-	277.91	7,231.25	27,171.38	4,916.19	1,189.03	1,882.97	1,467.40	126.20	214.26	44,476.59	-
Balance as at March 31, 2020	24,175.24	-	364.06	49,739.92	65,350.11	5,873.12	2,263.11	836.06	1,280.01	4,890.25	362.53	1,55,134.41	31,325.86
Balance as at March 31, 2021	24,142.45	-	323.08	50,269.96	70,727.70	6,188.40	2,181.22	1,509.44	1,228.65	4,855.55	580.62	1,62,007.07	37,161.62

Note :

i. During the year ended March 31, 2021, additions to plant and equipment includes INR 427.54 lacs (March 31, 2020 : INR 293.20 lacs) on account of government assistance in the form of the duty benefit availed under Export Promotion Capital Goods (EPCG) Scheme on import of plant and equipment. Closing balance of Capital work-in-progress as at March 31, 2021 include INR 856.59 lacs (as at March 31, 2020 : INR 664.71 lacs) for this benefit.

ii. Furniture and fittings include electrical fittings of written down value of INR 3,073.96 Lacs as on March 31, 2021 (March 31, 2020, INR 2,838.12 lacs).

iii. Capital work in progress as at March 31, 2021 includes assets under construction at various plants including new head office and production lines which are pending installation.

iv. Disclosure of contractual commitments for the acquisition of property, plant and equipment has been provided in note 36B.

v. The net block of leasehold land of INR 4,919.79 lacs (Gross Block: INR 5,101.87 lacs and accumulated depreciation: INR 182.08 lacs) has been reclassified to 'Right of Use' assets on account of adoption of Ind AS 116 'Leases' during the previous year ended March 31, 2020. Refer note 52.

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated
5 Investment properties
Non-Current
Carrying amounts of:

Freehold land

Building

	As at March 31, 2021	As at March 31, 2020
	383.23	383.23
	167.12	172.59
	550.35	555.82
Freehold land	Building	Total
Gross block (at cost)		
Balance as at 01 April 2019	378.66	695.22
Additions	4.57	-
Disposals/ adjustments	-	(522.63)
Balance as at March 31, 2020	383.23	172.59
		555.82
Additions	-	-
Disposals/ adjustments	-	-
Balance as at March 31, 2021	383.23	172.59
		555.82
Accumulated depreciation:		
Balance as at 01 April 2019	-	34.79
Depreciation expense	-	0.73
Disposals/ adjustments	-	(35.52)
Balance as at March 31, 2020	-	-
Depreciation expense	-	5.47
Disposals/ adjustments	-	-
Balance as at March 31, 2021	-	5.47
		5.47
Net carrying value:		
Balance as at March 31, 2020	383.23	172.59
Balance as at March 31, 2021	383.23	167.12
		555.82

Information regarding income & expenditure of investment property:

	For the year ended March 31, 2021	For the year ended March 31, 2020
a) Rental Income from investment properties	7.32	17.92
b) Less : Direct operating expenses - generating rental income	-	-
c) Less: Depreciation charge	(5.47)	(0.73)
d) Profit arising on the same	1.85	17.19
	As at March 31, 2021	As at March 31, 2020
e) Fair value of investment property	622.89	594.02

Note :

1. Investment property represents, land and building under construction at Distt - Tehri Garhwal amounting to INR 545.78 lacs (March 31, 2020: INR 551.25 lacs) held to earn rentals and capital appreciation, and includes land and building being a premise in Meerut, Uttar Pradesh, held for capital appreciation purpose amounting to INR 4.57 lacs (March 31, 2020: 4.57 lacs).

Fair Value Hierarchy

The above fair valuation are based on valuations performed by an accredited independent valuer, who is specialised in valuing such type of investment property. The Group has no restrictions on the realisability of its investment property and no contractual obligation to purchase, construct or develop or for repair & maintenance.

Description of Valuation Technique used:

The Group obtains Independent Valuations of its investment properties as at the year end. The fair value of the investment properties have been derived using the Direct Comparison Method. The direct comparison approach involves a comparison of the investment properties to similar properties that have actually been sold in arms-length distance from investment properties or are offered for sale in the same region. This approach demonstrates what buyers have historically been willing to pay (and sellers willing to accept) for similar properties in an open and competitive market, and is particularly useful in estimating the value of the land and properties that are typically traded on a unit basis. This approach leads to a reasonable estimation of the prevailing price. Given that the comparable instances are located in close proximity to the investment properties; these instances have been assessed for their locational comparative advantages and disadvantages while arriving at the indicative price assessment for investment properties.

The fair value of investment property has been determined by Akhil Kumar and Associates, Government approved valuer. The main inputs used are the rental growth rates, expected vacancy rates, terminal yields and discount rates based on comparable transactions and industry data. All resulting fair value estimates for investment property are included in level 3.

Sensitivity analysis of the investment property fair value assumptions

Further the Group has performed sensitivity analysis on the assumptions used by the valuer and ensured that the valuation of investment property is appropriate.

Notes forming part of the consolidated financial statements for the year ended March 31, 2021

- Computer software
- Other intangible assets
- Right of use - brand

Intangible assets under development

Balance as at March 31, 2021

a. Other intangible assets includes rights available with the Group to market certain licensed medicines in designated territory as per arrangements with respective customers. These are amortised as per the terms of the contract having life of 2 to 12 years.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated****b. Impairment of Goodwill and other intangible assets**

The Group performed its annual impairment test for Goodwill and intangible assets with indefinite useful lives for years ended 31 March 2021 and 31 March 2020, to ascertain the recoverable amount of CGU which is single cash generating unit i.e. pharmaceuticals business. The Group considers the relationship between its market capitalisation and its book value, among other factors, when reviewing for indicators of impairment. The recoverable amount is determined based on value in use calculation. These calculations uses management assumptions and pre tax cash flow projections based on financial budgets approved by management covering a 5 to 8 years period. Cash flow projection beyond 5 years time period are extrapolated using the estimated growth rates which is consistent with forecasts included in industry reports specific to industry in which CGU operates.

The Group has provided for an impairment loss on goodwill of INR Nil and Impairment loss of INR Nil in 'Right of use-Brand' with respect to its subsidiary 'Mahananda Spa and Resorts Private Limited' for the year ended March 31, 2021 (INR 0.34 lacs and INR 2,076.60 lacs for the year ended March 31, 2020 respectively).

The Group has performed a detailed analysis to identify indicators of impairment in respect of its assets considering internal and external factors in accordance with Ind-AS 36 - Impairment of assets. The Group has allocated assets wherever indicators exist to its respective Cash Generating Unit i.e. Pharmaceutical and healthcare products, Real estate and hospitality and performed impairment test to ascertain the recoverable amount. The recoverable amount is determined either based on value in use calculation or net selling price.

(i) The Group uses discounted cash flow method for calculating recoverable amount in respect of CGU of Pharmaceutical and healthcare products. The discounted cash flow calculations uses management assumptions and pre tax cash flow projections based on financial budgets approved by respective entities management covering a 5 to 8 years period. Cash flow projection beyond 5 to 8 years time period are extrapolated using the estimated growth rates which is consistent with forecasts included in industry reports specific to industry in which CGU operates. Management has determined following assumptions for impairment testing of investments as stated below.

Assumption	March 31, 2021	March 31, 2020	Approach used in determining value
Weighted average Cost of capital % (WACC) before tax (discount rate)	14.00-15.00%	12.50-14.00%	It has been determined basis risk free rate of return adjusted for equity risk premium.
Long Term Growth Rate	4%	4%	Long term growth rate has been taken basis financial budgets and projections approved by management which is in line with industry growth rate

(ii) The Group uses the Direct Comparison Method in case of hospitality and real estate business. The direct comparison approach involves a comparison of the properties to similar properties that have actually been sold in arms-length distance from properties or are offered for sale in the same region. This approach demonstrates what buyers have historically been willing to pay (and sellers willing to accept) for similar properties in an open and competitive market, and is particularly useful in estimating the value of the land and properties that are typically traded on a unit basis. This approach leads to a reasonable estimation of the prevailing price. Given that the comparable instances are located in close proximity to the properties; these instances have been assessed for their locational comparative advantages and disadvantages while arriving at the indicative price assessment for properties.

The fair value has been determined by Akhil Kumar and Associates, Government approved valuer. The main inputs used are the rental growth rates, expected vacancy rates, terminal yields and discount rates based on comparable transactions and industry data. All resulting fair value estimates are included in level 3.

Management determined budgeted gross margin based on past performance and its expectations of market development. The weighted average growth rates used are consistent with the forecasts included in industry reports. The calculations performed indicate that there is impairment of investments in some investments in few pharma and pharma packing investments. Management has performed a sensitivity analysis with respect to changes in assumptions for assessment of value-in-use of Investments. Based on this analysis, management believes that change in any of above assumption would not cause any material possible change in carrying value of unit's CGU over and above its recoverable amount, other than those already accounted as at March 31, 2021.

Sensitivity analysis of assumptions

Further the Group has performed sensitivity analysis on the assumptions used by the valuer and ensured that the valuation is appropriate and appropriate accrual has been made for provision of impairment wherever considered necessary.

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

		As at March 31, 2021			As at March 31, 2020		
		Face Value per share	Units/ shares (in nos.)	Amount	Amount	Units/ shares (in nos.)	Amount
Non- Current							
(a) Investment in unquoted equity instruments - (carrying amount determined using the equity method of accounting)							
Associates							
ANM Pharma Private Limited	INR 10		7,85,606		278.51		209.71
Simmour Remedies Private Limited	INR 100		40,000	5,006.63		4,863.95	
Less : Provision for the diminution in the value of Investment				<u>(2,500.00)</u>	2,506.63	<u>(2,500.00)</u>	2,363.95
(c) Investment in partnership firms (see note (b) below)							
Joint controlled entities							
Superba Buildwell	-	-	-	-	1,341.45	-	1,389.71
Superba Developers	-	-	-	-	1,326.76	-	1,360.29
Superba Buildwell (South)	-	-	-	-	2,747.20	-	2,762.60
Associates							
J K Print Packs				3,389.83		3,245.35	
				<u>(2,050.00)</u>	1,339.83	<u>(2,050.00)</u>	1,195.35
N S Industries				3,505.21		3,295.32	
				<u>(400.00)</u>	3,105.21	<u>(400.00)</u>	2,895.32
A S Packers					2,442.14		2,247.63
Om Sai Pharma Pack				2,290.95		2,813.42	
				<u>(800.00)</u>	1,490.95	<u>(800.00)</u>	2,013.42
Total					<u>16,578.68</u>		<u>16,437.98</u>
Aggregate amount of unquoted investments					16,578.68		16,437.98
Aggregate amount of impairment in value of investment					5,750.00		5,750.00

Notes:

- Investment in associates are accounted for using the equity method in the consolidated financial statements.
- Investment in partnership firms are measured at equity method, and are shown as net of contribution, drawings and share of profit/ loss for the respective year.
- Following are the details of investment in partnership firms disclosing their capital and share in profit / (loss) as at March 31, 2021 and March 31, 2020:

Partnership Firm	Partners	Capital March 31, 2021	Share of profit	Capital March 31, 2020	Share of profit
Superba Buildwell	Rajeev Juneja	88.54	3.30%	90.90	3.30%
	Sheetal Arora	75.12	2.80%	77.12	2.80%
	Neeraj Garg	268.29	10.00%	275.44	10.00%
	Rakesh Gupta	268.29	10.00%	275.44	10.00%
	Deepali Garg	268.29	10.00%	275.44	10.00%
	Rashi Singhal	66.65	5.00%	70.22	5.00%
	Shagun Singhal Garg	46.65	5.00%	50.22	5.00%
	Mankind Pharma Ltd	1,341.45	50.00%	1,377.22	50.00%
	Arjun Juneja	104.63	3.90%	107.42	3.90%
		2,527.91	100.00%	2,599.42	100.00%
Superba Developers	Mankind Pharma Ltd	1,326.77	60.00%	1,351.29	60.00%
	Chirag Garg	208.64	15.00%	214.78	15.00%
	Usha Gupta	208.64	15.00%	214.78	15.00%
	Rajeev Juneja	30.18	3.30%	31.53	3.30%
	Sheetal Arora	24.52	2.80%	25.67	2.80%
	Arjun Juneja	14.53	3.90%	16.12	3.90%
		1,813.28	100.00%	1,854.17	100.00%
Superba Buildwell (South)	Ajai Agarwal	192.31	10.00%	194.51	10.00%
	Mankind Pharma Ltd	2,747.20	70.00%	2,762.60	70.00%
	Parag Gupta	192.31	10.00%	194.51	10.00%
	Uma Gupta	192.31	10.00%	194.51	10.00%
		3,324.13	100.00%	3,346.13	100.00%
J K Print Packs	Veer Pal Singh	453.51	18.50%	375.54	18.50%
	Nikunj Tyagi	451.96	18.50%	429.78	18.50%
	Konark Bansal	661.76	30.00%	500.57	30.00%
	Appian Properties Private Limited	798.44	33.00%	659.29	33.00%
		2,365.67	100.00%	1,965.18	100.00%
N S Industries	Puneet Tyagi	1,444.68	52.00%	1,035.89	52.00%
	Appian Properties Private Limited	1,367.63	48.00%	990.27	48.00%
		2,812.31	100.00%	2,026.16	100.00%
A S Packers	Surbhi Tyagi	1,378.55	50.00%	1,222.93	50.00%
	Appian Properties Private Limited	1,311.43	50.00%	1,141.83	50.00%
		2,689.98	100.00%	2,364.76	100.00%
Om Sai Pharma Pack	Arun Kumar Vasishtha	275.84	10.00%	237.33	10.00%
	Siddharth Vasishtha	271.74	10.00%	233.23	10.00%
	Deepak Mehendiratta	394.79	10.00%	381.28	10.00%
	Dhruv Mehendiratta	150.63	10.00%	87.12	10.00%
	Anshul Sikri	401.14	14.00%	345.82	14.00%
	Pochiraju Venkata Padmaja	163.46	6.00%	139.76	6.00%
	Esha Arora Tiwari	1,427.00	20.00%	1,347.98	20.00%
	Mankind Pharma Ltd	2,307.53	20.00%	2,828.51	20.00%
		5,392.13	100.00%	5,601.03	100.00%

d. Impairment of investments

The Group has performed a detailed analysis to identify indicators of impairment in respect of its investment portfolio considering internal and external factors in accordance with Ind-AS 36 - Impairment of assets. The Group has allocated investments wherever indicators exist to its respective Cash Generating Unit i.e. Pharmaceutical and healthcare products, Real estate and hospitality and performed impairment test to ascertain the recoverable amount. The recoverable amount is determined either based on value in use calculation or net selling price. The discounted cash flow calculations uses management assumptions and pre tax cash flow projections based on financed budgets approved by respective entities management covering a 5 to 8 years period. Cash flow projection beyond 5 to 8 years time period are extrapolated using the estimated growth rates which is consistent with forecasts included in industry reports specific to industry in which CGU operates. The fair value have been derived using the Direct Comparison Method. The direct comparison approach involves a comparison of the properties to similar properties that have actually been sold in arms-length distance from properties or are offered for sale in the same region. This approach demonstrates what buyers have historically been willing to pay (and sellers willing to accept) for similar properties in an open and competitive market, and is particularly useful in estimating the value of the land and properties that are typically traded on a unit basis. This approach leads to a reasonable estimation of the prevailing price. Given that the comparable instances are located in close proximity to the properties; these instances have been assessed for their locational comparative advantages and disadvantages while arriving at the indicative price assessment for properties. The fair value has been determined by Akhil Kumar and Associates, Government approved valuer. The main inputs used are the rental growth rates, expected vacancy rates, terminal yields and discount rates based on comparable transactions and industry data. All resulting fair value estimates are included in level 3. In respect of investment in real estate and hospitality, management has considered their fair value considering the Direct comparison method. Management has determined following assumptions for impairment testing of investments as stated below.

Assumption	March 31, 2021	March 31, 2020	Approach used in determining value
Weighted average Cost of capital % (WACC) before tax (discount rate)	11.00-14.00%	12.50-14.00%	It has been determined basis risk free rate of return adjusted for equity risk premium.
Long Term Growth Rate	4.00%-5.00%	4.00%-5.00%	Long term growth rate has been taken basis financial budgets and projections approved by management which is in line with industry growth rate

Management determined budgeted gross margin based on past performance and its expectations of market development. The weighted average growth rates used are consistent with the forecasts included in industry reports. The calculations performed indicate that there is impairment of investments in some investments in real estate sector, hospitality sector and few pharma and pharma packing investments. Management has performed a sensitivity analysis with respect to changes in assumptions for assessment of value-in-use of Investments. Based on this analysis, management believes that change in any of above assumption would not cause any material possible change in carrying value of unit's CGU over and above its recoverable amount, other than those already accounted as at March 31, 2021.

Sensitivity analysis of assumptions

Further the Group has performed sensitivity analysis on the assumptions used by the valuer and ensured that the valuation is appropriate.

8 Non Current Investments		As at March 31, 2021		As at March 31, 2020		
		Face Value per share	Shares	Amount	Shares	Amount
Non- Current						
(a) Investment in unquoted equity instruments measured at fair value through profit or loss (FVTPL) , fully paid up						
Other entities						
	Shivalik Solid Waste Management Limited	INR 10	12,500	1.25	12,500	1.25
(b) Investment in unquoted equity instruments measured at fair value through other comprehensive income (FVTOCI) , fully paid up						
IndoHealth Services LLP (formerly known as ABCD Technologies LLP)				4,000.00		-
Total				4,001.25		1.25
Aggregate amount of unquoted investments				4,001.25		1.25
Aggregate fair value of unquoted investments				4,001.25		1.25
Aggregate amount of impairment in value of investment				-		-

9 Current Investments

Investment in Mutual Investments (Quoted)

Financial assets carried at fair value through profit or loss (FVTPL)

	As at March 31, 2021		As at March 31, 2020	
	Units (in nos.)	Amount	Units (in nos.)	Amount
Aditya Birla Sun Life Arbitrage Fund - Growth-Direct Plan	1,28,78,480	2,805.10	-	-
Aditya Birla Sun Life Banking & PSU Debt Fund - Growth-Direct	3,57,283	1,035.12	-	-
Aditya Birla Sun Life Arbitrage Fund - Dividend-Direct Plan	-	-	1,55,56,401	1,716.94
Aditya Birla Sun Life Corporate Bond Fund - Growth-Direct	26,64,184	2,310.71	14,79,459	1,167.06
Aditya Birla Sun Life Floating Rate Fund - Growth-Direct Plan	10,05,889	2,722.78	3,25,545	821.33
Aditya Birla Sun Life Short Term Fund - Growth-Regular Plan	7,22,037	263.99	7,22,037	239.54
Axis Corporate Debt Fund - Direct Growth	2,26,26,129	3,069.55	-	-
Axis Dynamic Bond Fund - Direct Plan - Growth Plan	29,26,702	726.14	29,26,702	671.70
Axis Strategic Bond Fund - Direct Growth	23,86,222	538.16	23,86,222	494.77
Axis Short Term Fund - Direct Plan - Growth	81,39,800	2,067.66	-	-
DSP Banking and PSU Debt Fund - Dir - Growth	80,44,407	1,543.23	-	-
DSP Arbitrage Fund - Dir - Growth	1,70,58,553	2,043.44	-	-
DSP Arbitrage Fund - Dir - Monthly Dividend - Reinvest	-	-	3,21,56,636	3,353.94
DSP Corporate Bond Fund - Dir - Growth	85,87,776	1,099.30	85,87,776	1,016.25
DSP Low Duration Fund - Direct Plan - Growth (formerly DSP Ultra Short Term Fund)	1,86,79,707	2,955.90	1,03,17,441	1,537.78
Edelweiss BHARAT Bond FOF - April 2025 - Regular Plan Growth	3,50,12,957	3,583.19	-	-
Edelweiss BHARAT Bond FOF - April 2025 - Direct Plan Growth	1,29,85,326	1,328.91	-	-
Edelweiss BHARAT Bond FOF - April 2023 - Direct Plan Growth	1,17,62,400	1,311.71	1,17,62,400	1,203.54
HDFC Corporate Bond Fund - Direct Plan - Growth Option	1,42,91,298	3,599.05	-	-
HDFC Ultra Short Term Fund - Direct Growth	5,34,65,324	6,383.44	1,24,63,524	1,403.21
HDFC Arbitrage Fund - Wholesale Plan - Monthly Dividend - Direct Plan - Reinvest	-	-	2,50,52,670	2,626.52
HDFC Banking and PSU Debt Fund - Direct Growth Option	29,14,514	531.88	29,14,514	490.38
HDFC Charity Fund for Cancer Cure - Debt Plan - Direct Option	-	-	5,000	0.50
HDFC Short Term Debt Fund - Regular Plan - Growth (formerly	5,51,162	135.40	5,51,162	124.78
ICICI Prudential Banking and PSU Debt Fund - Direct Plan - Growth	35,97,485	921.55	35,97,485	850.58
ICICI Prudential Corporate Bond Fund - Direct Plan - Growth	1,01,94,657	2,396.43	58,17,129	1,251.27
ICICI Prudential Short Term Fund - Growth Option (formerly	11,47,994	526.51	11,47,994	484.10
ICICI Prudential Short Term Fund - Direct Plan - Growth	41,51,833	2,018.58	41,51,833	1,842.01
IDFC Banking & PSU Debt Fund-Direct Plan-Growth	44,88,754	877.12	18,49,500	332.25
IDFC Arbitrage Fund-Growth- (Direct Plan)	77,33,099	2,069.35	-	-
IDFC Arbitrage Fund-Monthly Dividend-(Direct Plan) - Reinvest	-	-	76,46,007	1,011.51
IDFC Corporate Bond Fund Direct Plan-Growth	3,86,11,582	5,895.10	1,17,71,038	1,643.54
IDFC Low Duration Fund-Growth-(Direct Plan)	1,16,65,260	3,576.31	73,50,004	2,123.76
Invesco India Arbitrage Fund - Direct Plan Growth	1,07,99,531	2,808.73	-	-
Invesco India Arbitrage Fund - Direct Plan Dividend - Reinvest	-	-	1,24,26,892	1,722.18
Invesco India Corporate Bond Fund - Direct Plan Growth	50,904	1,331.07	50,904	1,225.55
Kotak Floating Rate Fund Direct - Growth	1,74,358	2,017.42	-	-
Kotak Corporate Bond Fund Direct Growth	45,689	1,363.66	11,786	325.33
Kotak Bond Fund (Short Term) - Direct Plan - Growth	35,47,245	1,542.27	-	-
Kotak Equity Arbitrage Fund - Direct Plan - Fortnight Dividend - Reinvest	93,31,089	2,825.56	73,66,394	1,735.60
L&T Arbitrage Opportunities Fund Direct Growth	78,45,309	1,222.61	-	-
L&T Banking and PSU Debt Fund Direct Plan - Growth	51,14,258	1,028.58	-	-
L&T Credit Risk Fund - Growth (Formerly L&T Income Opportunities Fund - Growth)	-	-	15,93,617	344.76
L&T Short Term Bond Fund - Growth (Formerly L&T Short	33,55,055	699.19	33,55,055	653.54
L&T Short Term Bond Fund Direct Plan - Growth (Formerly L&T	93,38,045	2,021.71	93,38,045	1,880.34
L&T Triple Ace Bond Fund Direct Plan - Growth	56,76,485	3,385.40	34,77,648	1,921.98
Nippon India Floating Rate Fund - Direct Growth	70,69,343	2,544.12	-	-
Nippon India Arbitrage Fund - Direct Growth	1,45,50,415	3,175.92	-	-
Nippon India Arbitrage Fund - Direct Monthly Dividend Plan - Reinvest	-	-	1,85,68,125	2,068.62
Nippon India Banking & Psu Debt Fund - Direct Growth Plan	1,77,86,786	2,920.80	21,45,222	323.62
Nippon India Short Term Fund - Direct Growth Plan Growth Option	31,04,392	1,336.50	31,04,392	1,227.43
Nippon India Strategic Debt Fund - Segregated Portfolio 1 - Growth Plan	15,27,172	0.64	15,27,172	0.80
Nippon India Strategic Debt Fund - Segregated Portfolio 2 - Growth Plan	15,27,172	-	15,27,172	-
SBI Dynamic Bond Fund - Direct Plan - Growth	35,05,276	1,023.77	-	-
SBI Corporate Bond Fund - Direct Plan - Growth	1,51,28,098	1,847.78	1,09,03,124	1,230.50
SBI Magnum Medium Duration Fund Regular Growth (formerly SBI Regular Savings Fund)	8,46,153	332.31	8,46,153	304.93
UTI Corporate Bond Fund - Direct Growth Plan	42,31,668	541.92	2,69,368	31.84
UTI Arbitrage Fund-Direct Growth Plan	23,13,069	658.17	23,13,069	632.06
UTI Credit Risk Fund - Regular Growth Plan	-	-	20,00,254	235.40
UTI Credit Risk Fund (Segregated - 13092019) - Regular Growth Plan - Segregated 1 (G)	-	-	41,31,329	7.56
UTI Credit Risk Fund (Segregated - 13092019) - Direct Growth	-	-	16,82,437	3.33
UTI Credit Risk Fund (Segregated - 17022020) - Regular	20,00,253	11.36	20,00,253	28.23
Growth Plan - Segregated 2 (G)	-	-	-	-
UTI Credit Risk Fund (Segregated - 06032020) - Regular	20,00,253	-	20,00,253	-
UTI Short Term Income Fund - Direct Growth Plan	48,69,601	1,186.59	19,29,869	431.58
UTI Short Term Income Fund - Regular Growth Plan	22,37,015	524.68	22,37,015	483.93
Aditya Birla Sunlife - Corporate Bond Fund Growth - Direct Plan	4,37,353	379.33	4,37,353	345.00
Aditya Birla SL - Arbitrage Fund (G) Direct	35,40,080	771.08	-	-
Axis Ultra Short Term Fund Direct Growth	29,59,705	354.08	29,59,705	335.69
Axis Banking & PSU Debt Fund - Direct Growth	70,991	1,489.24	70,991	1,377.93
Axis - Corporate Debt Fund (G) Direct	75,86,356	1,029.20	-	-
DSP - Banking & PSU Debt Fund (G) Direct	16,07,120	308.31	-	-
BHARAT Bond FOF - April 2025 - Regular Plan Growth	49,99,750	511.67	-	-
BHARAT Bond FOF - April 2025 - Direct Plan Growth	49,94,356	511.12	-	-
Franklin India Low Duration Fund Direct Plan- Growth	38,50,253	-	41,81,876	-
HDFC Banking and PSU Debt Fund Direct Plan- Growth	99,12,830	1,809.03	99,12,830	1,667.88
HDFC Floating Rate Debt Fund - Direct Plan - Growth Option	9,55,607	365.91	9,55,607	338.12
ICICI Pru - Savings Fund (G) Direct	1,82,277	765.00	-	-
ICICI Prudential Banking & PSU Debt Fund Direct Plan- Growth	27,91,243	715.02	27,91,243	659.95
ICICI Prudential Equity Arbitrage Fund - Direct Plan	36,27,173	1,017.50	-	-
ICICI Prudential Banking and PSU Debt Fund - Growth	11,87,039	296.54	11,87,039	274.95
IDFC Corporate Bond Fund Direct Plan- Growth	46,26,498	706.36	46,26,498	645.98
Invesco - India Short Term Fund (G) Direct	25,352	767.66	-	-
Kotak Banking and PSU Debt Fund Direct Growth	14,01,876	722.30	14,01,876	667.95
Kotak - Bond STP (G) Direct	35,46,829	1,542.09	-	-
L&T Ultra Short Term Fund Direct Plan - Growth	37,17,929	1,304.77	37,17,929	1,242.89
Nippon India - Banking & PSU Debt Fund (G) Direct	34,56,145	567.54	-	-
Nippon India - Arbitrage Fund (G) Direct	38,96,709	850.53	-	-
Aditya Birla Sun Life Credit Risk Fund - Gr. DIRECT	16,10,500	260.67	16,10,500	236.92
Aditya Birla Sun Life Credit Risk Fund Gr. DIRECT (Segregated	16,10,500	6.69	16,10,500	6.98
Aditya Birla Sun Life Banking & PSU Debt Fund - Growth-Direct	2,93,105	849.18	1,51,087	403.34
Axis Strategic Bond Fund - Regular Growth	31,37,803	662.81	31,37,803	613.68
DSP Corporate Bond Fund - Dir - Growth	27,02,557	345.95	27,02,557	319.81
BHARAT Bond FOF - April 2023 - Direct Plan Growth (Edelweiss)	98,02,000	1,093.09	98,02,000	1,002.95

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

9 Current Investments

	As at March 31, 2021		As at March 31, 2020	
	Units (in nos.)	Amount	Units (in nos.)	Amount
Franklin India Low Duration Fund-Segregated Portfolio 2	-	-	41,81,876	-
HDFC Arbitrage Fund - Wholesale Plan - Monthly Dividend - Direct Plan	-	-	72,36,055	758.63
ICICI Prudential Equity Arbitrage Fund - Direct Plan - Dividend	-	-	48,85,645	711.85
ICICI Prudential Corporate Bond Fund - Direct Plan - Growth	43,38,370	1,019.81	43,38,370	933.19
IDFC Arbitrage Fund-Growth-(Direct Plan)	77,98,166	2,086.76	49,15,790	1,264.87
IDFC Credit Risk Fund-Regular Plan -Growth	34,23,700	445.60	34,23,700	422.44
IDFC Credit Risk Fund-Direct Plan-Growth	29,06,357	394.05	29,06,357	369.97
L&T Short Term Bond Fund Direct Plan - Growth	60,73,238	1,314.87	60,73,238	1,222.93
Nippon India Arbitrage Fund - Direct Monthly Dividend Plan	-	-	73,20,851	815.59
Nippon India Ultra Short Duration Fund - Segregated Portfolio 1 - Growth Plan	-	-	10,668	3.49
SBI Magnum Medium Duration Fund Regular Growth	10,28,316	403.85	10,28,316	370.58
SBI Magnum Medium Duration Fund Direct Growth	10,12,061	420.06	10,12,061	383.55
SBI Credit Risk Fund Direct Growth	7,37,847	265.61	7,37,847	244.30
SBI Magnum Ultra Short Duration Fund Direct Growth	42,576	2,009.15	42,576	1,907.26
Franklin India Ultra Short Bond Fund- Super Inst. Plan-	-	-	41,81,876	-
Aditya Birla Sun Life Low Duration Fund - Growth-Regular Plan	47,695	246.00	47,695	230.69
Aditya Birla Sun Life Arbitrage Fund- Growth-Direct Plan	11,80,027	257.03	-	-
Aditya Birla Sun Life Savings Fund - Growth-Direct Plan	1,11,826	477.31	1,11,826	448.23
Axis Liquid Fund - Direct Growth	4,271	97.59	4,271	94.16
Edelweiss - BHARAT Bond FOF - April 2025 (G) Direct	1,19,86,455	1,226.68	-	-
Edelweiss Arbitrage Fund - Direct Plan Growth	42,24,276	665.21	42,24,276	638.72
BHARAT Bond FOF - April 2023 - Direct Plan Growth	29,40,600	327.93	29,40,600	300.89
Franklin India Ultra Short Bond Fund- Super Inst. Plan-	-	-	21,08,620	-
HDFC Floating Rate Debt Fund - Direct Plan - Growth Option	3,17,525	121.58	3,17,525	112.35
ICICI Prudential Equity Arbitrage Fund - Direct Plan - Growth	8,48,738	238.09	8,48,738	229.01
ICICI Prudential Savings Fund - Growth (formerly ICICI	30,288	126.00	30,288	117.32
IDFC - Arbitrage Fund (G) Direct	9,60,792	257.10	-	-
IDFC - Bond Fund ST (G) Direct	21,87,725	1,025.22	-	-
IDFC Corporate Bond Fund Direct Plan-Growth	15,20,069	232.08	15,20,069	212.24
Kotak Equity Arbitrage Fund - Direct Plan - Growth	11,82,835	358.18	11,82,835	343.84
L&T Short Term Bond Fund Direct Plan - Growth (Formerly L&T	12,82,832	277.74	12,82,832	258.31
SBI Magnum Ultra Short Duration Fund Direct Growth (formerly SBI Magnum Insta Cash Fund)	2,480	117.03	2,480	111.10
SBI Banking & PSU Fund Direct Growth (formerly SBI Treasury Advantage Fund)	28,083	717.24	-	-
Nippon India Liquid Fund-Direct Plan Daily Dividend Option-Re-invest	-	-	596	9.12
Tata Arbitrage Fund-Regular Plan Growth	10,27,946	115.90	-	-
Tata Arbitrage Fund-Regular Plan Monthly Dividend	-	-	10,75,032	111.63
ICICI Prudential Short Term Fund-Direct Plan-Growth Option	5,03,200	244.65	5,03,200	223.25
Nippon India Arbitrage Fund-Direct Growth Plan-Growth Option	2,39,537	52.28	2,39,537	50.14
UTI Corporate Bond Fund-Direct Growth Plan	8,62,069	110.40	8,62,069	101.88
Aditya Birla Sun Life Floating rate fund - Growth - Direct Plan	12,985	35.15	-	-
BNP Paribas Arbitrage Fund Direct Monthly Dividend Reinvestment	-	-	6,20,168	63.29
BNP Paribas Arbitrage Fund Direct Growth	5,06,678	65.81	-	-
HDFC Arbitrage Fund - Wholesale Plan - Growth - Direct Plan	1,36,921	21.13	1,36,921	20.35
IDFC Low Duration Fund - Direct Plan Growth	1,78,916	54.84	1,78,916	51.70
Tata Short Term Bond Fund-Direct Plan Growth	2,47,737	100.44	-	-
Total		1,30,617.41		66,503.25
Aggregate amount of quoted investments		1,30,617.41		66,503.25
Aggregate market value of quoted investments		1,30,617.41		66,503.25

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

	As at March 31, 2021	As at March 31, 2020
10 Other financial assets		
Non-Current		
(Unsecured and considered good)		
Financial assets carried at amortised cost		
Security deposits and earnest money deposits	1,162.75	1,562.27
Bank deposits with maturity of more than 12 months	393.55	-
Bank deposits under lien (refer note a below)	624.57	1,470.72
Other receivable (refer note b below)	62.00	60.00
	2,242.87	3,092.99
Current		
(Unsecured and considered good)		
Financial assets carried at amortised cost		
Security Deposits	922.71	438.25
Other receivable	76.41	10.44
	999.12	448.69
Notes:		
a. Bank deposits includes deposits for INR 624.57 Lacs (March 31, 2020: INR 1,470.72 Lacs) which are lien marked with banks against the bank guarantees issued to government authorities.		
b. Other receivable includes amount given as advance for shares pending allotment, amounting to INR 62.00 lacs (March 31, 2020: INR 60.00 lacs) given to Sirmour Green Environ Limited, which is subsequently due for refund.		
11 Income tax assets and liabilities		
Non-current tax assets		
Income tax assets (net of provisions)	5,560.56	5,451.16
	5,560.56	5,451.16
Current tax liabilities		
Income tax liabilities (net of advance tax)	1,108.47	6,562.24
	1,108.47	6,562.24

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	As at March 31, 2021	As at March 31, 2020
12 Other assets		
Non-Current (unsecured and considered good)		
Balances with Government authorities	1,281.60	1,418.40
Capital advances	7,378.98	1,744.09
Advances for purchase of immovable properties	415.60	420.60
Prepaid Expenses	591.48	81.53
(unsecured and considered doubtful)		
Advances for purchase of immovable properties (refer note a below)	2,642.12	2,642.12
Less: Allowance for doubtful advances	(2,642.12)	(2,642.12)
Capital advances	34.95	66.43
Less: Allowance for doubtful capital advances	(34.95)	(66.43)
	9,667.66	3,664.62
Current (unsecured and considered good)		
Prepaid expenses	3,694.32	949.78
Advances to vendors	2,615.07	2,182.23
Advances to employees	558.69	1,955.47
Advance receivable from related parties (refer note 41)	32.18	22.58
Balances with government authorities	21,695.36	17,367.29
Government grant receivable (refer note (b) below)	6,761.18	4,005.41
Other receivables	89.73	55.34
(unsecured and considered doubtful)		
Advances to vendors	284.45	219.26
Less: Impairment Allowance (Allowance for bad and doubtful debts)	(284.45)	(219.26)
Advances to employees	402.12	318.06
Less: Allowance for doubtful advances	(402.12)	(318.06)
	35,446.53	26,538.10
Note:		
a. The Group has assessed recoverability of advances for purchase of immovable properties given to few parties. Considering the overall slump in real estate sector and ongoing status of these advances, the Group has created an allowance for doubtful advances amounting to INR 2,642.12 lacs (March 31, 2020: INR 2,642.12 lacs).		
b. Movement of government grant receivable:		
Opening balance	4,005.41	1,075.37
Add: grant income accrued during the year (refer note 28)	2,996.49	3,449.37
Add: export incentive accrued during the year (refer note 27)	541.72	-
Less: grant income & export incentive received	(782.44)	(519.33)
Closing balance	6,761.18	4,005.41
13 Inventories		
Raw materials and components		
In hand	26,635.87	23,306.62
In transit	1,718.15	1,620.06
Work-in-progress	7,320.87	7,158.98
Finished goods	22,551.06	13,598.11
Stock in trade		
In hand	50,645.44	37,199.14
In transit	3,946.38	1,768.10
Stores and spares	1,187.11	937.57
Consumables	92.63	68.61
Development rights in a housing project (See note b below)	4,256.26	4,256.26
	1,18,353.77	89,913.45

Notes:

- Cost of materials consumed includes INR 4,025.18 lacs (Year ended March 31, 2020: INR 3,907.61 lacs) in respect of write downs of inventory to net realisable value on account of expiry and breakage of the inventories. There has been no reversal of such write downs in current and previous year.
- Pursuant to collaboration agreement entered in May 2013 between one of the subsidiary Company; Pavi Buildwell Private Limited (Pavi) and Advance India Projects Limited (AIPL) wherein Pavi had acquired the development rights on the properties, while AIPL was to develop the residential/ commercial properties be sold to the ultimate consumers. As per the agreement, both the companies will be sharing the revenue in an agreed ratio. Pavi Buildwell has no further commitment on the Project. During the year, on account of current market conditions in real estate sector and status of project, the subsidiary Company has written down the value of development right by INR Nil (March 31, 2020: INR 3,100.00 lacs) to Net realisable value (NRV).
- Mode of valuation of inventories has been stated in note 3.09.

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	As at March 31, 2021	As at March 31, 2020
14 Contract assets		
Contract assets includes following:		
(i) Trade receivables		
Secured, considered good	-	-
Unsecured, considered good	32,703.08	52,312.65
Unsecured, considered good - Related parties (refer note 41)	358.05	796.55
Unsecured, considered credit impaired	446.66	426.60
	33,507.79	53,535.80
Less: Allowance against expected credit loss	(446.66)	(426.60)
	33,061.13	53,109.20
a. The average credit period to customers ranges upto 90 days. No interest is charged on trade receivables upto the due date from the date of the invoice.		
b. The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on historical credit loss experience and adjusted for forward looking information.		
c. Receivables are deemed to be past due or impaired with reference to the Group's normal terms and conditions of business. These terms and conditions are determined on a case to case basis with reference to the customer's credit quality and prevailing market conditions. Receivables that are classified as 'past due' in the below table are those that have not been settled within the terms and conditions that have been agreed with that customer.		
d. No trade or other receivables are due from directors or other officers or private companies in which such director is a director or member of the Group either severally or jointly with any other person apart from those mentioned below:		
Next Wave (India)	-	4.73
Pathkind Diagnostics Private Limited	-	4.76
	-	9.49
e. Age of receivables		
Within the credit period	20,125.14	19,443.79
1-180 days past due	11,626.95	32,732.79
181-365 days past due	570.81	999.84
More than 365 days past due	1,184.89	359.38
	33,507.79	53,535.80
f. Movement in allowance for expected credit loss:	Year ended March 31, 2021	Year ended March 31, 2020
Balance at the beginning of the year	426.60	352.34
Movement for the year	20.06	74.26
Balance at the end of the year	446.66	426.60
15 Cash and cash equivalents		
Balances with banks		
- on current Account	15,308.43	18,850.51
- on deposit account	1,390.39	1,812.29
Cash on hand	19.38	25.58
Cheques on hand	-	1,919.15
	16,718.20	22,607.53

Notes:

- There are no restrictions with regard to cash and cash equivalents as at the end of the reporting period and prior period.
- The deposits maintained by the Group with bank comprise of the time deposits, which may be withdrawn by the Group at any point of time without prior notice and are made for varying period between one day to three months depending on the immediate cash requirements of the Group to earn interest at the respective short term deposit rates.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

	As at March 31, 2021	As at March 31, 2020
16 Other bank balances		
Fixed deposits with original maturity of more than three months but remaining maturity of less than twelve months (refer note (a) below)	11,223.40	11,913.48
Fixed deposits with original maturity of more than twelve months (refer note (b) below)	42,132.58	7,466.72
	53,355.98	19,380.20

Note:

- a. Short-term deposits are made of varying periods between one date to twelve months depending on the immediate cash requirements of the Group and earn interest at the respective short-term deposits rates.
- b. Fixed deposits with original maturity of more than 12 months and remaining maturity of less than 12 months have been disclosed under other bank balances.

17 Loans**Non - Current****(unsecured and considered good, valued at amortised cost)**

Loans to employees	7.43	9.93
	7.43	9.93

Current**(unsecured and considered good, valued at amortised cost)**

Loan to related parties (refer note 41)	1,735.88	3,378.89
Loan to employees	89.01	67.90
Loan to others	16.25	3.00

(unsecured and considered doubtful, valued at amortised cost)

Loan to others	175.57	187.57
Loan to related parties (refer note 41)	1,771.06	-
Less: Allowance for doubtful loans	(1,946.63)	(187.57)

1,841.14	3,449.79
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Notes:

- a. Loans classified as current are repayable on demand.
- b. Further information about these loans to related parties is set out in Note 41. These loans are carried at amortised cost.
- c. The loan to related parties includes amount of INR 3,235.88 lacs (March 31, 2020: INR 3,027.59 lacs) given to Casablanca Securities Pvt. Ltd. which is backed by guarantee given by one of the director's of Casablanca Securities Pvt. Ltd. and INR 271.06 lacs (March 31, 2020: INR 251.30 lacs) given to Indu Buildwell Pvt. Ltd. The loans are repayable on demand and carry interest 8.50% p.a. payable alongwith principal amount as per terms of agreement.
The Group has provided for temporary decline in the loan amounting to INR 1,771.06 lacs (March 31, 2020: INR Nil) on account of conditions caused by Covid-19 pandemic in the real estate sector.

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Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated****18 Assets held for sale****Carrying amounts of:**

Freehold land

As at March 31, 2021	As at March 31, 2020
270.20	271.05
270.20	271.05

Note:

- a. The Group classified item of Property Plant and Equipment retired from active use and are held for sale recognised and measured in accordance with Ind-AS 105 "Non Current Assets Held For Sale and Discontinued Operations" at lower of its carrying amount and fair value less cost to sell. The Group has a property at C-51, Rosewood city, Gurugram which is classified as held for sale as the Group has entered into an agreement with the third party for sale of such property. The Group expects to complete the sale by September 30, 2021.

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	Equity shares	
	As at March 31, 2021	As at March 31, 2020
19 Equity share capital		
Authorised		
410,000,000 equity shares of INR 1 each	4,100.00	4,100.00
(March 31, 2020: 410,000,000 equity shares of INR 1 each)		
Issued, subscribed and fully paid up		
400,588,440 equity shares of INR 1 each fully paid up	4,005.88	4,005.88
(March 31, 2020: 400,588,440 equity shares of INR 1 each)		
	4,005.88	4,005.88

Notes:

(i) Rights, preferences and restrictions attached to Equity Shares

The Holding Company has only one class of equity shares having a par value of INR 1 per share. Each holder of equity shares is entitled to one vote per share. In the event of liquidation of the Holding Company, holder of equity shares will be entitled to receive remaining assets of the Group after distribution of all preferential amount. The distribution will be in proportion to the number of equity shares held by the shareholders.

(ii) Reconciliation of the number of shares and amount outstanding at the beginning and at the end of the year:

a) Issued, subscribed and fully paid up equity capital

Particulars	As at March 31, 2021		As at March 31, 2020	
	Number	Amount	Number	Amount
Equity shares outstanding at the beginning of the year	40,05,88,440	4,005.88	40,05,88,440	4,005.88
Add : Issued during the year	-	-	-	-
Equity shares outstanding at the end of the year	40,05,88,440	4,005.88	40,05,88,440	4,005.88

(iii) Shares held by each shareholder holding more than 5 percent shares:

Equity shares	As at March 31, 2021		As at March 31, 2020	
	Numbers	% holding	Numbers	% holding
Mr. Ramesh Juneja (as Trustee of Ramesh Juneja Family Trust)	8,33,52,652	20.81%	8,33,52,652	20.81%
Mr. Rajeev Juneja (as Trustee of Rajeev Juneja Family Trust)	7,99,30,520	19.95%	7,99,30,520	19.95%
Mr. Prem Kumar Arora (as Trustee of Prem Sheetal Family Trust)	-	-	6,17,55,635	15.42%
Arora Family Pvt.Ltd (as Trustee of Prem Sheetal Family Trust)	6,17,55,635	15.42%	-	-
Mr. Sheetal Arora	2,38,98,836	5.97%	2,38,98,836	5.97%
Cairnhill CIPEF Limited	3,82,92,240	9.56%	3,82,92,240	9.56%
Beige Limited	3,98,58,843	9.95%	3,98,58,843	9.95%
	32,70,88,726	81.66%	32,70,88,726	81.66%

Shares issued for consideration other than cash

- (iv) The Holding Company had allotted 20,02,94,220 fully paid up equity shares of INR 1/- each on June 01, 2017 pursuant to 1:1 bonus share issue approved by the shareholders in the Extraordinary General Meeting (EGM) held on April 20, 2017, by capitalising the amount of INR 2,002.94 lacs of securities premium of the Group.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

	As at March 31, 2021	As at March 31, 2020
20 Other equity		
General reserve (refer note 20.1)	23,774.24	23,774.24
Securities premium (refer note 20.2)	4,211.74	4,211.74
Retained earnings (refer note 20.3)	5,30,350.82	4,06,545.91
Capital reserve (refer note 20.4)	(90,898.16)	(90,898.16)
Foreign currency translation reserve (refer note 20.5)	755.86	891.41
	4,68,194.50	3,44,525.14

	As at March 31, 2021	As at March 31, 2020
20.1 General reserve		
Balance at the beginning of the year	23,774.24	23,774.24
Transferred from retained earnings	-	-
Balance at the end of the year	23,774.24	23,774.24

Under the erstwhile Companies Act 1956, general reserve was created through an annual transfer of net income at a specified percentage in accordance with applicable regulations. The purpose of these transfers was to ensure that if a dividend distribution in a given year is more than 10% of the paid-up capital of the Group for that year, then the total dividend distribution is less than the total distributable results for that year. Consequent to introduction of Companies Act 2013, the requirement to mandatorily transfer a specified percentage of the net profit to general reserve has been withdrawn. However, the amount previously transferred to General Reserve can be utilised only in accordance with provisions of the Companies Act, 2013.

	As at March 31, 2021	As at March 31, 2020
20.2 Securities premium		
Balance at the beginning of the year	4,211.74	4,211.74
Less : Utilised during the year	-	-
Balance at the end of the year	4,211.74	4,211.74

Securities premium is used to record premium on issue of shares. The reserves can be utilised only for limited purposes in accordance with provisions of the Companies Act, 2013.

	As at March 31, 2021	As at March 31, 2020
20.3 Retained earnings		
Balance at the beginning of the year	4,06,545.91	3,40,762.13
Profit for the year	1,26,542.05	1,03,041.69
Other comprehensive income arising from remeasurement of defined benefit obligation, net of income tax	197.00	(831.31)
Adjustment on account of acquisition of remaining interest in two subsidiary companies from NCI (refer note below)	(2,934.14)	-
Payment of interim dividend	-	(30,244.43)
Dividend distribution tax	-	(6,182.17)
Balance at the end of the year	5,30,350.82	4,06,545.91

The amount that can be distributed by the Group as dividends to its equity shareholders, is determined based on the requirements of Companies Act, 2013. Thus, the amounts reported above are not distributable in entirety.

Note:-

During the year, The Holding Company has acquired remaining 15% stake in Lifestar Pharma Private Limited and 8% stake in Magnet Labs Private Limited from the non-controlling interested parties. The difference between the consideration paid and non-controlling interest (NCI) is accounted for as equity in accordance with Ind AS -110 Consolidated Financial Statements.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated****20.4 Capital reserve**

	As at March 31, 2021	As at March 31, 2020
Balance at the beginning of the year	(90,898.16)	(90,898.16)
Add: Adjustment	-	-
Balance at the end of the year	<u>(90,898.16)</u>	<u>(90,898.16)</u>

The negative capital reserve of INR 90,898.16 lacs includes following:-

a) INR (46,800.14 lacs) being the difference between the consideration paid by the group and the share capital of the transferor entities namely; Relax Pharmaceutical Private Limited, Copmed Pharmaceutical Private Limited, Mediforce Healthcare Private Limited, Medipack innovation private limited being amount of (INR 11,302.20 lacs); (INR 19,186.68 lacs); (INR 5,708.08 lacs); INR 17.16 lacs respectively acquired on April 01, 2017 and Pharmaforce Labs (Partnership firm), Penta latex LLP (a limited liability partnership firm) being amount of (INR 6,885.67 lacs) (INR 3,734.67 lacs) respectively acquired on April 01, 2018, accounted as common control business acquisitions in accordance with Appendix C to Ind AS 103: Business Combination of Entities under Common Control".

b) INR (44,098.02 lacs) being net assets transferred in 2019 in respect of the Group's leasing business to a related party, Mankind Biosys Limited in accordance with the Scheme of Demerger approved by the Hon'ble National Company Law Tribunal on May 25, 2018.

20.5 Foreign currency translation reserve

Balance at the beginning of the year	891.41	449.18
Exchange differences in translating the financial statements of foreign operations	(135.55)	442.23
Balance at the end of the year	<u>755.86</u>	<u>891.41</u>

Exchange differences arising on translation of the foreign operations are recognised in other comprehensive income as described in accounting policy and accumulated in Foreign currency translation reserve within equity. The cumulative amount is reclassified to profit or loss when the net investment is disposed-off.

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Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
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	As at March 31, 2021	As at March 31, 2020
21 Borrowings		
Non-current		
(Secured, at amortised cost)		
Term loan from banks (see note a, b, and c below)	6,870.59	7,133.70
Working capital loan under ECLGS (see note f, g, and h below)	721.60	1,118.45
Vehicle loan (see note i below)	-	11.23
	7,592.19	8,263.38
Less: Current maturities of Term loan (refer note 26)	(1,740.51)	(2,227.95)
Less: Current maturities of working capital loan (refer note 26)	(109.69)	(209.25)
Less: Current maturities of vehicle loan (refer note 26)	-	(6.91)
	5,741.99	5,819.27
Current		
(Secured, at amortised cost)		
Working capital loan (see note d and e below)	12,225.00	-
Cash credit facility from bank (see note b, f, i and k below)	2,534.34	3,167.05
Bank overdraft (see note l below)	90.43	377.03
(Unsecured, at amortised cost)		
Loans from related parties (see note m below) (refer note 41)	285.24	611.79
Loan from others (see note n below)	725.38	272.15
	15,860.39	4,428.02

Notes:

- a. Term loan includes loan obtained by a subsidiary; Penta Latex LLP of INR 2,250.00 lacs (March 31, 2020: INR 2,250.00 lacs) against the sanctioned term loan amount of INR 2,250 lacs (March 31, 2020: INR 2,250 lacs) from HDFC Bank. The current outstanding amount against the loan is INR 1,686.46 lacs (March 31, 2020: INR 1,971.14 lacs). The loan was obtained for the purpose of fresh capital expenditure. The Term loan is repayable over the period of 6 years including 6 months moratorium period, last installment being payable in January, 2025 as per terms of agreement.

The above loan carries interest in the range of 7.05% p.a. to 9.05% p.a. (March 31, 2020: 9.05% p.a. to 9.15% p.a.) and is secured by way of following:

- i) First and exclusive charge by way of hypothecation on entire current assets of borrower both present and future.
- ii) Personal Guarantee of partners of the firm, Mr. Arun Kumar Vashishta, Mr. Dhruv Mehndiratta and Mr. Arjun Juneja (on behalf of Mankind Pharma limited).
- iii) First and exclusive charge on land and proposed building on Plot No.1, Sector 8A, IIE, SIDCUL, UK 249403.
- iv) First and exclusive charge on plot no. 49 and 50 Sector 2, IIE, SIDCUL, UK 249403
- v) First and exclusive charge by the way of hypothecation on entire movable fixed assets of borrower both present and future.

- b. Term loan includes loan obtained by a subsidiary; North East Pharma Pack, amounting to INR 1767.72 lacs (March 31, 2020: INR 1,400.00 lacs) from HDFC bank towards capex requirement against which INR 1,556.34 lacs (March 31, 2020: INR 1,340.34 lacs) is outstanding as at March 31, 2021. The term loan carries an interest rate ranging from 8% to 10% and is repayable within 6 years from date of disbursement.

Cash credit facility obtained from HDFC bank is outstanding of INR 202.85 lacs (March 31, 2020: INR 102.51 lacs). The cash credit facilities carries an interest rate of 9.25% p.a.

The term loan and Cash credit facilities are secured by following:

- (i) exclusive charge on all present and future movable fixed assets, stocks and book debts of North East Pharma Pack.
- (ii) exclusive charge on land and building of factory premises and,
- (iii) personal guarantee given by all natural partners and individual acting as representative partners on behalf of companies.

- c. Term loan includes loan obtained by a subsidiary; Packtime Innovation Private Limited amounting to INR 4,000.00 lacs (March 31, 2020: INR 4,000.00 lacs) from Citi Bank against which INR 3,627.79 lacs (March 31, 2020: INR 3,822.22 lacs) is outstanding as at year end. These facilities are secured by primary security of hypothecation by way of first and exclusive charge on fixed assets including Plant & Machinery of the subsidiary Company.

- d. Working capital loan includes loan obtained by a subsidiary; Packtime Innovations Private Limited, amounting to INR 7,195.00 lacs (March 31, 2020: INR 800.00 lacs) from Citi Bank against which INR 2,725.00 lacs (March 31, 2020: INR 800.00 lacs) is outstanding as at year end. These facilities are secured by following:-

- (i) exclusive charge on present and future inventory and book debts of Packtime Innovations Private Limited.
- (ii) exclusive charge on entire present and future moveable fixed assets of Packtime Innovations Private Limited.
- (iii) Corporate Guarantee by M/s Mankind Pharma Limited, Holding Company

- e. Secured working capital demand loan includes loan obtained by the Holding Company from CITI bank N.A. during the year. This loan is secured by way of first exclusive charge on current assets (book debts) of the Holding Company, both present and future and carry interest rate in the range of 3.90% to 4.00% p.a. The current outstanding amount of the loan is INR 7,500 lacs (March 31, 2020 : Nil) against the sanctioned limit of INR 29,500 lacs (March 31, 2020 : INR 29,500 lacs).

Secured working capital demand loan includes loan obtained by the Holding Company from HDFC bank during the year. This loan is secured by way of first pari passu charge on stock in trade and book debts of the Company and carry interest rate in the range of 4.06% to 6.95% p.a. The current outstanding amount of the loan is INR 2,000 lacs (March 31, 2020 : Nil) against the sanctioned limit of INR 25,000 lacs (March 31, 2020 : INR 25,000 lacs).

- f. Working capital facility and cash credit limit availed by a subsidiary; Medipack Innovations Private Limited, amounting to INR 400 lacs and INR 600 lacs respectively from HDFC bank against which INR 243.98 lacs (31 March, 2020: INR 318.45 lacs) and INR Nil (31 March, 2020: INR 429.59 lacs) is outstanding as on 31 March, 2021 respectively. These facilities are secured by primary security of hypothecation by way of first and exclusive charge on all present and future current assets of the Company. Further it is also been secured by collateral security of immovable property of the Company situated at Plot 14B, Gondpur, Poanta Sahib, Industrial Area, Phase III, Himachal Pradesh.

The facility carries interest rate of 9.25% (MCLR+0.55 basis point). Working capital loan is repayable in 60 equal installments upto december 2023.

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- g. Working capital term loan under ECLGS ("Emergency Credit line Guaranteed scheme") obtained by a subsidiary; Medipack Innovations Private Limited, amounting to INR 130.93 lacs from HDFC bank against which INR 131.62 lacs (31 March, 2020: INR Nil) is outstanding as on 31 March, 2021. This facility is secured by extension of second ranking charge over existing primary and collateral securities including mortgages created in favour of the bank and covered by 100% guarantee from NCGTC (National credit guarantee Trustee Company Ltd. (Ministry of Finance, Government of India)).

Purpose of the loan is to augment working capital requirements to enable business unit to meet operating liabilities & restart / increase operations.

The facility carries interest rate of 8.25% p.a. and is repayable in 36 monthly installments after moratorium of 12 months.

- h. Working capital term loan includes loan obtained by a subsidiary; Penta latex LLP under ECLGS ("Emergency Credit line Guaranteed scheme") amounting to INR 496.00 lacs (March 31, 2020: INR Nil) from HDFC bank against the sanctioned amount of INR 496.00 lacs (March 31, 2020: INR Nil). Current outstanding loan is INR 346.00 lacs (31 March, 2020: INR Nil) as on 31 March, 2021. The loan is obtained for the purpose to augment the working capital requirement to enable business unit to meet operating liabilities and restart / increase operations and repayable in 36 monthly equated installments after moratorium of 12 months.

This facility is secured by 100% guarantee from NCGTC (National credit guarantee Trustee Company Ltd. (Ministry of Finance, Government of India)). The loan carries interest rate of 7.05% p.a.

The Loan has been secured by extension of second charge over existing primary and collateral securities including mortgages created in favour of the bank.

- i. Vehicle loan were secured by the way of hypothecation of underlying assets and repayable in 3 years, have been repaid fully in the current year 2020-21.
- j. Cash Credit facility obtained by a subsidiary; JPR Labs Private Limited from HDFC bank amounting to INR 1,468.66 lacs (March 31, 2020: INR 2,249.11 lacs) is secured by way of following:
- hypothecation by way of first and exclusive charges on all present and future current assets inclusive of stocks and book debts.
 - Equitable mortgage of the self occupied properties at Plot no. 74/A, Pharma City, Thanam Village, Parwada Mandal, Vishakhapatnam.
- k. Cash credit includes facility obtained by a subsidiary; Penta Latex LLP from HDFC bank amounting to INR 862.83 lacs (March 31, 2020: INR 385.33 lacs) against the sanctioned amount of INR 1000 lacs and carries interest in the range of 7.05% p.a. (March 31, 2020: 9.05% p.a. - 9.15% p.a.). Cash credit facility is secured by way of following:
- First and exclusive charge by way of hypothecation on entire current assets of borrower both present and future.
 - Personal Guarantee of partners of the firm, Mr. Arun Kumar Vashishta, Mr. Dhruv Mehndiratta and Mr. Arjun Juneja (on behalf of Mankind Pharma limited).
 - First and exclusive charge on land and proposed building on Plot No.1, Sector 8A, IIE, SIDCUL, UK 249403.
 - First and exclusive charge on plot no. 49 and 50 Sector 2, IIE, SIDCUL, UK 249403
 - First and exclusive charge by the way of hypothecation on entire movable fixed assets of borrower both present and future.
- l. Overdraft facilities obtained by a subsidiary; Packtime Innovations Private Limited from Citi Bank amounting to INR 90.43 lacs (March 31, 2020: INR 377.03 lacs) are secured by exclusive charge on all present and future book debts and inventory of Packtime Innovations Private Limited.
- m. Loans from related parties amounting to INR 285.24 lacs (March 31, 2020: INR 611.79 lacs) are interest free loans and are repayable on demand.
- n. Loan from others include loan from shareholders of subsidiary company which is payable on demand and carries interest @9% p.a.
- o. Changes in liability arising from financing activities:

Particulars	Non-Current borrowings		Current borrowings		Lease liability	
	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020
Opening balances	8,263.38	2,511.19	4,428.02	24,146.41	396.83	-
Addition on account of adoption of Ind AS 116 "Leases"	-	-	-	-	330.02	478.33
Interest expense	998.19	827.23	646.40	542.95	32.71	25.38
Cash Inflows	45,215.81	6,104.22	12,678.23	1,387.92	-	-
Cash Outflows	(45,887.00)	(352.03)	(1,245.86)	(21,106.31)	(145.32)	(106.88)
Interest paid	(998.19)	(827.23)	(646.40)	(542.95)	-	-
Other adjustments (rent concessions)	-	-	-	-	(0.98)	-
Closing balances	7,592.19	8,263.38	15,860.39	4,428.02	613.26	396.83

22 Provisions

Non-current

Provision for employee benefits

Provision for gratuity (net) (refer note 38)

7,224.43

6,300.49

7,224.43

6,300.49

Current

Provision for employee benefits

Provision for compensated absences

Provision for gratuity (net) (refer note 38)

4,618.52

3,379.51

41.11

23.96

Other provisions

Provision for expected sales return (refer note below)

18,762.22

18,163.57

23,421.85

21,567.04

Details of Provision for expected sales return

Movement in provision for expected sales return is as follows:

	As at March 31, 2021	As at March 31, 2020
Balance as at the beginning of the year	18,163.57	8,480.49
Addition during the year	12,675.07	19,399.55
Utilised during the year	(12,076.42)	(9,716.47)
Balance as at the end of the year	18,762.22	18,163.57

Provision for expected sales return: A provision is recognized for expected sales return on products sold by the Group during the year based on the past experiences of level of return. It is expected that significant level of returns will be incurred in next financial year. Assumptions used to calculate said provision are based on current sales level and current information available about sales return.

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	As at March 31, 2021	As at March 31, 2020
23 Deferred tax balances		
Deferred tax liabilities after set off	1,303.19	816.65
Deferred tax assets after set off	4,901.10	4,793.89
Deferred tax assets / (liabilities) (net)	3,597.91	3,977.24

The movement in gross deferred income tax assets and liabilities (before set off) for the year ended March 31, 2021 is as follows:

Year ended March 31, 2021	Opening Balance	Recognised in Profit or loss	Recognised in other comprehensive Income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment (including capital work in progress)	(9,565.01)	(2,514.16)	-	(12,079.17)
Investments	(1,276.51)	(1,889.95)	-	(3,166.46)
ROU assets	128.92	(331.81)	-	(202.89)
Lease liability	(126.68)	331.24	-	204.56
Provision for employee benefits	3,524.20	892.67	(27.83)	4,389.04
Allowance for expected credit loss	148.29	(1.27)	-	147.02
Provision for expected sales return	5,978.14	209.66	-	6,187.80
Government grant	537.95	(283.99)	-	253.96
Carried forward unused tax losses	341.27	2,076.09	-	2,417.36
Preliminary expenses	21.88	(10.98)	-	10.90
Provision for slow moving inventories	4,155.63	1,200.32	-	5,355.95
Provision for doubtful loans and advances	1.03	30.96	-	31.99
Other temporary differences	(53.01)	49.39	-	(3.62)
	3,816.10	(241.83)	(27.83)	3,546.44
MAT Credit/ AMT Credit	161.14	-	-	161.14
Total Deferred income tax assets and liabilities	3,977.24	(241.83)	(27.83)	3,597.91
Year ended March 31, 2020	Opening Balance	Recognised in Profit or loss	Recognised in other comprehensive Income	Closing balance
Deferred tax assets / (liabilities) in relation to				
Property, plant and equipment (including capital work in progress)	(5,575.32)	(3,989.69)	-	(9,565.01)
Investments	(2,472.83)	1,196.32	-	(1,276.51)
ROU assets		128.92	-	128.92
Lease liability		(126.68)	-	(126.68)
Provision for employee benefits	1,935.07	1,154.46	434.67	3,524.20
Allowance for expected credit loss	206.53	(58.24)	-	148.29
Provision for expected sales return	2,828.24	3,149.90	-	5,978.14
Government grant	30.25	507.70	-	537.95
Carried forward unused tax losses	105.79	235.48	-	341.27
Preliminary expenses	31.87	(9.99)	-	21.88
Provision for slow moving inventories	1,666.73	2,488.90	-	4,155.63
Provision for doubtful loans and advances	612.99	(611.96)	-	1.03
Other temporary differences	739.62	(792.63)	-	(53.01)
Provision for disallowance under section 43B of Income Tax Act	4.97	(4.97)	-	-
	113.91	3,267.52	434.67	3,816.10
MAT Credit/ AMT Credit	542.98	-	-	542.98
Total Deferred income tax assets and liabilities	656.89	3,267.52	434.67	3,977.24

Note:

- Deferred tax assets and deferred tax liabilities have been offset wherever the Group has a legally enforceable right to set off current tax assets against current tax liabilities and where the deferred tax assets and deferred tax liabilities relate to income taxes levied by the same taxation authority
- The Group has not created deferred tax on impairment loss of non-current financial assets (investments) and advances for capital nature aggregating to INR 24,346.87 lacs (March 31, 2020: INR 14,017.62 lacs) as the Group does not expect taxable capital gain in future against which such deferred tax assets can be realised. Had the Group created deferred tax on the same, the profit would have been higher by INR 8,507.77 lacs (March 31, 2020: INR 3,164.86 lacs).
- During the previous year, the Group has paid dividend to its shareholders for the year ended March 31, 2020. This has resulted in payment of corporate dividend tax (CDT) amounting to INR 6,182.17 lakhs to the taxation authorities. CDT represents additional payment to taxation authorities on behalf of shareholders. Hence CDT paid is charged to equity.
- The Group has not created deferred tax assets of INR 1,984.67 lacs (March 31, 2020: INR 4,149.82 lacs) on carry forward losses of its subsidiaries (Packtime Innovations Private Limited: deferred tax of INR Nil (March 31, 2020: INR 844.05 lacs), Shree Jee Laboratory Private Limited; deferred tax of INR Nil (March 31, 2020: INR 1,028.10 lacs), Lifestar Pharma LLC; deferred tax of INR 1,818.31 lacs (March 31, 2020: INR 1,988.98 lacs), Mankind Specialties; deferred tax of INR 166.36 lacs (March 31, 2020: INR 288.69 lacs).

One of the subsidiary, Lifestar Pharma LLC has carried forward business losses of INR 6,768.97 lacs out of which losses amounting to INR 4,452.28 lacs pertaining to tax years 2016-2017 will expire through tax years 2036 and 2037. As per local laws of the country in which subsidiary is incorporated, business losses amounting to INR 3,798.77 lacs generated in tax years 2018 and 2019 will be carried forward indefinitely for utilization.

The subsidiary Lifestar Pharma LLC has carried forward losses amounting to INR 1,159.45 lacs available in various states to reduce future income taxes. The term of expiry of these business losses varies from state to state.

In assessing the realization of deferred tax assets, the likelihood of whether it is more likely than not that some portion or all the deferred tax assets will not be realized must be considered. The ultimate realization of deferred tax assets is dependent on the generation of future taxable income during the periods in which temporary difference become deductible. Management considers the projected future taxable income and tax planning strategies in making this assessment. Based on the history of losses and uncertainty over projections for future taxable income over the periods for which the deferred tax assets are deductible, the management believes it is more likely than not that the deferred tax assets may not be recognized in foreseeable future and accordingly, no deferred tax asset has been recorded.

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	As at March 31, 2021	As at March 31, 2020
24 Other liabilities		
Non-current		
Deferred government grant (refer note below)	788.69	1,778.73
	788.69	1,778.73
Current		
Contract liabilities	1,249.34	408.88
Statutory liabilities	8,207.64	5,373.43
Deferred government grant (refer note below)	151.67	22.53
Advance against sale of investments	66.80	67.02
Others	243.25	74.23
	9,918.70	5,946.09

Notes:
Deferred government grant includes following:

- Assistance in the form of duty benefit availed under Export Promotion Capital Goods (EPCG) Scheme of Government of India on import of property, plant and equipment accounted for as government grant and being amortised over the period of contractual obligation.
During the year ended March 31, 2021, the Group received INR Nil (March 31, 2020: INR 500.00 lacs) on account of setting up plant in Sikkim under the Central Capital Investment subsidy scheme, 2007 of North East Industrial and Investment Promotion Policy, 2007. The same is recognised as income over the life of the assets.
- Assistance in the form of cash subsidy sanctioned by the state government for plant and machinery at Paonta, Sahib, Himachal Pradesh. Capital investment subsidy under special Capital Investment Scheme, 1988 is accounted as government grant.
- Outstanding liability in respect of duty benefit availed in earlier years under Export Promotion Capital Goods Scheme (EPCG) against which the group was not able to fulfill its export obligation. The Group has taken extension of 2 years in respect of these licenses and as at 31 March 2021, the firm believes that the liability in respect of one of such license is "Probable" and expected outflow will be made in next financial year and accordingly accounted for the said liability of INR 82.43 lacs (March 31, 2020: INR 135.87 lacs) (refer note 26).

In respect of another license expiring on 30th June 2022, the group has export obligation amounting to INR 997.03 lacs (March 31, 2020: INR 1,022.55 lacs) and the management expects to fulfill the obligation on the basis of projected sales (refer note 24).

- Movement of government grant:

	As at March 31, 2021	As at March 31, 2020
Opening balance	1,801.26	1,356.67
Add: grant received during the year	619.43	3,900.99
Less: government grant recognised as income (refer note 28)	(1,480.33)	(3,456.40)
Closing balance	940.36	1,801.26

25 Trade payables

	As at March 31, 2021	As at March 31, 2020
i. total outstanding dues of micro enterprises and small enterprises (see note 37)	10,270.20	8,102.21
ii. total outstanding dues of creditors other than micro enterprises and small enterprises	56,425.74	66,408.80
	66,695.94	74,511.01

Note:

- The average credit period on purchases is upto 60 days for the Group. The Group however ensures that all payables are paid within the pre agreed credit limits.
- Trade Payables include due to related parties INR 5,282.95 lacs (31 March 2020 : INR 6,440.46 lacs).
- The amounts are unsecured and non-interest bearing.
- For terms and conditions with related parties, refer to Note 41.

26 Other financial liabilities
Non-current

Security deposits	100.00	100.00
Lease liability (refer note 52)	451.05	282.82
	551.05	382.82

Current

Lease liability (refer note 52)	162.21	114.01
Current maturities of long term borrowing (refer note 21)	1,850.20	2,444.11
Bank overdraft	3,895.03	257.49
Payable for purchase of property, plant and equipment	2,434.17	2,998.99
Trade/ security deposits from vendors and others	9,322.04	6,108.10
EPCG liability (refer note 24(c))	82.43	135.87
Others	612.61	-
	18,358.69	12,058.57

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		Year ended March 31, 2021	Year ended March 31, 2020
27	Revenue from operations		
27.1	Revenue from contracts with customers		
	Sale of products	6,21,190.77	5,86,349.75
	Sale of services	252.31	155.45
		6,21,443.08	5,86,505.20
(a)	Disaggregated revenue information		
	Set out below is the disaggregation of the Group's revenue from contracts with customers:		
	Segment		
	Type of goods/services	Year ended March 31, 2021	Year ended March 31, 2020
	Type of goods/services		
	Goods	6,21,190.77	5,86,349.75
	Services income	252.31	155.45
	Total revenue from contracts with customers	6,21,443.08	5,86,505.20
	Geographical information		
	India	6,02,853.41	5,78,864.96
	Outside India	18,589.67	7,640.24
	Total revenue from contracts with customers	6,21,443.08	5,86,505.20
	Timing of revenue recognition		
	Goods transferred at a point in time	6,21,190.77	5,86,349.75
	Services transferred over the time	252.31	155.45
	Total revenue from contracts with customers	6,21,443.08	5,86,505.20
(b)	Contract balances	As at March 31, 2021	As at March 31, 2020
	Trade receivables (refer note 14)	33,061.13	53,109.20
	Contract liabilities (refer note 24)	1,249.34	408.88
	The average credit period to customers ranges upto 90 days. No interest is charged on trade receivables upto the due date from the date of the invoice.		
	Contract liabilities consist of short-term advances received to supply goods from customer.		
(c)	Reconciling the amount of revenue recognised in the statement of profit and loss with the contracted price		
	Revenue as per contracted price	6,48,447.50	6,13,499.87
	Adjustments:		
	Sales return	(12,675.07)	(19,399.55)
	Discount	(12,500.85)	(3,486.12)
	Scheme Cost	(1,828.50)	(4,109.00)
	Revenue from contracts with customers	6,21,443.08	5,86,505.20
(d)	Performance obligations		
	Performance obligation is satisfied when control of goods is transferred to the customer, generally on delivery of the goods.		
	Sales of services: The performance obligation in respect of professional services is satisfied over a period of time and acceptance of the customer. In respect of these services, payment is generally due upon completion of services. Further, obligation of the Group is to provide shared services to its group companies and accordingly recognises revenue over the period of the contract based on the services rendered.		
27.2	Other operating revenues		
	Export incentives (refer note 12)	541.72	227.26
	Scrap sales	405.02	436.21
	Others	-	18.18
		946.74	681.65
	Total revenue from operations	6,22,389.82	5,87,186.85
28	Other income	Year ended March 31, 2021	Year ended March 31, 2020
	Interest income		
	Interest income earned on:		
	- bank deposits (at amortised cost)	3,171.93	873.12
	- financial assets (at amortised cost)	327.10	354.26
	Interest received on income tax refund	11.62	9.19
	Other interest income	319.59	52.94
		3,830.24	1,289.51
	Other non-operating income		
	Insurance claim received	93.68	66.61
	Other income	597.03	536.45
		690.71	603.06
	Other gains and losses		
	Net gain on current investments measured at FVTPL	6,286.49	3,505.86
	Dividend income from financial assets measured at FVTPL	42.43	428.21
	Dividend income from investment measured at FVTPL	0.04	0.04
	Government grant income (refer note 24 & note 12)	4,476.82	3,456.40
	Gain on sale of property, plant and equipment (net)	-	193.78
	Gain on sale of investment property	-	901.58
	Liabilities written back	771.24	-
	Gain on foreign currency transactions and translation (net)	50.24	-
		11,627.26	8,485.87
		16,148.21	10,378.44

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

	Year ended March 31, 2021	Year ended March 31, 2020
29 Cost of raw materials and components consumed		
a Raw material and components consumed		
Inventory at the beginning of the year	24,926.68	17,652.62
Add: Purchase of pharmaceutical and healthcare products	1,40,745.17	1,37,006.23
	1,65,671.85	1,54,658.85
Less: inventory at the end of the year	(28,354.02)	(24,926.68)
	1,37,317.83	1,29,732.17
b Purchase of stock-in-trade		
Purchase of pharmaceutical and healthcare products	65,482.45	59,120.53
	65,482.45	59,120.53
30 Changes in inventories		
a. Changes in inventories of finished goods, work in progress and stock in trade		
Opening Stock:		
Finished goods	13,598.11	9,239.46
Work in progress	7,158.98	5,677.32
Stock in trade		
a. In hand	37,199.14	38,842.96
b. In transit	1,768.10	1,819.00
	59,724.33	55,578.74
Closing Stock:		
Finished goods	22,551.06	13,598.11
Work in progress	7,320.87	7,158.98
Stock in trade		
a. In hand	50,645.44	37,199.14
b. In transit	3,946.38	1,768.10
	84,463.75	59,724.33
Net decrease (a)	(24,739.42)	(4,145.59)
b. Changes in inventories of development rights		
Opening Stock:		
Development rights in housing projects	4,256.26	7,356.26
Closing Stock:		
Development rights in housing projects	4,256.26	4,256.26
Net decrease (b)	-	3,100.00
Total change in inventories (a+b)	(24,739.42)	(1,045.59)

Note:

During the FY 19-20, on account of current market conditions in real estate sector and current status of the project, the group has written down value of development right in a project in Gurugram, India by INR Nil (March 31, 2020: INR 3,100.00 lacs) to Net realisable value (NRV).

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

	Year ended March 31, 2021	Year ended March 31, 2020
31 Employee benefits expense		
Salaries, wages and bonus	1,33,000.03	1,27,136.68
Contribution to provident and other fund	5,871.50	4,287.32
Gratuity expense (refer note 38)	1,543.83	1,234.32
Staff welfare expenses	1,162.95	894.34
	1,41,578.31	1,33,552.66
32 Finance Costs		
Interest expense on financial liabilities and borrowing measured at amortised cost	1,553.51	1,370.18
Interest on delay deposit of income tax	337.44	759.54
Interest on lease liabilities	32.71	25.38
Other finance costs	91.08	42.08
	2,014.74	2,197.18
33 Depreciation and amortisation expense		
Depreciation on property, plant and equipment (refer note 4)	10,287.49	8,926.77
Depreciation on investment properties (refer note 5)	5.47	0.73
Amortisation of intangible assets (refer note 6)	1,408.95	833.00
Depreciation of Right-of-use assets (refer note 4)	195.12	145.34
	11,897.03	9,905.84

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Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

	Year ended March 31, 2021	Year ended March 31, 2020
34 Other expenses		
Consumption of stores and spares	4,437.09	4,529.39
Power and fuel	8,252.62	7,996.23
Rent	1,793.47	1,735.12
Repair and maintenance		
- Machinery	2,193.65	1,873.37
- Building	510.73	625.09
- others	2,177.70	1,881.22
Insurance	1,039.19	837.99
Rates and taxes	4,063.81	4,357.27
Communication expenses	1,229.83	1,120.90
Postage and courier expenses	140.46	121.93
Travelling and conveyance	27,040.18	26,952.54
Printing and stationery	525.25	434.65
Freight cartage and other distribution cost	6,149.58	4,703.38
Commission and brokerage	14,028.56	12,436.05
Corporate social responsibility expenditure (refer note 45)	2,930.03	1,987.29
Director sitting fees	17.20	2.40
Legal and professional charges	4,941.89	3,075.15
Payments to auditors (refer note below)	142.98	140.93
Training and recruitment expense	1,574.33	2,751.47
Advertising and sales promotion expenses	37,337.74	25,532.73
Security expenses	495.56	488.64
Testing and inspection charges	6,872.86	3,893.79
Sales support expenses	20.04	-
Bank charges	100.99	126.55
Loss on sale and write off of property, plant and equipment (net)	304.45	-
Assets written off	388.75	-
Trade and other receivables written off	55.35	61.22
Product Development Expenses	1,237.11	-
Allowance for doubtful loans & advances (refer note 12)	149.25	517.52
Loss on foreign exchange fluctuation	-	102.50
Allowance for expected credit loss on trade receivables (refer note 14)	20.06	74.26
Miscellaneous expenses	5,051.85	4,064.94
Total	1,35,222.56	1,12,424.52
Note:		
Payments to the auditors (excluding input tax)		
I To statutory auditors		
a) Audit fees	136.06	133.09
b) Tax audit fees	6.58	5.87
c) Reimbursement of expenses	0.34	1.97
	142.98	140.93
34 (a) Impairment of non-current assets		
Impairment of investment in associates and joint ventures (refer note 7)	-	5,750.00
Impairment of intangible assets (right-of-use Brand) (refer note 6)	-	2,076.60
Impairment of doubtful capital advances (refer note 12)	-	1,231.39
	-	9,057.99
34 (b) Impairment losses on financial assets		
Impairment allowance for loans - credit impaired (refer note 17)	1,771.06	-
	1,771.06	-

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended
All amounts are in INR lacs unless otherwise stated

	Year ended March 31, 2021	Year ended March 31, 2020
35 Income taxes		
35.1 Income tax recognised in the Statement of profit and loss		
Current tax		
In respect of the current year	39,473.95	40,839.95
In respect of the previous year	142.61	587.06
	39,616.56	41,427.01
Deferred tax		
In respect of the current year	646.82	(2,862.53)
In respect of the previous year	(404.99)	(404.99)
	241.83	(3,267.52)
Total income tax expense recognised in the current year	39,858.39	38,159.49
Reconciliation of tax expense and the accounting profit multiplied by India domestic rate:		
Profit before tax	1,69,161.18	1,43,773.51
Statutory income tax rate	34.944%	34.944%
Income tax expense at statutory income tax rate	59,111.68	50,240.22
Effect of Income that is exempt from taxation	(728.11)	(1,107.46)
Effect of expenses that are not deductible in determining taxable profit	2,975.04	10,005.27
Effect of accelerated allowances for tax purposes	(1,521.27)	(5,595.06)
Effect of concessions (tax holiday and similar exemptions)	(19,119.01)	(16,056.97)
Effect of income charged at lower tax rate	(3.66)	(2,278.92)
Effect of unused tax losses and tax offsets not recognised as deferred tax assets	527.71	2,597.58
Impact of change in tax rate	(1,406.96)	172.76
Adjustments recognised in the current year in relation to the previous years	142.61	587.06
Deferred tax credit in respect of the prior years	(119.64)	(404.99)
	39,858.39	38,159.49
35.2 Income tax recognised in other comprehensive income		
Items that will not be reclassified to profit or loss		
- Remeasurement of the defined benefit plan	(27.83)	434.67
Total income tax expense recognised in other comprehensive income	(27.83)	434.67

Note: Effective tax rate has been calculated on profit before tax.

36 Contingent liabilities and commitments (to the extent not provided for)

A Contingent liabilities

(a) Claims against the Group not acknowledged as debts

	As at March 31, 2021	As at March 31, 2020
(i) Sales tax claims	16.36	16.41
(ii) Income tax demands	2,853.40	2,642.19
(iii) Commercial taxes	-	0.76
	2,869.76	2,659.36

Notes:

- (i) Claims / suits filed against the Group not acknowledged as debts which represents various legal cases filed against the Group. The Group has disclaimed the liability and defending the action. The Group has been advised by its legal counsel that its position is likely to be upheld in the litigation process and accordingly no provision for any liability has been made in the financial statements.
- (ii) The Group is contesting the demands of income tax and sales tax, and the management, including its tax advisors, believe that its position will likely be upheld in the appellate process. No tax expense has been accrued in the financial statements for the tax demand raised. The management believes that the ultimate outcome of this proceeding will not have a material adverse effect on the Group financial position and results of operations.

B Commitments

	As at March 31, 2021	As at March 31, 2020
(i) Estimated amount of contracts remaining to be executed on capital account and not provided for (Net of advances of March 31, 2021: INR 7,794.58 lacs; March 31, 2020: INR 2,164.69 lacs) excluding capital advances fully provided (refer note 12)	14,030.29	5,320.94
(ii) The Holding Company has issued corporate guarantees to banks on behalf of and in respect of fund and non fund based credit facilities availed by group in accordance with the policy of the Group. The Group has designated such guarantees as "Insurance Contracts" and clarified such guarantees as contingent liabilities. (refer note 52)	5,609.40	21,500.00

The Group has other commitments, for purchase orders which are issued after considering requirements as per operating cycle for purchase of goods and services, in normal course of business.

C Undrawn committed borrowing facility

- (i) The Holding Company has availed Working capital demand loan facilities from Citi Bank amounting to INR 29,500 lacs (March 31, 2020: 29,500 lacs). An amount of INR 22,000 lacs (March 31, 2020: INR 29,500 lacs) remains undrawn as at year end.

The Holding Company has got a secured working capital demand loan of INR 25,000 Lacs from CITI bank N.A. An amount of INR 23,000 lacs (March 31,2020 : INR 25,000 lacs) remains undrawn as at the year end.

The Holding Company has got a secured working capital demand loan of INR 7,000 lacs from Kotak mahindra bank. The loan is secured by way of first pari passu hypothecation charge on all the existing and future current assets of the Borrower. An amount of INR 7,000 lacs (March 31,2020: INR Nil) remains undrawn during the year.

- (ii) Cash credit limits of INR 2,500 lacs (March 31, 2020: INR 1,500 lacs), term loan of INR 500 lacs (March 31, 2020: INR 1,500 lacs) and unfunded bank limits of INR 500 lacs (March 31, 2020: INR 500 lacs) from HDFC bank secured by way of following:
- (a) hypothecation by way of first and exclusive charges on all present and future current assets inclusive of stocks and book debts of one of the subsidiary; JPR Labs private limited.
- (b) Equitable mortgage of the self occupied properties at Plot no. 74/A, Pharma City, Thanam Village, Parwada Mandal, Vishakhapatnam.

Of the above, JPR Labs private limited has availed facility amount to INR 1,468.66 lacs (March 31, 2019: INR 2,249.11 lacs) and amount of INR 2,031.34 lacs (March 31, 2020: INR 1,250.89 lacs) remains undrawn as at 31 March 2021.

- (iii) Working capital demand loan facilities from HDFC Bank amounting to INR 3,000 lacs is secured by 110% margin of lien on bank approved mutual funds of one of the subsidiary; Lifestar Pharma private limited has availed. Subsidiary Company has complied with all the debt covenants. An amount of INR 3,000 lacs (March 31, 2020: INR 3,000 lacs) remains undrawn as at year end.
- (iv) Cash credit facility from HDFC Bank amounting to INR 1,000 lacs is secured exclusive by first charge on the current assets of one of the subsidiary; Magnet Labs private limited. Magnet Labs private limited has complied with all the debt covenants. An amount of INR 1,000 lacs (March 31, 2020: INR 1,000 lacs) remains undrawn as at year end.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

- (v) Term loan, Working capital facility and cash credit limits of INR 400 lacs, INR 130.93 lacs and INR 600 lacs respectively obtained from HDFC bank by one of the subsidiary; Medipack innovations private limited.

Of the above, Medipack innovations private limited has availed cash credit facility amount to INR Nil (March 31, 2020: INR 429.59 lacs) and amount of INR 600.00 lacs remains undrawn (March 31, 2020: INR 170.41 lacs). The term loan is fully disbursed.

- (vi) Cash credit limits of INR 1000 lacs obtained from HDFC bank by one of the subsidiary; Penta latex LLP ("the firm"). Out of which the subsidiary firm has availed facility amount to INR 862.84 lacs (March 31, 2020: INR 385.33 lacs) and amount of INR 137.16 lacs (March 31, 2019: INR 614.17 lacs) remains undrawn as at year end.

Letter of credit facility obtained by the subsidiary firm is INR 300.00 lacs (March 31, 2020: INR 300.00 lacs) against which INR 300.00 lacs (March 31, 2020: INR 300.00 lacs) remains unutilised.

D Other Litigations

There are some cases filed against the Group on account of patent infringement where the group has been made a party. The Group has not supplied any goods against these cases and believes, there is no liability as such which would devolve over the group. The Group is contesting these cases and believes its position will be upheld in the jurisdictional authorities.

- E The Group did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.

- 37 The Group has certain dues to suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006 ('MSMED Act'). The disclosures pursuant to the said MSMED Act are as follows:

	As at March 31, 2021	As at March 31, 2020
(a) The principal amount and the interest due thereon remaining unpaid to any supplier at the end of each accounting year	10,270.20	8,102.21
	(Interest - Nil)	(Interest - Nil)
(b) Interest paid in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 and the amount of payment made to the supplier beyond the appointed day	-	-
(c) Interest due and payable for the period of delay in making payment other than the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006	-	-
(d) Interest accrued and remaining unpaid	-	-
(e) Further interest remaining due and payable even in the succeeding years for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	-	-

Dues to Micro and Small Enterprises have been determined to the extent such parties have been identified on the basis of information collected by the Management.

38 Employee Benefits

a. Contribution to Defined Contribution Plan, recognised as expense for the year is as under:

The Group's contribution to the Employees Provident Fund is deposited with the Regional Provident Fund Commissioner for qualifying employees. Under the scheme, the Group is required to contribute a specified percentage of payroll cost to the retirement benefit plan to fund the benefits.

During the year, the Group has recognised INR 3,855.03 lacs (March 31, 2020: INR 3,138.72 lacs) for Employer's contributions to the Provident Fund in the Consolidated statements of profit and loss. The contributions payable to the plan by the Group is at the rate specified in rules to the scheme.

There are numerous interpretative issues relating to Hon'ble Supreme Court of India vide its judgement dated February 28, 2019 on Provident Fund on the inclusion of allowances for the purpose of PF contribution as well as its applicability of effective date. Subsequently, the holding company vide assessment letter no. 28212 dated 04 August 2020 received from Employees Provident Fund Organisation wherein the provident fund department has completed their assessment for FY 2015-16 to FY 2019-20. Hence, the Group is of the view, that there is no further liability on account of the Judgement.

b. Defined benefit plan

In accordance with the Payment of Gratuity Act of 1972, the group contribute to a defined benefit plan ("the Gratuity Plan"). The gratuity plan provides a lump sum payment to vested employees at retirement, withdrawal, resignation and death of an employee. The gratuity liability is calculated on the basis of fifteen days salary (i.e. last drawn basic salary) for each completed year of service subject to completion of four years and two forty days in service.

Based on actuarial valuations conducted as at year end, a provision is recognised in full for the benefit obligation over and above the funds held in the Gratuity Plan. In case where there is no Gratuity Plan, full provision is recognised in the consolidated balance sheet.

Mankind Pharma Limited and its subsidiaries including Magnet Labs Private Limited, Lifestar Pharma Private Limited, Medipack Innovations Private Limited, Relax Pharmaceuticals Private Limited, Copmed Pharmaceuticals Private Limited and Mediforce Healthcare Private Limited have constituted their respective trust recognized by Income Tax Authorities for gratuity to employees. Contributions to the trust are funded with Life Insurance Corporation ("LIC") of India and Bajaj Allianz Life Insurance Company Limited. The liability in respect of other entities within the group are unfunded.

i. Risks associated with Plan Provisions

Risks associated with the plan provisions are actuarial risks. These risks are:- (i) investment risk, (ii) interest risk (discount rate risk), (iii) mortality risk and (iv) salary growth risk.

Investment risk	The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to Government Bonds Yield. If plan liability is funded and return on plan assets is below this rate, it will create a plan deficit.
Interest risk (discount rate risk)	A decrease in the bond interest rate (discount rate) will increase the plan liability
Mortality risk	The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants. For this report we have used Indian Assured Lives Mortality (2006-08) ultimate table. A change in mortality rate will have a bearing on the plan's liability.
Salary growth risk	The present value of the defined benefit plan liability is calculated with the assumption of salary increase rate of plan participants in future. Deviation in the rate of increase of salary in future for plan participants from the rate of increase in salary used to determine the present value of obligation will have a bearing on the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation were carried out as at March, 31 2021. The present value of defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

ii. Principal actuarial assumptions:

Principle actuarial assumption used to determine the present value of the benefit obligation are as follows:

S. No.	Particulars	Refer note below	Year ended March 31, 2021	Year ended March 31, 2020
i.	Discount rate (p.a.)	1	4.93%-6.90%	6.40%-6.92%
ii.	Rate of return on assets (p.a.)	2	6.10%-6.45%	7.24%-7.45%
iii.	Salary escalation rate (p.a.) -Office Staff	3	5.00%-12.00%	5.00%-12.00%
iv.	Salary escalation rate (p.a.) -Field Staff		5.50%	6.00%

Notes

- The discount rate is based on the prevailing market yields of Indian Government securities as at the balance sheet date for the estimated term of obligations.
- The expected return is based on the expectation of the average long term rate of return expected on investments of the fund during the estimated term of the obligations.
- The estimates of future salary increases considered takes into account the inflation, seniority, promotion and other relevant factors.

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iii. Demographic assumptions:

	As at March 31, 2021	As at March 31, 2020
1 Retirement age	58-60 years	55-60 years
2 Mortality rate	(100% of IALM 12-14)	(100% of IALM 12-14)
3 Average outstanding service of employee upto retirement	5.27-28.90	5.26-27.78
4 Number of employees	17,403	16,270
5 Attrition rate	20%-34% (Field staff)	20%-34% (Field staff)
- Service upto 5 years (Field Staff / Office Staff)	20% - Office staff '10%-15% (Field staff)	20% - Office staff '10%-15% (Field staff)
- Service above 5 Years (Field Staff / Office Staff)	'5%-7%' - Office staff	'5%-7%' - Office staff
and	5.00-30.00%	5.00-21.00%
- Age up to 30 Years	3.06%-30.00%	3.00%-7.00%
- Age from 31 to 44 years	0.57%-30.00%	0%-2.40%
- Age above 44 years		

The following tables set out the funded and unfunded status of the gratuity plan and amounts recognised in the Group's financial statements:

S. No. Particulars	Funded Plan		Unfunded Plan	
	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020
a. Amounts recognised in the Consolidated statement of Profit and Loss in respect of these defined benefits plans are as follows:				
Current service cost	1,085.41	816.00	80.08	66.90
Past service cost	-	103.06	-	2.09
Net interest expenses	362.51	239.82	15.83	6.45
Components of defined benefit costs recognised in Consolidated Statement of Profit and Loss	1,447.92	1,158.88	95.91	75.44
b. Remeasurement on the net defined benefit liability:				
Actuarial (gain)/loss due to change in demographic assumptions	5.71	154.82	(15.97)	0.06
Actuarial (gain)/loss due to change in financial assumptions	18.94	980.58	39.05	25.72
Actuarial (gain)/loss due to change in experience variance	(211.60)	205.06	(27.00)	(7.02)
Actuarial (gain)/loss due to change in plan asset	(21.47)	(74.70)	-	-
Component of defined benefit costs recognised in other comprehensive income	(208.42)	1,265.76	(3.92)	18.76

The current service cost and the net interest expense for the year are included in the 'Employee benefits expense' in the Consolidated financial statement of Profit and Loss. The remeasurement of the net defined benefit liability is included in the other comprehensive income.

c. The amount included in the Consolidated Balance Sheet arising from the entity's obligation in respect of its defined benefits plans as follows:

	As at March 31, 2021	As at March 31, 2020
Present value of defined benefit obligation	9,428.25	8,386.14
Fair value of plan assets	2,162.71	2,061.69
Funded status surplus/(deficit)	(7,265.54)	(6,324.45)
Less: Adjustment on account of discontinuing operations	-	-
Net funded status surplus/(deficit)	(7,265.54)	(6,324.45)

d. Movement in the fair value of the defined benefit obligation:

	Funded Plan		Unfunded Plan	
	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020
Opening defined benefit obligation	8,182.42	6,291.07	203.72	112.15
Current service cost	1,085.41	816.00	80.08	66.90
Past Service Cost	-	103.06	-	2.09
Interest cost	499.82	363.33	15.83	6.44
Actuarial (gain)/loss on obligation	(186.95)	1,340.47	(3.92)	18.76
Acquisition/Divestiture	-	(22.94)	-	-
Benefits paid	(413.07)	(708.57)	(35.09)	(2.62)
Closing defined benefit obligations	9,167.63	8,182.42	260.62	203.72

e. Movement in the fair value of the plan assets are as follows:

Opening fair value of plan assets	2,061.69	1,906.13	-	-
Expected return on plan assets	137.31	142.12	-	-
Employer's contributions	380.33	647.31	-	-
Fund Management Charges (FMC)	(2.11)	-	-	-
Benefits paid	(413.07)	(708.57)	-	-
Actuarial gain / (loss)	(1.44)	74.70	-	-
Closing fair value of plan assets	2,162.71	2,061.69	-	-

f. Sensitivity Analysis

Significant actuarial assumptions for the determination of the defined benefit obligation (DBO) are discount rate, expected salary increase and mortality. The sensitivity analyses below have been determined based on reasonably possible changes of the assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Particulars	For the year ended 31 March 2021		For the year ended 31 March 2020	
	Decrease in DBO	Increase in DBO	Decrease in DBO	Increase in DBO
Discount Rate (-/+0.5%)	368.91	(341.94)	310.40	(287.84)
Salary Growth Rate (-/+0.5%)	(321.26)	339.58	(274.55)	290.70

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit liability recognised in the Balance sheet.

There was no change in the methods and assumptions used in preparing the sensitivity analysis from prior years.

g. The expected maturity analysis of discounted defined benefit obligation is as follows:

Expected cash flows over the next	As at March 31, 2021	As at March 31, 2020
1 year	963.93	881.42
2 to 5 years	3,385.28	3,016.86
More than 5 years	4,111.34	3,485.39

Notes

- The discount rate is based on the prevailing market yields of Indian Government securities as at the balance sheet date for the estimated term of obligations.
- The compensated absences are unfunded.
- The estimates of future salary increase considered takes into account the inflation, seniority, promotion and other relevant factors.

39 Capital Management

For the purposes of Group's capital management, Capital includes equity attributable to the equity holders of the Group and all other equity reserves. The primary objective of the Group's capital management is to safeguard its ability to continue as going concern and to ensure that it maintains an efficient capital structure and maximize shareholder value.

The Group manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. The Group is not subject to any externally imposed capital requirements. No changes were made in the objectives, policies or processes for managing capital during the year ended March 31, 2021 and March 31, 2020 except for budgeting for cash flow projections considering the impact of ongoing pandemic COVID - 19. Capital gearing ratio is net debt divided by total capital plus net debt and Net debt is calculated as loans and borrowings less cash and cash equivalent.

The following table summarizes the capital of the Group:

Particulars	As at	As at
	March 31, 2021	March 31, 2020
Debt (a)	23,452.58	12,691.40
Cash and cash equivalents (Note 15)	16,718.20	22,607.53
Total Cash (b)	16,718.20	22,607.53
Net debt (c = (a-b))	6,734.38	(9,916.13)
Total Equity / Net Worth	4,86,289.12	3,67,157.13
Capital and Net Debt	4,93,023.50	3,57,241.00
Gearing ratio (Net Debt/Capital and Net Debt)	1.37%	-2.78%

40 Financial Instruments

A Financial risk management objective and policies

The Group's principal financial liabilities comprise trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations. The Group's principal financial assets include trade and other receivables, and cash and cash equivalents that are derived directly from its operations.

The Group's financial risk management is an integral part of how to plan and execute its business strategies. The Group is exposed to market risk, credit risk and liquidity risk.

The Group's senior management oversees the management of these risks. The senior professionals working to manage the financial risks and the appropriate financial risk governance framework for the Group are accountable to the Board of Directors and Audit Committee. This process provides assurance to Group's senior management that the Group's financial risk-taking activities are governed by appropriate policies and procedures and that financial risk are identified, measured and managed in accordance with Group policies and Group risk objective. In the event of crisis caused due to external factors such as caused by recent pandemic "COVID-19", the management assesses the recoverability of its assets, maturity of its liabilities to factor it in cash flow forecast to ensure there is enough liquidity in these situations through internal and external source of funds. These forecast and assumptions are reviewed by board of directors.

Financial assets and liabilities:

The accounting classification of each category of financial instruments, and their carrying amounts, are set out below:

March 31, 2021	FVTPL	FVTOCI	Amortised Cost	Total carrying value	Total fair value
Financial assets					
Investments	1,30,618.66	4,000.00	-	1,34,618.66	1,34,618.66
Trade receivables	-	-	33,061.13	33,061.13	33,061.13
Cash and cash equivalents	-	-	16,718.20	16,718.20	16,718.20
Other bank balances	-	-	53,355.98	53,355.98	53,355.98
Loans	-	-	1,848.57	1,848.57	1,848.57
Other current financial assets	-	-	999.12	999.12	999.12
Other non current financial assets	-	-	2,242.87	2,242.87	2,242.87
Total	1,30,618.66	4,000.00	1,08,225.87	2,42,844.53	2,42,844.53
Financial liabilities					
Borrowings	-	-	21,602.38	21,602.38	21,602.38
Trade payables	-	-	66,695.94	66,695.94	66,695.94
Other current financial liabilities	-	-	18,358.69	18,358.69	18,358.69
Other non current financial liabilities	-	-	551.05	551.05	551.05
Total	-	-	1,07,208.06	1,07,208.06	1,07,208.06
March 31, 2020	FVTPL	FVTOCI	Amortised Cost	Total carrying value	Total fair value
Financial assets					
Investments	66,504.50	-	-	66,504.50	66,504.50
Trade receivables	-	-	53,109.20	53,109.20	53,109.20
Cash and cash equivalents	-	-	22,607.53	22,607.53	22,607.53
Other bank balances	-	-	19,380.20	19,380.20	19,380.20
Loans	-	-	3,459.72	3,459.72	3,459.72
Other current financial assets	-	-	448.69	448.69	448.69
Other non current financial assets	-	-	3,092.99	3,092.99	3,092.99
Total	66,504.50	-	1,02,098.34	1,68,602.83	1,68,602.83
Financial liabilities					
Borrowings	-	-	10,247.29	10,247.29	10,247.29
Trade payables	-	-	74,511.01	74,511.01	74,511.01
Other current financial liabilities	-	-	12,058.57	12,058.57	12,058.57
Other non current financial liabilities	-	-	382.82	382.82	382.82
Total	-	-	97,199.69	97,199.69	97,199.69

B Fair value measurements

The management assessed that cash and cash equivalents, trade receivables, trade payables, other current financial assets and other current financial liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the other financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The following methods and assumptions were used to estimate the fair values:

1) The fair value of unquoted instruments, loans from banks, other non-current financial assets and non-current financial liabilities is estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities. The valuation requires management to use unobservable inputs in the model, of which the significant unobservable inputs are disclosed in the tables below. Management regularly assesses a range of reasonably possible alternatives for those significant unobservable inputs and determines their impact on the total fair value.

2) The fair values of the Group's interest-bearing borrowings are determined by using effective interest rate (EIR) method using discount rate that reflects the issuer's borrowing rate as at the end of the reporting period. The own non-performance risk as at 31 March 2021 was assessed to be insignificant.

3) Long-term receivables/payables are evaluated by the Group based on parameters such as interest rates, risk factors, individual creditworthiness of the counterparty and the risk characteristics of the financed project. Based on this evaluation, allowances are taken into account for the expected credit losses of these receivables.

4) Fair value hierarchy

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 - Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).

Level 3 - Inputs for the assets or liabilities that are not based on observable market data (unobservable inputs).

Financial Assets	Fair value as at		Fair value hierarchy (level)	Valuation techniques and key inputs
	As at March 31, 2021	As at March 31, 2020		
At fair value through profit and loss			Levels	
Investments in mutual funds	1,30,617.41	66,503.25	1	See note i below
Investments - other	1.25	1.25	3	See note ii below
Trade receivables	33,061.13	53,109.20	3	
Cash and cash equivalents	16,718.20	22,607.53	1	
Other bank balances	53,355.98	19,380.20	1	
Loans	1,848.57	3,459.72	3	
Other current financial assets	999.12	448.69	3	
Other non current financial assets	2,242.87	3,092.99	3	
At fair value through OCI				
Investments - other	4,000.00	-	3	See note ii below
Total	2,42,844.53	1,68,602.83		

i) Investment in mutual funds traded in active markets are determined by reference to quotes from the financial institutions; for example: Net asset value (NAV) for investments in mutual funds declared by mutual funds declared by mutual fund house.

ii) In the absence of observable inputs to measure fair value the assets have been classified as level 3. The Group has not given further disclosures since the amount involved is not material.

Fair value of the financial assets and liabilities that are not measured at fair value (but fair value disclosures are required)

The management considers that the carrying amounts of financial assets and financial liabilities recognised in the financial statement approximates their fair values.

Risk management framework

Risk management

The Group has exposure to the following risks arising from financial instruments:

- Market risk
- Liquidity risk
- Credit risk

The Group's board of directors has overall responsibility for the establishment and oversight of the Group's risk management framework.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed periodically to reflect changes in market conditions and the Group's activities. The Group, through its training, standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

The audit committee oversees how management monitors compliance with the Group's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee.

Financial risk

The Group's Board approved financial risk policies comprise liquidity, currency, interest rate and counterparty risk. The Group does not engage in speculative treasury activity but seeks to manage risk and optimize interest through proven financial instruments.

a) Credit Risk

Credit Risk is the risk that the counter party will not meet its obligation under a financial instrument or customer contract, leading to a financial loss. The Group is exposed to credit risk from its operating activities (primarily trade receivables) and from its financing activities, including deposits with banks, foreign exchange transactions and other financial instruments.

Possible credit risk

Credit risk related to trade receivables

Credit risk management

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investment securities. Credit risk is managed through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Group grants credit terms in the normal course of business. The Group establishes an allowance for doubtful debts and impairment that represents its estimate of incurred losses in respect of trade and other receivables and investments.

The loans advanced by the Group carries interest and are granted after evaluating the purpose and credit worthiness of the counter party. The loan advanced are backed by personal guarantee of the director of the counter party.

Moreover, given the diverse nature of the Group's businesses trade receivables are spread over a number of customers with no significant concentration of credit risk. No single customer accounted for 10.0% or more of trade receivable on a % basis in any of the years indicated.

Receivables are deemed to be past due or impaired with reference to the Group's normal terms and conditions of business. These terms and conditions are determined on a case to case basis with reference to the customer's credit quality and prevailing market conditions. Receivables that are classified as 'past due' in the above tables are those that have not been settled within the terms and conditions that have been agreed with that customer.

An impairment analysis is performed at each reporting date on trade receivables by lifetime expected credit loss method based on provision matrix. The maximum exposure to credit risk at the reporting date is the carrying value of each class of financial assets. The Group does not hold collateral as security. The Group evaluates the concentration of risk with respect to trade receivables as low, as its customers are located in several jurisdictions and industries and operate in largely independent markets.

Credit risk related to bank balances

Group holds bank balances with reputed and creditworthy banking institution within the approved exposures limit of each bank. None of the Group's cash equivalents, including time deposits with banks, are past due or impaired. Credit risk from balances with banks and financial institutions is managed by the Group's treasury department in accordance with the Group's policy. Investments of surplus funds are made in bank deposits and other risk free securities. The limits are set to minimize the concentration of risks and therefore mitigate financial loss through counterparty's potential failure to make payments. The Group's maximum exposure to credit risk for the components of the balance sheet at 31 March 2021 is the carrying amounts . The Group's maximum exposure relating to financial instrument is noted in liquidity table below.

Trade Receivables and other financial assets are written off when there is no reasonable expectation of recovery, such as debtor failing to engage in the repayment plan with the Group.

	As at March 31, 2021	As at March 31, 2020
Financial assets for which allowance is measured using 12 months Expected Credit Loss Method (ECL)		
Cash and cash equivalents	16,718.20	22,607.53
Other bank balances	53,355.98	19,380.20
Loans	1,848.57	3,459.72
Other current financial assets	999.12	448.69
Other non current financial assets	2,242.87	3,092.99
Financial assets for which allowance is measured using Life time Expected Credit Loss Method (ECL)		
Trade receivables	33,061.13	53,109.20

Credit risk related to investments

The Group has made investments in highly liquid SEBI regulated public sector mutual funds to meet their short term liquidity objectives. The Group analyses the credit worthiness of the party before investing their funds.

The Group limits its exposure to credit risk by generally investing in liquid securities and only with counterparties that have a good credit rating. The Group does not expect any losses from non-performance by these counterparties, and does not have any significant concentration of exposures to specific industry sectors or specific country risks.

Other credit risk

The Group is exposed to credit risk in relation to financial guarantees given on behalf of group companies.

b) Liquidity

Liquidity risk is defined as the risk that the Group will not be able to settle or meet its obligations on time or at reasonable price. The Group's objective is to at all times maintain optimum levels of liquidity to meet its cash and liquidity requirements. The Group closely monitors its liquidity position and deploys a robust cash management system. It maintains adequate source of financing through the use of short term bank deposits and cash credit facility. Processes and policies related to such risks are overseen by senior management. Management monitors the Group's liquidity position through rolling forecasts on the basis of expected cash flows. The Group assessed the concentration of risk with respect to its debt and concluded it to be low. The Group remains committed to maintaining a healthy liquidity, gearing ratio, deleveraging and strengthening our balance sheet. The maturity profile of the Group's financial liabilities based on the remaining period from the date of balance sheet to the contractual maturity date is given in the table below. The figures reflect the contractual undiscounted cash obligation of the Group.

Financial liabilities

Borrowings
Trade payables
Other financial liabilities

Financial liabilities

Borrowings
Trade payables
Other financial liabilities
Total

	As at March 31, 2021		
	Less than 1 year	More than 1 year	Total
Borrowings	15,860.39	5,741.99	21,602.38
Trade payables	66,695.94	-	66,695.94
Other financial liabilities	18,358.69	551.05	18,909.74
	1,00,915.02	6,293.04	1,07,208.06
	As at March 31, 2020		
	Less than 1 year	More than 1 year	Total
Borrowings	4,428.02	5,819.27	10,247.29
Trade payables	74,511.01	-	74,511.01
Other financial liabilities	12,058.57	382.82	12,441.39
	90,997.59	6,202.09	97,199.68

c) Interest rate risk

Interest rate is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The exposure of the Group's fixed rate financial liabilities to interest rate risk is as follows:

The exposure of the Group's financial assets to interest rate risk is as follows:

	As at	Impact on profit or loss	
		1% increase	1% decrease
Borrowings (Impact on profit and loss)	March 31, 2021	216.02	(216.02)
Borrowings (Impact on profit and loss)	March 31, 2020	666.96	(666.96)

Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprises three types of risk: currency rate risk, interest rate risk and other price risks, such as equity price risk and commodity price risk. Financial instruments affected by market risks include loans and borrowings, deposits, investments, and foreign currency receivables and payables. The sensitivity analysis in the following sections relate to the position as at reporting date. The analysis exclude the impact of movements in market variables on: the carrying values of gratuity and other post-retirement obligations; provisions; and the non-financial assets and liabilities. The sensitivity of the relevant Profit and Loss item and equity is the effect of the assumed changes in the respective market risks. This is based on the financial assets and financial liabilities held as of March 31, 2021 and March 31, 2020.

The Group manages surplus funds through investments in mutual fund plans regulated by Securities Exchange Board of India (SEBI). The NAV declared by Asset Management Companies (AMC) has generally remained constant on the mutual fund plans taken by the Group. However, if the NAV of the fund is increased/decreased by 5%, the sensitivity analysis has been mentioned below:

Movement of 5%

Impact on profit and equity

As at March 31, 2021	As at March 31, 2020
6,530.93	3,325.15

Commodity Price Risk

The Group is affected by the price volatility of certain commodities. Its operating activities require the ongoing trading of pharmaceutical items and therefore require a continuous supply of pharmaceutical products. Due to COVID 19, the significantly increased volatility of the quantity of pharmaceutical products might lead to a situation of increase in lead time to procure the goods for this the Group's Board of Directors has developed and enacted a risk management strategy regarding commodity price risk and its mitigation.

d) Foreign Currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to the risk of changes in foreign exchange rates relates primarily to the Group's operating activities (when revenue or expense is denominated in foreign currency). Foreign currency exchange rate exposure is partly balanced by purchasing of goods from the respective countries. The Group evaluates exchange rate exposure arising from foreign currency transactions and follows established risk management policies.

Foreign currency risk sensitivity

The following tables demonstrate the sensitivity to a reasonably possible change in USD & SGD exchange rates, with all other variables held constant. The impact on the Group profit before tax and equity is due to changes in the fair value of monetary assets and liabilities. Foreign currency exposures recognised by the Group that have not been hedged by a derivative instrument or otherwise are as under:

March 31, 2021				Impact on profit before tax and equity	
Nature	Currency	Foreign Currency	Indian Rupees	1% increase	1% decrease
		in Lacs.	in Lacs.	in Lacs.	in Lacs.
Receivable	US Dollar (USD)	276.45	20,320.48	203.20	(203.20)
Payable	US Dollar (USD)	58.91	4,329.88	43.30	(43.30)
Receivable	Singapore Dollar (SGD)	-	-	-	-
Payable	Singapore Dollar (SGD)	-	-	-	-
March 31, 2020				Impact on profit	
Currency	Currency	Foreign Currency	Indian Rupees	1% increase	1% decrease
		in Lacs.	in Lacs.	in Lacs.	in Lacs.
Receivable	US Dollar (USD)	83.60	6,677.23	66.77	(66.77)
Payable	US Dollar (USD)	14.27	1,450.79	14.51	(14.51)
Receivable	Singapore Dollar (SGD)	0.83	48.85	0.49	(0.49)
Payable	Singapore Dollar (SGD)	5.95	351.90	3.52	(3.52)

41 Related party disclosures

List of related parties and relationships

(i) List of related parties

Jointly Ventures	Superba Developers Superba Buildwell (South) Superba Buildwell
Associates	ANM Pharma Private Limited Om Sai Pharma Pack Sirmour Remedies Private Limited J.K Print Pack A. S. Packers N.S. Industries
Key Management Personnel (KMP)	Prem Kumar Arora Ramesh Chand Juneja Rajeev Juneja Sheetal Arora Arjun Juneja Satish Kumar Sharma
Relatives of KMP (with whom transactions have taken place)	Eklavya Juneja Chanakya Juneja Ayushi Juneja Esha Arora Nidhi Arora Prabha Arora Poonam Juneja Puja Juneja Ria Chopra Juneja
Others (with whom transactions have taken place) includes the following-:	
a. Entities under the control, joint control or significant influence of KMP or their relatives.	A To Z Packers ANM Properties Pvt. Ltd. Alankrit Handicraft Private Limited Casablanca Securities Private Limited Casablanca Lifesciences LLP Indu Buildwell Private Limited Luxor Metaltech Industries Private Limited Nextwave (India) Pathkind Diagnostics Private Limited Paonta Process Equipment Print Man Rashi Apparels Private Limited Rashmi Exports Private Limited Saburi Sai Ram Buildtech Private Limited Star Infra Developers Private Limited Teen Murti Product Private Limited. Jagdish Chand Juneja Foundation Mankind Biosys Private Limited* Ramesh Juneja Family Trust Rajeev Juneja Family Trust Prem Sheetal Family Trust Ayushi & Poonam Estates LLP Casablanca Lifesciences LLP Intercity Corporate Towers LLP
b. Post retirement benefits plan	Lifestar Pharma Private Limited Employees' Group Gratuity Assurance Scheme Mankind Pharma (P) Limited Employees' Group Gratuity Trust Magnet Labs Pvt. Ltd. Employees' Group Gratuity Assurance Scheme Medipack Innovation Pvt. Ltd. Employees' Group Gratuity Assurance Scheme

* Demerged from the Group w.e.f. 01.04.2018

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

41. (ii) Transactions occurred during the year

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended
	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020
A. Sale of products												
Simour Remedies Private Limited	651.11	411.77	-	-	-	-	-	-	-	-	651.11	411.77
Pathkind Diagnostics Private Limited	-	-	-	-	0.24	0.14	-	-	-	-	0.24	0.14
J. K. Printpack	912.44	877.25	-	-	-	-	-	-	-	-	912.44	877.25
A To Z Packers	-	-	-	-	0.53	0.62	-	-	-	-	0.53	0.62
A.S. Packers	0.31	-	-	-	-	-	-	-	-	-	0.31	-
ANM Pharma Private Limited	-	4.65	-	-	-	-	-	-	-	-	-	4.65
Jagdish Chand Juneja Foundation	-	-	-	-	14.14	14.18	-	-	-	-	14.14	14.18
	1,563.86	1,293.67	-	-	14.91	14.94	-	-	-	-	1,578.77	1,308.61
B. Sale of services												
Simour Remedies Private Limited	5.42	19.60	-	-	-	-	-	-	-	-	5.42	19.60
A To Z Packers	-	-	-	-	0.16	0.17	-	-	-	-	0.16	0.17
A.S. Packers	0.29	0.27	-	-	-	-	-	-	-	-	0.29	0.27
J. K. Printpack	11.77	15.84	-	-	-	-	-	-	-	-	11.77	15.84
N S Industries	0.07	-	-	-	-	-	-	-	-	-	0.07	-
Next Wave (India)	-	-	-	-	1.66	6.61	-	-	-	-	1.66	6.61
Om Sai Pharma Pack	1.24	0.46	-	-	-	-	-	-	-	-	1.24	0.46
	18.79	36.17	-	-	1.82	6.78	-	-	-	-	20.61	42.96
C. Sale of Raw Material/ Consumables												
Simour Remedies Private Limited	70.88	22.85	-	-	-	-	-	-	-	-	70.88	22.85
A To Z Packers	-	-	-	-	7.14	12.07	-	-	-	-	7.14	12.07
A.S. Packers	1.18	1.54	-	-	-	-	-	-	-	-	1.18	1.54
J. K. Printpack	283.46	412.90	-	-	-	-	-	-	-	-	283.46	412.90
Paonta Process Equipments	-	-	-	-	0.02	-	-	-	-	-	0.02	-
	355.52	437.30	-	-	7.17	12.07	-	-	-	-	362.68	449.37
D. Rental income												
Rashi Apparels Private Limited	-	-	-	-	-	2.00	-	-	-	-	-	2.00
	-	-	-	-	-	2.00	-	-	-	-	-	2.00
E. Interest income on financial assets- loans												
Casablanca Securities Private Limited	-	-	-	-	255.00	228.90	-	-	-	-	255.00	228.90
Indu Buildwell Private Limited	-	-	-	-	21.36	19.84	-	-	-	-	21.36	19.84
Rasmi Exports Pvt. Ltd.	-	-	-	-	-	0.53	-	-	-	-	-	0.53
	-	-	-	-	276.36	249.27	-	-	-	-	276.36	249.27
F. Sale of property, plant and equipment												
A.S. Packers	0.60	-	-	-	-	-	-	-	-	-	0.60	-
Simour Remedies Private Limited	-	6.68	-	-	-	-	-	-	-	-	-	6.68
Pathkind Diagnostics Private Limited	-	-	-	-	-	0.03	-	-	-	-	-	0.03
J. K. Printpack	45.46	40.53	-	-	-	-	-	-	-	-	45.46	40.53
	46.06	47.21	-	-	-	0.03	-	-	-	-	46.06	47.24
G. Purchase of goods (net)												
ANM Pharma Private Limited	3,321.67	4,722.00	-	-	-	-	-	-	-	-	3,321.67	4,722.00
Om Sai Pharma Pack	4,352.91	4,091.93	-	-	-	-	-	-	-	-	4,352.91	4,091.93
Simour Remedies Private Limited	8,790.62	7,860.53	-	-	-	-	-	-	-	-	8,790.62	7,860.53
A To Z Packers	-	-	-	-	949.15	1,272.56	-	-	-	-	949.15	1,272.56
A.S. Packers	1,304.56	2,718.22	-	-	-	-	-	-	-	-	1,304.56	2,718.22
J. K. Printpack	10,349.42	10,948.63	-	-	-	-	-	-	-	-	10,349.42	10,948.63
N S Industries	1,279.14	1,235.26	-	-	-	-	-	-	-	-	1,279.14	1,235.26
Next Wave (India)	-	-	-	-	10,652.75	8,324.14	-	-	-	-	10,652.75	8,324.14
Printman	-	-	-	-	71.44	190.93	-	-	-	-	71.44	190.93
	29,398.31	31,576.56	-	-	11,673.34	9,787.62	-	-	-	-	41,071.65	41,364.18

Mankind Pharma Limited
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All amounts are in INR lacs unless otherwise stated

41 (ii) Transactions occurred during the year

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended	Year ended
	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020
H. Purchase of Raw Material and other components												
Simour Remedies Private Limited	7.11	0.64	-	-	-	-	-	-	-	-	7.11	0.64
A To Z Packers	-	-	-	-	-	-	-	-	-	-	146.47	146.47
A.S. Packers	1,592.04	596.23	-	-	403.95	146.47	-	-	-	-	403.95	596.23
J. K. Printpack	549.17	587.24	-	-	-	-	-	-	-	-	1,592.04	1,592.04
N S Industries	1,528.28	1,747.58	-	-	-	-	-	-	-	-	549.17	587.24
Paonta Process Equipment	-	-	-	-	0.86	-	-	-	-	-	1,528.28	1,747.58
Printman	-	-	-	-	246.45	287.09	-	-	-	-	0.86	7.60
	3,676.60	2,931.69	-	-	651.26	441.16	-	-	-	-	246.45	287.09
											4,327.86	3,372.86
I. Purchase of property, plant and equipment												
Paonta Process Equipment	-	-	-	-	229.74	115.38	-	-	-	-	229.74	115.38
A.S. Packers	2.30	4.10	-	-	-	-	-	-	-	-	2.30	4.10
Simour Remedies Private Limited	-	5.00	-	-	-	-	-	-	-	-	-	5.00
	2.30	9.10	-	-	229.74	115.38	-	-	-	-	232.04	124.49
J. Purchase of services												
Rashi Apparels Private Limited	-	-	-	-	-	9.23	-	-	-	-	-	9.23
Simour Remedies Private Limited	74.36	12.68	-	-	-	-	-	-	-	-	74.36	12.68
Teen Murti Products Private Limited	-	-	-	-	25.39	328.63	-	-	-	-	25.39	328.63
A.S. Packers	-	-	-	-	-	2.05	-	-	-	-	-	2.05
Pathkind Diagnostics Private Limited	-	-	-	-	9.57	7.63	-	-	-	-	9.57	7.63
Paonta Process Equipment	-	-	-	-	51.05	24.36	-	-	-	-	51.05	24.36
Jagdish Chand Juneja Foundation	-	-	-	-	0.55	-	-	-	-	-	0.55	-
ANM Pharma Private Limited	2.12	1.32	-	-	-	-	-	-	-	-	2.12	1.32
	76.48	14.00	-	-	86.56	371.91	-	-	-	-	163.04	385.91
K. Rent expense												
Alankrit Handicrafts Private Limited	-	-	-	-	479.28	453.12	-	-	-	-	479.28	453.12
Superba Buildwell	-	-	432.51	416.88	-	-	-	-	-	-	432.51	416.88
Superba Buildwell (South)	-	-	216.86	259.25	-	-	-	-	-	-	216.86	259.25
Superba Developers	-	-	247.45	247.45	-	-	-	-	-	-	247.45	247.45
J. K. Printpack	1.20	1.20	-	-	-	-	-	-	-	-	1.20	1.20
	1.20	1.20	896.83	923.58	479.28	453.12	-	-	-	-	1,377.31	1,377.90
L. Advances recoverable- Payment made by the entity on behalf of												
Alankrit Handicrafts Private Limited	-	-	-	-	6.58	0.37	-	-	-	-	6.58	0.37
Applan Associates Infrastructure Private Limited	-	-	-	-	5.39	-	-	-	-	-	5.39	-
Gyan Infrastructure Company Private Limited	-	-	-	-	5.62	-	-	-	-	-	5.62	-
Star Infra Developers Private Limited	-	-	-	-	2.57	-	-	-	-	-	2.57	-
Rashi Apparels Private Limited	-	-	-	-	-	3.26	-	-	-	-	-	3.26
Applan Buildheights LLP	-	-	-	-	6.75	-	-	-	-	-	6.75	-
Applan Buildrise LLP	-	-	-	-	6.77	-	-	-	-	-	6.77	-
Applan Buildwell LLP	-	-	-	-	6.75	-	-	-	-	-	6.75	-
Applan Projects LLP	-	-	-	-	7.55	-	-	-	-	-	7.55	-
Intercity Corporate Towers LLP	-	-	-	-	3.48	-	-	-	-	-	3.48	-
Mankind Biosys Private Limited	-	-	-	-	28.42	-	-	-	-	-	28.42	-
Rajeev Juneja	-	-	-	-	-	-	18.90	-	-	-	18.90	-
	-	-	-	-	79.88	3.63	18.90	-	-	-	98.78	3.63
M. Reimbursement of expenses paid												
Pathkind Diagnostics Private Limited	-	-	-	-	3.92	-	-	-	-	-	3.92	-
ANM Pharma Private Limited	-	36.41	-	-	-	-	-	-	-	-	-	36.41
Teen Murti Product Private Limited	-	-	-	-	28.01	27.60	-	-	-	-	28.01	27.60
	-	36.41	-	-	31.93	27.60	-	-	-	-	31.93	64.01

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

41. (ii) Transactions occurred during the year

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020
N. Reimbursement received												
Simour Remedies Private Limited	0.64	-	-	-	-	-	-	-	-	-	0.64	-
J K Print Packs	1.53	-	-	-	-	-	-	-	-	-	1.53	-
N S Industries	0.03	-	-	-	-	-	-	-	-	-	0.03	-
Intercity Corporate Towers LLP	-	-	-	-	0.05	-	-	-	-	-	0.05	-
Star Infra Developers Private Limited	-	-	-	-	0.11	-	-	-	-	-	0.11	-
	2.19	-	-	-	0.15	-	-	-	-	-	2.34	-
O. Loans given to												
Casablanca Securities Private Limited	-	-	-	-	-	3,000.00	-	-	-	-	-	3,000.00
	-	-	-	-	-	3,000.00	-	-	-	-	-	3,000.00
P. Loans given repaid by												
Casablanca Securities Private Limited	-	-	-	-	27.59	-	-	-	-	-	27.59	-
Mankind Biosys Pvt. Ltd.	-	-	-	-	85.00	30.00	-	-	-	-	85.00	30.00
	-	-	-	-	112.59	30.00	-	-	-	-	112.59	30.00
Q. Capital withdrawn												
Superba Buildwell	-	-	172.50	225.00	-	-	-	-	-	-	172.50	225.00
Superba Buildwell (South)	-	-	175.00	77.00	-	-	-	-	-	-	175.00	77.00
Superba Developers	-	-	103.20	83.70	-	-	-	-	-	-	103.20	83.70
Om Sai Pharma Pack	650.00	-	-	-	-	-	-	-	-	-	650.00	-
A.S.Packers	-	150.00	-	-	-	-	-	-	-	-	-	150.00
J.K. Printpacks	33.66	64.40	-	-	-	-	-	-	-	-	33.66	64.40
N.S.Industries	-	150.00	-	-	-	-	-	-	-	-	-	150.00
	683.66	364.40	450.70	385.70	-	-	-	-	-	-	1,134.36	750.10
R. Share in profit												
ANM Pharma Private Limited	65.79	46.59	-	-	-	-	-	-	-	-	65.79	46.59
Om Sai Pharma Pack	117.60	66.19	-	-	-	-	-	-	-	-	117.60	66.19
Simour Remedies Private Limited	62.38	186.16	-	-	-	-	-	-	-	-	62.38	186.16
A.S.Packers	171.49	223.86	-	-	-	-	-	-	-	-	171.49	223.86
J.K. Printpacks	183.84	73.63	-	-	-	-	-	-	-	-	183.84	73.63
N.S.Industries	213.10	189.89	-	-	-	-	-	-	-	-	213.10	189.89
Superba Buildwell	-	124.24	117.20	-	-	-	-	-	-	-	124.24	117.20
Superba Developers	-	69.67	82.68	-	-	-	-	-	-	-	69.67	82.68
Superba Buildwell (South)	-	159.60	167.32	-	-	-	-	-	-	-	159.60	167.32
	814.20	786.32	353.51	367.20	-	-	-	-	-	-	1,167.71	1,153.52
S. Dividend paid												
Ramesh Juneja Family Trust	-	-	-	-	-	6,293.13	-	-	-	-	-	6,293.13
Rajeev Juneja Family Trust	-	-	-	-	-	6,034.75	-	-	-	-	-	6,034.75
Prem Sheetal Family Trust	-	-	-	-	-	4,662.55	-	-	-	-	-	4,662.55
Prem Kumar Arora	-	-	-	-	-	-	-	-	-	74.38	-	74.38
Ramesh Chand Juneja	-	-	-	-	-	-	-	-	-	-	-	797.39
Rajeev Juneja	-	-	-	-	-	-	-	-	-	928.80	-	928.80
Sheetal Arora	-	-	-	-	-	-	-	-	-	1,804.36	-	1,804.36
Nidhi Arora	-	-	-	-	-	-	-	-	-	-	-	74.38
Arjun Juneja	-	-	-	-	-	-	-	-	-	796.95	-	796.95
Ria Chopra	-	-	-	-	-	-	-	-	-	-	-	97.61
Poonam Juneja	-	-	-	-	-	-	-	-	-	797.10	-	797.10
Prabha Arora	-	-	-	-	-	-	-	-	-	74.38	-	74.38
Eklavya Juneja	-	-	-	-	-	-	-	-	-	294.21	-	294.21
Puja Juneja	-	-	-	-	-	-	-	-	-	1,042.30	-	1,042.30
Chanakya Juneja	-	-	-	-	-	-	-	-	-	120.80	-	120.80
	-	-	-	-	-	16,990.43	-	4,401.88	-	2,500.79	-	23,893.10

Mankind Pharma Limited

Notes forming part of the consolidated financial statements for the year ended March 31, 2021

All amounts are in INR lacs unless otherwise stated

41 (ii) Transactions occurred during the year

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Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

41 (ii) Transactions occurred during the year

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020	Year ended March 31, 2021	Year ended March 31, 2020
AD. Profit Commission												
Surendra Lunia	-	-	-	-	-	-	15.00	22.50	-	-	15.00	22.50
Tilokchand Punamchand Ostwal	-	-	-	-	-	-	18.00	22.50	-	-	18.00	22.50
Bharat Anand	-	-	-	-	-	-	15.00	22.50	-	-	15.00	22.50
	-	-	-	-	-	-	48.00	67.50	-	-	48.00	67.50
AE. Donation												
Jagdish Chand Juneja Foundation	-	-	-	-	-	-	210.00	190.00	-	-	210.00	190.00
	-	-	-	-	-	-	210.00	190.00	-	-	210.00	190.00

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated
41 (iii) Balances outstanding as at the year end

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020
A. Trade receivables												
J. K. Printpack	257.44	659.47	-	-	-	-	-	-	-	-	257.44	659.47
Sirmour Remedies Private Limited	54.00	83.70	-	-	-	-	-	-	-	-	54.00	83.70
Next Wave (India)	-	-	-	-	-	4.73	-	-	-	-	-	4.73
A.S. Packers	45.98	45.61	-	-	-	-	-	-	-	-	45.98	45.61
Om Sai Pharma Pack	0.64	0.08	-	-	-	-	-	-	-	-	0.64	0.08
Pathkind Diagnostics Private Limited	-	-	-	-	-	4.76	-	-	-	-	-	4.76
Jagdish Chand Juneja Foundation	-	-	-	-	-	2.95	-	-	-	-	-	2.95
	358.05	788.86	-	-	-	12.44	-	-	-	-	358.05	801.31
B. Trade payables												
A To Z Packers	-	-	-	-	192.73	204.89	-	-	-	-	192.73	204.89
A. S. Packers	900.31	664.79	-	-	-	-	-	-	-	-	900.31	664.79
ANN Pharma Private Limited	495.88	683.36	-	-	-	-	-	-	-	-	495.88	683.36
J. K. Printpack	497.56	1,271.54	-	-	-	-	-	-	-	-	497.56	1,271.54
N.S. Industries	943.55	631.84	-	-	-	-	-	-	-	-	943.55	631.84
Next Wave (India)	-	-	-	-	667.86	1,391.58	-	-	-	-	667.86	1,391.58
Om Sai Pharma Pack	461.29	697.36	-	-	-	-	-	-	-	-	461.29	697.36
Poanta Process Equipments	-	-	-	-	11.75	0.14	-	-	-	-	11.75	0.14
Print Man	-	-	-	-	50.97	118.56	-	-	-	-	50.97	118.56
Sirmour Remedies Private Limited	1,046.92	629.85	-	-	-	-	-	-	-	-	1,046.92	629.85
Teen Murti Products Private Limited	-	-	-	-	11.36	74.97	-	-	-	-	11.36	74.97
Pathkind Diagnostics Private Limited	-	-	-	-	2.76	-	-	-	-	-	2.76	-
Rashi Apparels Private Limited	-	-	-	-	-	71.57	-	-	-	-	-	71.57
	4,345.52	4,578.74	-	-	937.43	1,861.72	-	-	-	-	5,282.95	6,440.46
C. Payable for purchase of Property, Plant and Equipment												
Poanta Process Equipment	-	-	-	-	-	11.75	-	-	-	-	-	11.75
	-	-	-	-	-	11.75	-	-	-	-	-	11.75
D. Other financial assets: Security deposits												
Alankrit Handicrafts Private Limited	-	-	-	-	163.35	163.35	-	-	-	-	163.35	163.35
Superba Developers	-	-	112.20	112.20	-	-	-	-	-	-	112.20	112.20
Superba Buildwell	-	-	199.10	207.94	-	-	-	-	-	-	199.10	207.94
Superba Buildwell (South)	-	-	202.04	193.20	-	-	-	-	-	-	202.04	193.20
	-	-	513.34	513.34	163.35	163.35	-	-	-	-	676.69	676.69
E. Financial assets: Loans (before impairment)												
Casablanca Securities Private Limited	-	-	-	-	3,235.88	3,027.59	-	-	-	-	3,235.88	3,027.59
Indu Buildwell Private Limited	-	100.00	-	-	271.06	251.30	-	-	-	-	271.06	251.30
Om Sai Pharma Pack	-	-	-	-	-	-	-	-	-	-	-	100.00
	-	100.00	-	-	3,506.94	3,278.89	-	-	-	-	3,506.94	3,378.89
F. Financial assets: Impairment on Loans												
Casablanca Securities Private Limited	-	-	-	-	1,500.00	-	-	-	-	-	1,500.00	-
Indu Buildwell Private Limited	-	-	-	-	271.06	-	-	-	-	-	271.06	-
	-	-	-	-	1,771.06	-	-	-	-	-	1,771.06	-
G. Other assets: Advance receivable												
Medipack Innovation Pvt. Ltd. Employees' Group Gratuity Assurance Scheme	-	-	-	-	0.17	0.18	-	-	-	-	0.17	0.18
A.S.Packers	-	0.93	-	-	-	-	-	-	-	-	-	0.93
Poanta Process Equipments	-	-	-	-	22.50	29.43	-	-	-	-	22.50	29.43
Arjun Juneja	-	-	-	-	-	-	9.51	9.51	-	-	9.51	9.51
	-	0.93	-	-	22.67	29.61	9.51	9.51	-	-	32.18	40.05

Mankind Pharma Limited

Notes forming part of the consolidated financial statements for the year ended March 31, 2021

All amounts are in INR lacs unless otherwise stated

41 (iii) Balances outstanding as at the year end

Particulars	Associates		Joint ventures		Others		KMP		Relative of KMP		Total	
	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020
H. Financial assets: Investments												
Om Sai Pharma Pack	1,490.95	2,013.42	-	-	-	-	-	-	-	-	1,490.95	2,013.42
Superba Buildwell	-	-	1,341.45	1,389.71	-	-	-	-	-	-	1,341.45	1,389.71
Superba Buildwell (South)	-	-	2,747.20	2,762.60	-	-	-	-	-	-	2,747.20	2,762.60
Superba Developers	-	-	1,326.76	1,360.29	-	-	-	-	-	-	1,326.76	1,360.29
ANM Pharma Private Limited	278.51	209.71	-	-	-	-	-	-	-	-	278.51	209.71
Sirmour Remedies Private Limited	2,506.63	2,363.95	-	-	-	-	-	-	-	-	2,506.63	2,363.95
A.S.Packers	2,442.14	2,247.63	-	-	-	-	-	-	-	-	2,442.14	2,247.63
J.K. Printpacks	1,339.83	1,195.35	-	-	-	-	-	-	-	-	1,339.83	1,195.35
N.S.Industries	3,105.21	2,895.32	-	-	-	-	-	-	-	-	3,105.21	2,895.32
	11,163.27	10,925.38	5,415.41	5,512.60	-	-	-	-	-	-	16,578.68	16,437.98
I. Financial assets: Impairment on Investments												
Sirmour Remedies Private Limited	2,500.00	2,500.00	-	-	-	-	-	-	-	-	2,500.00	2,500.00
J K Print Packs	2,050.00	2,050.00	-	-	-	-	-	-	-	-	2,050.00	2,050.00
N S Industries	400.00	400.00	-	-	-	-	-	-	-	-	400.00	400.00
Om Sai Pharma Pack	800.00	800.00	-	-	-	-	-	-	-	-	800.00	800.00
	5,750.00	5,750.00	-	-	-	-	-	-	-	-	5,750.00	5,750.00
J. Remuneration payable to KMP												
Prem Kumar Arora	-	-	-	-	-	-	-	488.93	-	-	-	488.93
Ramesh Chand Juneja	-	-	-	-	-	-	968.59	922.91	-	-	968.59	922.91
Rajeev Juneja	-	-	-	-	-	-	916.24	1,135.53	-	-	916.24	1,135.53
Sheetal Arora	-	-	-	-	-	-	732.99	474.71	-	-	732.99	474.71
Arjun Juneja	-	-	-	-	-	-	-	349.92	-	-	-	349.92
	-	-	-	-	-	-	2,617.82	3,372.00	-	-	2,617.82	3,372.00
K. Financial Liabilities: Borrowings												
Mankind Biosys Private Limited	-	-	-	-	54.77	130.35	-	-	-	-	54.77	130.35
Alankrit Handicrafts Pvt. Ltd.	-	-	-	-	230.47	214.13	-	-	-	-	230.47	214.13
	-	-	-	-	285.24	344.48	-	-	-	-	285.24	344.48
L. Financial guarantees given												
ANM Pharma Private Limited	10,000.00	10,000.00	-	-	-	-	-	-	-	-	10,000.00	10,000.00
	10,000.00	10,000.00	-	-	-	-	-	-	-	-	10,000.00	10,000.00

42 Segment Information

42.1 Description of Segment and principal activities

As per Ind AS-108, "Operating Segment" (specified under the section 133 of the Companies Act 2013 (the Act) read with Companies (Indian Accounting Standards) Rule 2015 (as amended from time to time) and other relevant provision of the Act) the Group's chief operating decision maker ('CODM') has identified pharmaceuticals and other related products as the reportable segments. The Group's has leased certain immovable properties to third parties and have investment in subsidiaries having leasing business. However, since the revenue, total assets and profit is less than 10% hence this is not considered as reportable segment. Operating Segments have been defined and presented based on the regular review by CODM as per the following :

Pharmaceutical and other related products- The Group's main business is manufacturing and trading of pharmaceutical and other health care products in India.

Since the Group is having only one reportable segment hence disclosure requirement as per Ind As 108 is not applicable.

42.2 Geographical Information

The following table provides an analysis of the Group's sales by region in which the customer is located, irrespective of the origin of the goods.

	Revenue from operations		Total assets	
	Year ended March 31, 2021	Year ended March 31, 2020	As at March 31, 2021	As at March 31, 2020
India	6,02,853.41	5,78,864.96	6,05,903.45	5,00,601.97
Outside India	18,589.67	7,640.24	31,359.06	6,726.08
Total	6,21,443.08	5,86,505.20	6,37,262.51	5,07,328.06

42.3 No single customer has accounted for more than 10% of the Group's revenue for the year ended March 31, 2021 and March 31, 2020.

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43 Distributions on equity shares

Particulars	Year ended March 31, 2021	Year ended March 31, 2020
Cash dividends on equity shares declared and paid:		
Dividend for the year ended March 31, 2019 (INR 4.45 per share)	-	17,826.19
Interim dividend for the year ended March 31, 2020 (INR 3.10 per share)	-	12,418.24
Dividend distribution tax on above	-	6,182.17
	-	36,426.60

44 Earnings per Equity Shares

Basic earnings per equity share has been computed by dividing net profit after tax by the weighted average number of equity shares outstanding for the year. Diluted earnings per equity share has been computed using the weighted average number of equity shares and dilutive potential equity shares outstanding during the year.

	Units	Year ended March 31, 2021	Year ended March 31, 2020
Profit attributable to equity holders of the parent	(INR /lacs)	1,26,542.05	1,03,041.69
Weighted average number of equity shares outstanding during the year	Numbers	400588440	400588440
Nominal value of equity shares	INR	1.00	1.00
Basic earnings per share	INR	31.59	25.72
Diluted earnings per share	INR	31.59	25.72

45 Expenditure on Corporate Social Responsibility

As per provisions of section 135 of the Companies Act, 2013, the Group has to incur at least 2% of average net profits of the preceding three financial years towards Corporate Social Responsibility ("CSR"). Accordingly, a CSR committee has been formed for carrying out CSR activities as per the Schedule VII of the Companies Act, 2013. Details are as under:

Particulars	Year ended March 31, 2021	Year ended March 31, 2020
Details of CSR Expenditure:		
Amount required to be spent as per section 135 of the Act (including the CSR expenditure relating to previous years unspent amount)	2,662.56	2,335.58
Amount approved by the Board to be spent during the year	4,061.57	2,335.58
Amount spent during the year on		
(i) Construction/ acquisition of assets	-	-
(ii) Contribution to Trust/Universities	4,061.57	1,987.29
(iii) On purpose other than above	-	-
Total Amount Spent	4,061.57	1,987.29
Less: Excess spent during the year to be carry forward to FY 2021-22	(1,131.54)	-
Total amount recognised in the statement of profit and loss	2,930.03	1,987.29
Amount yet to be spent	0.02	348.29
Excess spent during the year to be carry forward to FY 2021-22	1,131.54	-

46 There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Group.

47 Associates and Joint ventures

The Group does not have any material associates or joint ventures warranting a disclosure in respect of individual associates or jointly ventures.

Aggregate information of Associates and Joint Ventures that are not individually material

	Year ended March 31, 2021	Year ended March 31, 2020
Associates:		
ANM Pharma Private Limited	65.79	46.59
Om Sai Pharma Pack	117.60	66.19
Sirmour Remedies Private Limited	62.38	186.16
A.S.Packers	171.49	223.86
J.K. Printpacks	183.84	73.63
N.S.Industries	213.10	189.89
Joint ventures:		
Superba Buildwell	124.24	117.20
Superba Developers	69.67	82.68
Superba Buildwell (South)	159.60	167.32
Aggregate carrying amount of the Group's interests in these associates and joint ventures	1,167.71	1,153.52

48 Disclosure required under Section 186 (4) of the Companies Act, 2013.

(i) Financial guarantees

The holding Company has issued financial guarantees to banks on behalf of and in respect of loan facilities availed by its associates. In accordance with the policy of the Group, the Group has designated such guarantees as 'Insurance Contracts', the Group has classified financial guarantees as contingent liabilities. Accordingly, there are no assets and liabilities recognized in the balance sheet under these contracts.")

Refer below for details of the financial guarantees issued:

Company Name	Amount of Guarantee given		Amount of loan outstanding against guarantees		Purpose
	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	
ANM Pharma Private Limited	10,000.00	11,500.00	1,415.74	871.71	Extending fund based and non fund based credit facilities for capital expenditure and working capital requirement.
	10,000.00	11,500.00	1,415.74	871.71	

48 Disclosure required under Section 186 (4) of the Companies Act, 2013 Contd.

(ii)	Particulars of Loans given	March 31, 2021			March 31, 2020		
		Loan given/ repaid	Outstanding Balance	Maximum amount outstanding	Loan given/ repaid	Outstanding Balance	Maximum amount outstanding
	Casablanca Securities Pvt. Ltd	(27.59)	1,735.88	3,235.88	-	3,028.20	3,028.20
	Indu Buildwell (P) Ltd	-	-	271.06	-	251.30	251.30
	Om Sai Pharma Pack	-	-	-	-	100.00	100.00

(iii)	Particulars of Investments	March 31, 2021			March 31, 2020		
		Investments made/ withdrawn	Outstanding Balance	Maximum amount outstanding	Investments made/ withdrawn	Outstanding Balance	Maximum amount outstanding
	Om Sai Pharma Pack	(650.00)	1,490.95	2,290.95	-	2,013.42	2,813.42
	Superba Buildwell	(172.50)	1,341.45	1,341.45	(225.00)	1,389.71	1,389.71
	Superba Buildwell (South)	(175.00)	2,747.20	2,747.20	(77.00)	2,762.60	2,762.60
	Superba Developers	(103.20)	1,326.76	1,326.76	(83.70)	1,360.29	1,360.29
	ANM Pharma Private Limited	-	278.51	278.51	-	209.71	209.71
	Sirmour Remedies Private Limited	-	2,506.63	5,006.63	-	2,363.95	4,863.95
	J K Print Packs	(28.33)	1,339.83	3,389.83	-	1,195.35	3,245.35
	N S Industries	(3.47)	3,105.21	3,505.21	-	2,895.32	3,295.32
	A S Packers	-	2,442.14	2,442.14	-	2,247.63	2,247.63

49 Goodwill/Capital Reserve on Consolidation

Goodwill arises on business combination is allocated, at the time of their acquisition that Group is expected to benefit from that business combination. The carrying amount of goodwill are as follows:

a) Goodwill are in respect of:

Name of the Subsidiary	As at March 31, 2021	As at March 31, 2020
Jaspack Industries Private Limited	0.11	0.11
Lifestar Pharma Private Limited	290.59	290.59
Shreejee Laboratories Private Limited	339.72	339.72
Magnet Labs Private Limited	365.50	365.50
Broadway Hospitality Services Private Limited	546.38	546.38
Prolijune Lifesciences Private Limited	116.68	116.68
JPR Labs Private Limited	385.24	385.24
Total	2,044.22	2,044.22

b) Below is the reconciliation of the carrying amount of goodwill:

Particulars	Year ended March 31, 2021	Year ended March 31, 2020
Opening balance	2,044.22	2,044.56
Add: On acquisitions during the year	-	-
Less: On account of impairment of goodwill (refer note 6)	-	0.34
Closing balance	2,044.22	2,044.22

The carrying amount of goodwill are stated above. The recoverable amounts have been determined based on value in use calculations which uses cash flow projections covering generally a period of five years (which are based on key assumptions such as margins, expected growth rates based on past experience and Management expectations. (refer note 6 for detailed disclosure)

c) Capital reserve on consolidation :

Name of the entity	As at March 31, 2021	As at March 31, 2020
Relax Pharmaceuticals Private Limited	(11,302.20)	(11,302.20)
Copmed Pharmaceuticals Private Limited	(19,186.68)	(19,186.68)
Mediforce Healthcare Private Limited	(5,708.08)	(5,708.08)
Medipack Innovations Private Limited	17.16	17.16
Pharma Force Labs	(6,885.67)	(6,885.67)
Penta Latex LLP	(3,734.67)	(3,734.67)
Add: Adjustment on account of demerger	(44,098.02)	(44,098.02)
Total Capital reserve	(90,898.16)	(90,898.16)

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

50 Disclosure of interest in Subsidiaries and Non Controlling Interest

a) Subsidiaries

The Group has following subsidiaries held directly and indirectly by the Parent Company i.e. Mankind Pharma Limited, which operate and are incorporated around the world. Following are the details of shareholdings in the subsidiaries :

S. No.	Name of Company	Principal activities	Immediate holding company	Country of Incorporation	% Ownership Interest Proportion of Ownership Interest and Voting power held by the Group		
					As at March 31, 2021	As at March 31, 2020	
1	Lifestar Pharma Private Limited	Trading of pharmaceutical and health care products	Mankind Pharma Limited	India	100.00%	100.00%	85.00%
2	Magnet Labs Private Limited	Trading of pharmaceutical and health care products	Mankind Pharma Limited	India	100.00%	100.00%	92.00%
3	Broadway Hospitality Services Private Limited	Hospitality business	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
4	Shree Jee Laboratory Private Limited	Manufacturing of bulk drugs	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
5	Prolijune Lifesciences Private Limited	Trading of pharmaceutical and health care products	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
6	Pavi Buildwell Private Limited	Real estate business	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
7	Medipack Innovations Private Limited	Manufacturing of packing materials	Mankind Pharma Limited	India	51.00%	51.00%	51.00%
8	Jaspack Industries Private Limited	Manufacturing of packing materials	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
9	Mahananda Spa and Resorts Private Limited	Hospitality business	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
10	Lifestar Pharma LLC (refer note c)	Trading of pharmaceutical and health care products	Mankind Pharma Limited	United States of America	90.00%	90.00%	90.00%
11	Mankind Pharma Pte Limited	Trading of pharmaceutical and health care products	Mankind Pharma Limited	Singapore	100.00%	100.00%	100.00%
12	Packtime Innovations Private Limited	Manufacturing of packing materials	Jaspack Industries Private Limited	India	90.00%	90.00%	90.00%
13	Mankind Specialities (partnership firm)	Manufacturing of consumer goods	Mankind Pharma Limited	India	98.00%	98.00%	98.00%
14	Applan Properties Private Limited	Investment Company	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
15	Relax Pharmaceuticals Private Limited	Manufacturing of pharmaceutical and health care products	Mankind Pharma Limited	India	63.00%	63.00%	63.00%
16	Copmed Pharmaceuticals Private Limited	Manufacturing of pharmaceutical and health care products	Mankind Pharma Limited	India	63.00%	63.00%	63.00%
17	Vetbesta Labs	Manufacturing of pharmaceutical and health care products	Copmed Pharmaceuticals Private Limited	India	60.48%	60.48%	60.48%
18	Mediforce Healthcare Private Limited	Manufacturing of pharmaceutical and health care products	Mankind Pharma Limited	India	63.00%	63.00%	63.00%
19	JPR Labs Private Limited	Manufacturing of bulk drugs	Mankind Pharma Limited	India	100.00%	100.00%	100.00%
20	Penta Latex LLP	Manufacturing of condoms	Mankind Pharma Limited	India	0.00%	0.00%	0.00%
21	Pharma Force Lab	Manufacturing of pharmaceutical and health care products	Applan Properties Private Limited	India	0.00%	0.00%	0.00%
22	Mediforce Research Private Limited (refer note a)	Manufacturing of pharmaceutical and health care products	Mediforce Healthcare Private Limited	India	61.74%	61.74%	61.74%
23	Pharmaforce Excipients Private Limited (refer note a)	Manufacturing of pharmaceutical and health care products	Applan Properties Private Limited	India	63.00%	63.00%	63.00%
24	Qualitek Starch private limited (refer note a)	Manufacturing of pharmaceutical and health care products	Relax Pharmaceuticals Private Limited	India	50.40%	50.40%	50.40%
25	Superba Warehousing LLP (partnership firm)	Leasing business	Mankind Pharma Limited	India	51.00%	51.00%	51.00%
26	North East Pharma Pack (partnership firm)	Manufacturing of packing materials	Mankind Pharma Limited	India	57.50%	57.50%	57.50%
27	Packtime Global Packaging Materials Trading LLC (refer note a & b)	Manufacturing of packing materials	Packtime Innovations Private Limited	Dubai	44.10%	44.10%	44.10%
28	Lifestar Pharmaceuticals Private Limited (refer note a)	Trading of pharmaceutical and health care products	Mankind Pharma Limited	Nepal	85.00%	85.00%	85.00%
29	Mankind Prime Labs Private Limited	Trading of pharmaceutical and health care products	Mankind Pharma Limited	India	100.00%	100.00%	-

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

Note:

- a Non-controlling interest on account of newly incorporated entities during the year are as follows:

Non-Controlling interest amount		
March 31, 2021	March 31, 2020	
-	6.00	
-	111.00	
-	100.00	
-	-	
-	217.00	

- b. The management have concluded that the Group controls Packtime Global Packaging Materials Trading LLC, even though the Group holds 44.10% {which is 90% (Mankind share in Packtime innovation) of 49% held by Packtime Innovation private limited in Packtime Global Packaging Materials Trading LLC} of the voting rights.
- c. The capital contribution in Lifestar Pharma LLC has been contributed solely (i.e. 100%) by Mankind Pharma Limited during the year. In terms of agreement, the non-controlling interest of 10% is restricted to profit sharing only subject to complete repayment of 100 % capital contribution made by Mankind Pharma Limited.

b) Details of Non-Wholly Owned Subsidiaries that have material Non Controlling Interest

Set out below are the details of the Non Controlling interests that are material to the Group as at March 31, 2021:

Name of the Subsidiary	Principal place of business	Proportion of Ownership Interest	
		As at March 31, 2021	As at March 31, 2020
Lifestar Pharma Private Limited	India	-	15.00%
Medipack Innovations Private Limited	India	49.00%	49.00%
Relax Pharmaceuticals Private Limited	India	37.00%	37.00%
Copmed Pharmaceuticals Private Limited	India	37.00%	37.00%
Mediforce Healthcare Private Limited	India	37.00%	37.00%
Pharma Force Labs	India	37.00%	37.00%
Penta Latex LLP	India	32.00%	32.00%
Pharmaforce Excipients Private Limited	India	37.00%	37.00%
Qualitek Starch private limited	India	49.60%	49.60%
Superba Warehousing LLP (partnership firm)	India	49.00%	49.00%
North East Pharma Pack (partnership firm)	India	42.50%	42.50%

50 Disclosure of Interest in Subsidiaries and Interest of Non Controlling Interest (Contd.)

c) The table shows summarized financial information of subsidiary of the Group that have material non-controlling interests before intragroup eliminations.

Particulars (Balance sheet)	Medipack Innovations Private Limited		Lifestar Pharma Private Limited #		Relax Pharmaceuticals Private Limited		Copmed Pharmaceuticals Private Limited		Mediforce Healthcare Private Limited	
	As at March 31, 2021	March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	March 31, 2020	As at March 31, 2021	March 31, 2020	As at March 31, 2021	March 31, 2020
Current Assets	2,428.94	2,705.03	-	46,751.26	5,553.65	7,580.10	12,352.51	13,638.90	3,269.56	2,488.20
Non Current Assets	1,216.73	1,302.81	-	4,472.51	2,590.24	2,660.43	5,866.90	5,018.50	2,949.50	3,079.24
Current Liabilities	878.85	1,719.97	-	14,179.22	1,055.79	3,739.58	5,050.26	7,842.76	1,619.54	1,848.65
Non Current Liabilities	379.01	353.94	-	1,000.87	127.97	94.00	198.71	123.55	253.71	71.98
Equity Interest Attributable to the owners of the Company	2,387.81	1,933.93	-	36,043.68	6,960.13	6,406.95	12,970.44	10,691.09	4,345.81	3,646.81

Particulars (Profit or loss)	Medipack Innovations Private Limited		Lifestar Pharma Private Limited #		Relax Pharmaceuticals Private Limited		Copmed Pharmaceuticals Private Limited		Mediforce Healthcare Private Limited	
	As at March 31, 2021	March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	March 31, 2020	As at March 31, 2021	March 31, 2020	As at March 31, 2021	March 31, 2020
Revenue	5,832.09	6,613.99	-	91,002.26	11,837.90	15,540.05	26,952.25	27,972.55	8,935.23	8,505.66
Other Income	104.94	120.32	-	1,948.16	167.51	178.76	510.22	441.50	30.89	8.10
Expenses	(5,323.54)	(6,141.21)	-	(78,750.51)	(11,247.68)	(14,112.24)	(24,464.17)	(25,671.82)	(7,914.79)	(7,612.60)
Tax expense	(158.70)	(143.29)	-	(3,859.98)	(187.47)	(485.87)	(724.70)	(344.87)	(231.13)	(231.13)
Profit for the year	454.79	449.81	-	10,339.93	570.26	1,220.70	2,273.60	2,078.52	706.46	670.03
Profit attributable to the owners of the Company	231.94	229.40	-	8,788.94	359.26	769.04	1,432.37	1,309.47	445.07	422.12
Profit attributable to the non controlling interest	222.85	220.41	-	1,550.99	211.00	451.66	841.23	769.05	261.39	247.91
Profit for the year	454.79	449.81	-	10,339.93	570.26	1,220.70	2,273.60	2,078.52	706.46	670.03
Items that will not be reclassified to profit and loss	(0.91)	(1.92)	-	(43.76)	(17.08)	3.69	5.75	(1.09)	(7.46)	(3.65)
Other comprehensive income	(0.91)	(1.92)	-	(43.76)	(17.08)	3.69	5.75	(1.09)	(7.46)	(3.65)
Other comprehensive Income attributable to the owners of the Company	(0.46)	(0.98)	-	(37.20)	(10.76)	2.32	3.62	-	4.70	2.30
Other comprehensive Income Profit / (Loss) attributable to the non controlling interest	(0.45)	(0.94)	-	(6.56)	(6.32)	1.37	2.13	(0.40)	(2.76)	(1.35)
Other comprehensive income	(0.91)	(1.92)	-	(43.76)	(17.08)	3.69	5.75	(1.09)	(7.46)	(3.65)
Total Other Comprehensive Income attributable to the owners of the Company	231.48	228.42	-	8,751.74	348.50	771.37	1,435.99	1,308.78	440.37	419.82
Total Other Comprehensive Income attributable to the non controlling interest	222.40	219.47	-	1,544.42	204.68	453.02	843.36	768.65	258.63	246.56
Total Other Comprehensive Income	453.88	447.89	-	10,296.17	553.18	1,224.39	2,279.35	2,077.43	699.00	666.38
Dividends paid to non controlling interest	-	-	-	-	-	-	-	-	-	-
Net cash flow from operating activities	587.03	246.92	-	7,816.14	(621.48)	2,038.49	1,618.41	2,161.28	479.28	1,169.74
Net cash flow from investing activities	(6.41)	(34.02)	-	(7,226.47)	(1,661.29)	(29.07)	(2,218.44)	(1,154.55)	(811.95)	(451.87)
Net cash flow from financing activities	(427.49)	(166.14)	-	(46.91)	-	(0.12)	(1.31)	(14.83)	(22.50)	(318.19)
Net Cash inflow (outflow)	153.13	46.76	-	542.76	(2,282.77)	2,009.30	(601.34)	991.90	(355.17)	399.68

Lifestar Pharma private limited has become wholly owned subsidiary during the year March 31, 2021 (refer note 20.3).

50 Disclosure of interest in Subsidiaries and interest of Non Controlling Interest (Contd.)

c) The table shows summarized financial information of subsidiary of the Group that have material non-controlling interests before intragroup eliminations.

Particulars (Balance sheet)	Pharma Force Labs		Penta Latex LLP		Superba warehousing LLP		North East Pharma Pack	
	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020	As at March 31, 2021	As at March 31, 2020
Current Assets	5,827.66	7,682.54	1,836.06	809.56	11.10	13.60	1,484.46	1,283.47
Non Current Assets	6,810.80	6,051.65	7,532.92	7,358.77	1,409.28	1,432.85	2,449.61	2,520.86
Current Liabilities	3,372.97	5,148.74	3,064.59	2,385.07	13.90	29.19	2,277.14	2,028.70
Non Current Liabilities	390.60	315.95	1,952.04	1,855.53	-	-	1,227.65	1,057.38
Equity Interest Attributable to the owners of the Company	8,874.89	8,269.50	4,352.35	3,927.73	1,406.48	1,417.26	429.28	718.25

Particulars (Profit or loss)	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020
	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020	March 31, 2021	March 31, 2020
Revenue	16,657.20	17,178.35	8,809.26	7,719.40	77.88	73.92	2,112.94	1,874.21
Other Income	52.51	26.85	85.79	29.89	0.19	0.07	-	26.91
Expenses	(15,459.77)	(15,643.83)	(7,880.65)	(6,472.66)	(32.00)	(31.75)	(2,399.32)	(2,074.51)
Tax expense	(442.58)	(570.53)	(260.54)	(332.04)	(16.85)	(15.90)	(0.21)	0.30
Profit for the year	807.36	990.84	753.86	944.59	29.24	26.34	(286.59)	(173.09)
Profit: attributable to the owners of the Company	508.64	624.23	512.62	642.32	14.91	13.43	164.79	99.53
Profit attributable to the non controlling interest	298.72	366.61	241.24	302.27	14.33	12.91	121.80	73.56
Profit for the year	807.36	990.84	753.86	944.59	29.24	26.34	(286.59)	(173.09)
Items that will not be reclassified to profit and loss	(1.86)	(4.68)	(9.19)	(2.30)	-	-	(0.45)	0.66
Other comprehensive Income	(1.86)	(4.68)	(9.19)	(2.30)	-	-	(0.45)	0.66
Other comprehensive Income attributable to the owners of the Company	1.17	2.95	6.25	1.56	-	-	0.26	0.38
Other comprehensive Income Profit / (Loss) attributable to the non controlling interest	(0.69)	(1.73)	(2.94)	(0.74)	-	-	(0.19)	0.28
Other comprehensive Income	(1.86)	(4.68)	(9.19)	(2.30)	-	-	(0.45)	0.66
Total Other Comprehensive Income attributable to the owners of the Company	507.46	621.28	506.38	640.76	14.91	13.43	(165.05)	(99.15)
Total Other Comprehensive Income attributable to the non controlling interest	298.04	364.88	238.29	301.53	14.33	12.91	(121.99)	(73.28)
Total Other Comprehensive Income	805.50	986.16	744.67	942.29	29.24	26.34	(287.04)	(172.43)
Dividends paid to non controlling interest	-	-	-	-	-	-	-	-
Net cash flow from operating activities	1,294.38	1,500.33	684.96	1,928.26	55.90	50.16	(74.00)	568.88
Net cash flow from investing activities	(1,204.03)	(1,192.07)	(717.94)	(2,263.33)	(17.13)	(27.22)	(91.04)	(451.09)
Net cash flow from financing activities	(200.11)	(111.12)	(6.55)	362.32	(40.00)	(44.53)	160.15	(118.62)
Net Cash inflow (outflow)	(109.76)	197.14	(39.53)	27.25	(1.23)	(21.59)	(4.89)	(0.83)

50 Disclosure of interest in Subsidiaries and interest of Non Controlling Interest (Contd.)

d) Joint Ventures and Associates

Set out below are the associates and joint ventures of the group as at March 31, 2021 and March 31, 2020 which, in the opinion of the management are not material to the Group. Percentage of ownership interest as exercised by the Group is as follows:-

Joint venture	Principal activities	Country of Incorporation	Ownership interest	
			As at March 31, 2021	As at March 31, 2020
Superba Buildwell	Leasing business	India	50.00%	50.00%
Superba Developers	Leasing business	India	60.00%	60.00%
Superba Buildwell (South)	Leasing business	India	70.00%	70.00%
Associate	Principal activities	Country of Incorporation	Ownership interest	
			As at March 31, 2021	As at March 31, 2020
ANM Pharma Private Limited	Manufacturing of bulk drugs	India	34.00%	34.00%
Om Sai Pharma Pack (partnership firm)	Manufacturing of packing materials	India	20.00%	20.00%
Sirmour Remedies Private Limited	Trading of pharmaceutical and health care products	India	40.00%	40.00%
A.S.Packers	Manufacturing of packing materials	India	50.00%	50.00%
J.K. Print packs	Manufacturing of packing materials	India	33.00%	33.00%
N.S.Industries	Manufacturing of packing materials	India	48.00%	48.00%

e) Non-controlling interests

Set out below are the details of Non-controlling interest as at March 31, 2021:

Particulars	As at March 31, 2021	As at March 31, 2020
Lifestar Pharma Private Limited	-	5,356.66
Magnet Labs Private Limited	-	614.32
Medipack Innovations Private Limited	1,151.89	909.48
Packtime Innovations Private Limited	(570.84)	(330.18)
Mankind Specialities (partnership firm)	(0.74)	(6.24)
Relax Pharmaceuticals Private Limited	2,477.00	2,241.61
Copmed Pharmaceuticals Private Limited	4,406.43	3,709.24
Vetbesta Labs	31.56	22.20
Mediforce Healthcare Private Limited	1,501.65	1,261.40
Penta Latex LLP	1,095.79	924.72
Pharma Force Lab	3,172.37	2,925.48
Mediforce Research Private Limited	(26.95)	2.45
Pharmaforce Excipients Private Limited	97.93	108.53
Qualitek Starch private limited	86.97	88.46
Superba Warehousing LLP (partnership firm)	689.18	694.46
North East Pharma Pack (partnership firm)	2.09	126.01
Packtime Global Packaging Materials Trading LLC	(25.07)	(22.49)
Lifestar Pharmaceuticals	(0.52)	-
Total Non Controlling interest	14,088.74	18,626.11

Mankind Pharma Limited

Notes forming part of the consolidated financial statements for the year ended March 31, 2021

All amounts are in INR lacs unless otherwise stated

51 Additional Information to the consolidated Financial Statements, as required under Schedule III of the Companies Act, 2013 of entities consolidated as subsidiaries/associates/joint ventures

Following is the share of net assets and the profit or loss of the entities which have been consolidated for preparation of the consolidated financial statements of Mankind Pharma Limited for the financial year ended 31 March 2021:

Name of the entity	Net assets (Total assets minus Total liabilities)		Share in profit or (loss)		Share in other comprehensive income (OCI)		Share in total comprehensive income (TCI)	
	Amount	As a % of consolidated net assets	Amount	As a % of consolidated profit or loss	Amount	As a % of consolidated profit or loss	Amount	As a % of consolidated profit or loss
Mankind Pharma Limited	4,73,427.02	100.26%	1,08,437.47	83.86%	(732.53)	-1433.52%	1,07,704.94	83.13%
Indian subsidiaries (Group's share)								
Shree Jee Laboratory Private Limited	5,705.19	1.21%	1,260.33	0.97%	8.17	15.99%	1,268.50	0.98%
Lifestar Pharma Private Limited	42,496.65	9.00%	6,115.03	4.73%	337.94	661.33%	6,452.97	4.98%
Magnet Labs Private Limited	9,415.80	1.99%	1,717.05	1.33%	19.14	37.46%	1,736.19	1.34%
Medipack Innovations Private Limited	2,387.81	0.51%	454.79	0.35%	(0.91)	-1.78%	453.88	0.35%
Broadway Hospitality Services Private Limited	298.63	0.06%	(3.82)	0.00%	-	-	(3.82)	0.00%
Pavi Buildwell Private Limited	(2,908.09)	-0.62%	(1.63)	0.00%	-	-	(1.63)	0.00%
Proliune Lifesciences Private Limited	1,387.65	0.29%	111.54	0.09%	-	-	111.54	0.09%
Penta Latex LLP	4,352.35	0.92%	753.86	0.58%	(9.19)	-17.98%	744.67	0.57%
Pharma Force Labs	8,874.89	1.88%	807.36	0.62%	(1.86)	-3.64%	805.50	0.62%
Jaspack Industries Private Limited	13,026.94	2.76%	(101.65)	-0.08%	-	-	(101.65)	-0.08%
Packtime Innovations Private Limited	1,576.39	0.33%	(2,415.02)	-1.87%	5.33	10.43%	(2,409.69)	-1.86%
Mahananda Spa and Resorts Private Limited	20,746.75	4.39%	(31.69)	-0.02%	-	-	(31.69)	-0.02%
Mankind Specialities	648.80	0.14%	285.00	0.22%	0.10	0.20%	285.10	0.22%
Applian Properties Private Limited	20,204.23	4.28%	1,060.24	0.82%	-	-	1,060.24	0.82%
JPR Labs Private Limited	5,038.75	1.07%	5.25	0.00%	3.90	7.63%	9.15	0.01%
Relax Pharmaceuticals Private Limited	6,960.13	1.47%	570.26	0.44%	(17.08)	-33.42%	553.18	0.43%
Copmed Pharmaceuticals Private Limited	12,970.44	2.75%	2,273.60	1.76%	5.75	11.25%	2,279.35	1.76%
Mediforce Healthcare Private Limited	4,345.81	0.92%	706.46	0.55%	(7.46)	-14.60%	699.00	0.54%
Vetbesta Labs	993.59	0.21%	271.48	0.21%	(3.10)	-6.07%	268.38	0.21%
Superba Warehousing LLP	1,406.48	0.30%	29.22	0.02%	-	-	29.22	0.02%
North East Pharma Pack	429.28	0.09%	(286.59)	-0.22%	(0.45)	-0.88%	(287.04)	-0.22%
Mediforce Research Private Limited	213.88	0.05%	(76.85)	-0.06%	-	-	(76.85)	-0.06%
Qualitek Starch Private Limited	473.72	0.10%	(3.02)	0.00%	-	-	(3.02)	0.00%
Pharmaforce Exipients Private Limited	278.47	0.06%	(17.57)	-0.01%	-	-	(17.57)	-0.01%
Mankind Prime Labs Private Limited	(201.19)	-0.04%	(198.21)	-0.15%	-	-	-	0.00%
Foreign subsidiaries								
Lifestar Pharma LLC	6,525.14	1.38%	403.84	0.31%	(138.34)	-270.72%	265.50	0.20%
Mankind Pharma Pre Limited	(11.15)	0.00%	(58.31)	-0.05%	1.16	2.27%	(57.15)	-0.04%
Packtime Global Packaging Materials Trading LLC	(60.46)	-0.01%	(10.80)	-0.01%	1.62	3.17%	(9.18)	-0.01%
Lifestar Pharmaceuticals	396.53	0.08%	(3.47)	0.00%	-	0.00%	-	0.00%
Non controlling interests in all subsidiaries	(14,088.74)	-2.98%	(2,760.74)	-2.14%	10.35	20.25%	(2,750.39)	-2.12%
Indian joint ventures (as per equity method)								
Superba Buildwell	-	-	124.24	0.10%	-	-	124.24	0.10%
Superba Developers	-	-	69.67	0.05%	-	-	69.67	0.05%
Superba Buildwell (South)	-	-	159.60	0.12%	-	-	159.60	0.12%
Indian associates (as per equity method)								
ANM Pharma Private Limited	-	-	65.79	0.05%	-	0.00%	65.79	0.05%
Om Sai Pharma Pack	-	-	117.60	0.09%	-	0.00%	117.60	0.09%
Sirmour Remedies Private Limited	-	-	62.38	0.05%	-	0.00%	62.38	0.05%
A.S.Packers	-	-	171.49	0.13%	-	0.00%	171.49	0.13%
J.K. Printpacks	-	-	183.84	0.14%	-	0.00%	183.84	0.14%
N.S.Industries	-	-	213.10	0.16%	-	0.00%	213.10	0.16%
Inter-company Elimination and Consolidation Adjustments	(1,55,111.31)	-(32.85%)	8,841.67	(6.84%)	568.56	(1112.64%)	9,410.23	(7.26%)
Total	4,72,200.38	100.00	1,29,302.79	100.00	51.10	100.00	1,29,555.57	100.00

Mankind Pharma Limited
Notes forming part of the consolidated financial statements for the year ended March 31, 2021
All amounts are in INR lacs unless otherwise stated

51 Following is the share of net assets and the profit or loss of the entities which have been consolidated for preparation of the consolidated financial statements of Mankind Pharma Limited for the financial year ended 31 March 2020:

Name of the entity	Net assets (Total assets minus Total liabilities)		Share in profit or (loss)		Share in other comprehensive income (OCI)		Share in total comprehensive income (TCI)	
	Amount	As a % of consolidated net assets	Amount	As a % of consolidated profit or loss	Amount	As a % of consolidated profit or loss	Amount	As a % of consolidated profit or loss
Mankind Pharma Limited	3,65,145.30	104.77%	95,822.74	90.73%	(732.53)	180.86%	95,090.21	90.38%
Indian subsidiaries (Group's share)								
Shree Jee Laboratory Private Limited	4,067.21	1.17%	(3,101.72)	-2.94%	(5.72)	1.41%	(3,107.44)	-2.95%
Lifestar Pharma Private Limited	36,043.68	10.34%	10,339.93	9.79%	(43.76)	10.80%	10,296.17	9.79%
Magnet Labs Private Limited	7,679.62	2.20%	1,740.42	1.65%	(52.49)	12.96%	1,687.93	1.60%
Medipack Innovations Private Limited	1,933.93	0.55%	449.81	0.43%	(1.92)	0.47%	447.89	0.43%
Broadway Hospitality Services Private Limited	671.94	0.19%	11.64	0.01%	-	-	11.64	0.01%
Pavi Buildwell Private Limited	(3,103.61)	-0.89%	(3,101.32)	-2.94%	-	-	(3,101.32)	-2.95%
Prolijune Lifesciences Private Limited	1,276.11	0.37%	103.46	0.10%	-	-	103.46	0.10%
Penta Latex LLP	3,928.66	1.13%	945.82	0.90%	(2.60)	0.64%	943.22	0.90%
Pharma Force Labs	8,269.50	2.37%	990.84	0.94%	(4.68)	1.16%	986.16	0.94%
Jaspack Industries Private Limited	13,128.59	3.77%	(82.34)	-0.08%	-	-	(82.34)	-0.08%
Packtime Innovations Private Limited	3,986.08	1.14%	(2,495.18)	-2.36%	(1.83)	0.45%	(2,497.01)	-2.37%
Mahananda Spa and Resorts Private Limited	14,978.44	4.30%	(43.40)	-0.04%	-	-	(43.40)	-0.04%
Mankind Specialities	363.94	0.10%	(96.70)	-0.09%	(1.58)	0.39%	(98.28)	-0.09%
Applan Properties Private Limited	19,117.18	5.49%	(1,216.32)	-1.15%	-	-	(1,216.32)	-1.16%
JPR Labs Private Limited	5,029.60	1.44%	(301.37)	-0.29%	(2.19)	0.54%	(303.56)	-0.29%
Relax Pharmaceuticals Private Limited	6,406.96	1.84%	1,220.77	1.16%	3.69	-0.91%	1,224.46	1.16%
Copimed Pharmaceuticals Private Limited	10,691.09	3.07%	2,078.52	1.97%	(1.09)	0.27%	2,077.43	1.97%
Mediforce Healthcare Private Limited	3,646.82	1.05%	670.03	0.63%	(3.65)	0.90%	666.38	0.63%
Vetbesta Labs	1,015.20	0.29%	271.89	0.26%	(0.46)	0.11%	271.43	0.26%
Superba Warehousing LLP	1,417.25	0.41%	26.34	0.02%	-	-	26.34	0.03%
North East Pharma Pack	718.25	0.21%	(173.09)	-0.16%	0.66	-0.16%	(172.43)	-0.16%
Mediforce Research Private Limited	290.73	0.08%	(9.27)	-0.01%	-	-	(9.27)	-0.01%
Qualitek Starch Private Limited	476.74	0.14%	(23.26)	-0.02%	-	-	(23.26)	-0.02%
Pharmaforce Exipients Private Limited	295.91	0.08%	(4.10)	0.00%	-	-	(4.10)	0.00%
Foreign subsidiaries								
Lifestar Pharma LLC	5,226.45	1.50%	(1,802.45)	-1.71%	444.23	-109.68%	(1,358.22)	-1.29%
Mankind Pharma Pte Limited	50.73	0.01%	(6.32)	-0.01%	1.75	-0.43%	(4.57)	0.00%
Packtime Global Packaging Materials Trading LLC	(51.27)	-0.01%	(76.58)	-0.07%	(3.75)	0.93%	(80.33)	-0.08%
Non controlling interests in all subsidiaries	18,626.11	5.34%	2,572.33	2.44%	(15.94)	3.94%	2,556.39	2.43%
Indian joint ventures (as per equity method)								
Superba Buildwell	-	-	117.20	0.11%	-	-	117.20	0.11%
Superba Developers	-	-	82.68	0.08%	-	-	82.68	0.08%
Superba Buildwell (South)	-	-	167.32	0.16%	-	-	167.32	0.16%
Indian associates (as per equity method)								
ANM Pharma Private Limited	-	-	46.59	0.04%	-	0.00%	46.59	0.04%
Om Sai Pharma Pack	-	-	66.19	0.06%	(1.34)	0.33%	64.85	0.06%
Sirmour Remedies Private Limited	-	-	186.16	0.18%	0.81	-0.20%	186.97	0.18%
A.S.Packers	-	-	223.86	0.21%	(0.54)	0.13%	223.32	0.21%
J.K. Printpacks	-	-	73.63	0.07%	3.79	-0.94%	77.42	0.07%
N.S.Industries	-	-	189.89	0.18%	(0.12)	0.03%	189.77	0.18%
Consolidation adjustments/eliminations	(1,82,796.12)	-(52.45%)	(297.21)	-(0.28%)	16.24	-(4.01%)	(280.97)	-(0.27%)
Total	3,48,531.02	100.00	1,05,614.02	100.00	(405.02)	100.00	1,05,209.00	100.00

52 Leases

(i) The Group's lease asset primarily consist of leases for Land, office building, warehouses and related facilities having the various lease terms.

(iii) Following is carrying value of right of use assets recognised and the movements thereof during the year ended March 31, 2021:

Particulars	Right of Use Asset		Total
	Leasehold Land	Leasehold Building	
Balance as at April 1, 2019	-	-	-
Transition impact on account of adoption of Ind AS 116 "Leases" (refer Note 4)	31.90	-	31.90
Reclassified from property, plant and equipment on account of adoption of Ind AS 116 "Leases" (refer Note 4)	4,919.79	-	4,919.79
Total Right of Use on the date of transition	4,951.69	-	4,951.69
Additions during the year	-	446.43	446.43
Deletion during the year	-	-	-
Depreciation of Right of use assets (refer note 33)	(61.44)	(83.90)	(145.34)
Balance as at March 31, 2020	4,890.25	362.53	5,252.78
Additions during the year	30.06	348.45	378.51
Deletion during the year	-	-	-
Depreciation of Right of use assets (refer note 33)	(64.76)	(130.36)	(195.12)
Balance as at March 31, 2021	4,855.55	580.62	5,436.17

(iv) The following is the carrying value of lease liability and movement thereof during the year ended March 31, 2021:

Particulars	Amount
Transition impact on account of adoption of Ind AS 116 "Leases"	31.90
Additions during the year	446.43
Finance cost accrued during the year	25.38
Deletions	-
Payment of lease liabilities	(106.88)
Balance as at March 31, 2020	396.83
Additions during the year	330.02
Finance cost accrued during the year	32.71
Deletions	-
Lease rent concession	(0.98)
Payment of lease liabilities	(145.32)
Balance as at March 31, 2021	613.26

Current maturities of Lease liability (refer note 26)	162.21
Non-Current Lease Liability (refer note 26)	451.05
	613.26

(vi) The maturity analysis of lease liabilities are as follows:

Maturity of lease liabilities

Set out below are the undiscounted potential future rental payments relating to periods:

Lease obligations

	March 31, 2021	March 31, 2020
Not later than one year	208.02	140.66
Later than one year and not later than five years	494.12	279.66
Later than five years	121.00	83.10

Interest expense

	March 31, 2021	March 31, 2020
Not later than one year	45.92	27.40
Later than one year and not later than five years	71.17	23.97
Later than five years	93.28	70.97

(vii) The weighted average incremental borrowing rate applied to lease liabilities as at April 1, 2019 is 8.5%

(viii) Rental expense recorded for short-term leases are as follows:

The following are the amounts recognised in profit or loss:

	Year ended March 31, 2021	Year ended March 31, 2020
Depreciation expense of right-of-use assets	195.12	145.34
Interest expense on lease liabilities	32.71	25.38
Expense relating to short-term leases	1,793.47	1,735.12
Expense relating to low value leases	-	-
	2,021.30	1,905.84

(ix) The Group does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

(x) During the current year, the Group has received the Covid-19-related rent concessions for lessees amounting to Rs 0.98 lacs and on the basis of practical expedient as per Ind AS 116 "Leases, the same is not considered to be lease modification , hence the income towards rent concession is recognised in "Other Income" in the statement of profit and loss account.

(xi) The Group has applied a single discount rate to a portfolio of leases of a similar assets in similar economic environment with similar end date.

Mankind Pharma Limited**Notes forming part of the consolidated financial statements for the year ended March 31, 2021****All amounts are in INR lacs unless otherwise stated**

- 53** The Group has established a comprehensive system of maintenance of information and documents as required by the transfer pricing legislation under Sections 92-92F of the Income-tax Act, 1961. Since the law requires existence of such information and documentation to be contemporaneous in nature, the Group is in the process of updating the documentation for the transactions covered under transfer pricing regulations entered into with the associated enterprises during the year and expects such records to be in existence latest by such date as required under the law. The management is of the opinion that its international transactions are at arm's length so that the aforesaid legislation will not have any impact on the financial statements, particularly on the amount of tax expense and that of provision for taxation.
- 54** The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the Group towards Provident Fund and Gratuity. The effective date from which the changes are applicable is yet to be notified and the final rules are yet to be framed. The Group will carry out an evaluation of the impact and record the same in the financial statements in the period in which the Code becomes effective and the related rules are published.
- 55** Consequent to the disruption caused due to COVID-19, the Group has made an assessment as at March 31, 2021 of recoverability of the carrying values of its assets such as property, plant and equipment, intangible assets having indefinite useful life, goodwill, inventory, trade receivables, and other current assets giving due consideration to the internal and external factors. Further, on account of continued spread of COVID-19 disease in the country, the Group has made timely and requisite changes in business model which has resulted in consistent growth across the product segments during the year. The Group is continuously monitoring the situation arising on account of COVID-19 and will make appropriate action required, if any.
- 56** Subsequent to the year end, the Board of Directors of the Holding Company at their meeting held on 20 May 2021 approved a scheme of amalgamation under Sections 230 to 232 read with other applicable provisions of the Companies Act 2013, involving amalgamation of Lifestar Pharma Private Limited and Magnet Labs Private Limited (wholly owned subsidiaries) with the Holding Company 'Mankind Pharma Limited' on going concern basis. The scheme has been filed with National Company Law Tribunal (NCLT). The Holding Company will account for the effect of the scheme once approved by NCLT in accordance with Ind-AS.
- 57** The figures have been rounded off to the nearest lacs of rupees upto two decimal places. The figure 0.00 wherever stated represents value less than Rs. 500/-.

As per our report of even date

For S.R. Batliboi & Co. LLP

Chartered Accountants

Firm Reg. no. 301003E/E300005

**VISHAL
SHARMA**Digitally signed by
VISHAL SHARMA
Date: 2021.08.25
21:10:48 +05'30'per **Vishal Sharma**

Partner

Membership No. 096766

For Goel Gaurav & Co.

Chartered Accountants

Firm Reg. no. 022467C

**GAURAV
GOEL**Digitally signed by
GAURAV GOEL
Date: 2021.08.25
19:12:24 +05'30'**Gaurav Goel**

Proprietor

Membership No. 528323

Place: Gurugram

Date: 25 August 2021

For and on behalf of the Board of Directors**RAMESH
JUNEJA**Digitally signed by
RAMESH JUNEJA
Date: 2021.08.25
17:57:31 +05'30'**Ramesh Juneja**

Chairman and Whole Time Director

DIN - 00283399

**Pradeep
Chugh**Digitally signed by
Pradeep Chugh
Date: 2021.08.25
18:03:06 +05'30'**Pradeep Chugh**

Company Secretary

Membership No. ACS 18711

Place: New Delhi

Date: 25 August 2021

**SHEETAL
ARORA**Digitally signed by
SHEETAL ARORA
Date: 2021.08.25
18:00:27 +05'30'**Sheetal Arora**

Chief Executive Officer and Whole Time Director

DIN - 00704292

**ASHUTOSH
DHAWAN**Digitally signed by
ASHUTOSH DHAWAN
Date: 2021.08.25
18:05:59 +05'30'**Ashutosh Dhawan**

Chief Financial Officer